

MASTER LENDING POLICY

Version 2024.2

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entified, risks are monitored on a continual basis, potential exposures have been quantified after consideration of likelihood and impact, and responses are reasonable and appropriate. The results of the risk assessment process help management design appropriate business responses to available opportunities. Responses generally fall within one of four categories:

- Avoidance: When risks cannot be adequately identified, measured, monitored, or controlled. Avoidance might include exiting a business line or geographic segment after appropriate evaluation of the risks or deciding not to engage in a new product or service.
- Mitigation: When risk levels can be adequately managed internally or shared or controlled by third parties. Sharing might include insurance, partnerships, hedging, outsourcing, or other risk transfer methods.
- Reduction: When risk levels can be managed to within acceptable tolerances, generally through risk, concentration, or operational limits. Reduction often includes diversification limits, business rules, and portfolio rebalancing to reduce vulnerability to certain types of exposures.
- Acceptance: When risk levels can be consciously tolerated or self-insured because the probability and severity are within reasonable limits. Banks sometimes accept risks because there are natural internal offsets, such as variable rate deposits funding variable rate loans. Examiners should determine how risk assessment exercises are a regular part

exceptions.

- effective monitoring reports.
- well-designed strategies, business plans, and product testing.

Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk governance framework should include delegations of authority from the board to management committees and executive officers as well as the risk limits established for material activities. IRM should review and update the framework at least annually and as often as needed to address improvements in industry risk management practices and changes in the covered bank's risk profile caused by emerging risks, its strategic plans, or other internal and external factors.¹²

Structured Oversight by the Board and Senior Management One of the board's and senior management's most important oversight responsibilities is to establish an effective risk management framework consistent with the bank's risk profile.

Characteristics of sound oversight include the following:

- Properly approved policies and procedures: The board (or a board-designated committee) typically approves significant credit policies at least annually or whenever a significant change occurs. Policies should be consistent with the established risk appetite.

¹² For more information, refer to 12 CFR 30, appendix D, II.A, "Risk Governance Framework."

bank's risk-taking activities and hold management accountable for adhering to the risk governance framework. In providing active oversight, the directors may rely on risk assessments and reports prepared by IRM and internal audit to support the bank's ability to question, challenge, and when necessary, oppose recommendations and decisions made by management that could cause the covered bank's risk profile to exceed its risk appetite or jeopardize the safety and soundness of the covered bank.¹⁵

Clear and Consistent Policies and Operating Procedures Lending policies and operating procedures help employees make consistent decisions, providing a sound foundation for sustainably profitable operations. The board typically sets broad policy goals, and senior management develops specific policies and operating procedures that promote effective day-to-day execution. Policies can vary among banks but should be commensurate with the bank's size, risk profile, portfolio objectives, core competencies, products offered,

and target markets. Once policies and operating procedures have been developed, the board and senior management should hold bank personnel accountable for compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Op

s compliance with applicable laws and regulations, including those related to consumer protection and fair lending. Responsibility and authority for identifying, approving, and monitoring policy exceptions are generally in writing, with regular reporting to capture exceptions at the transaction, product segment, product, and portfolio levels. Most banks perform enhanced analysis when exception volumes reach established thresholds, and results of the analysis should be an important factor in policy updates or revisions. Policy exception volumes and analysis should be a normal part of board and senior management reporting. Policy compliance is a useful risk management tool, and examiners should view adherence to the exceptions process as an important internal control. Some exceptions will occur because it is nearly impossible to construct underwriting or operating policies covering every lending situation. Still, exception types and volumes should be controlled, with appropriate reporting to identify and track exceptions and appropriate analysis to determine causes, impact, and any need for corrective action. Policy exceptions for retail lending typically fall into three categories:

- Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc.
- Credit scoring: High- and low-side overrides. 24
- Documentation: Loan application, transaction information, and collateral perfection or valuation.

Exception limits for each, and in aggreg

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I teams helps form realistic and actionable business plans, promotes buy-in from important parties, and minimizes unanticipated problems during implementation. Common topics in retail business plans address

- product design, marketing, and product mix and customer risk profile.
- volume and profitability projections.
- product testing parameters.
- concentration and risk limits.
- capital and allowance for loan and lease losses (ALLL) or allowance for credit losses (ACL) requirements.
- reporting content and distribution.
- key performance monitoring measures.

Before implementation, management should reconcile business plans with existing lending and operating policies for comprehensive coverage and consistency. Bank staff should be thoroughly briefed and trained on any changes, with reporting systems and internal controls fully tested and operational. Examiners should pay particular attention to how banks implement new business strategies, including the rollout of new products or initiatives. This is especially important when changes could significantly affect the bank's size, operating approach, or risk profile. Examiners should consider whether effective change management processes exist, including realistic assessments of costs and resource requirements (including information technology requirements); adequate testing periods; timely and accurate performance monitoring; and effective policies, operating procedures, and internal controls. 29 E

strategic objectives for the covered bank and include an explanation of how the covered bank will achieve those objectives.

- explain how the covered bank will update, as necessary, the risk governance framework to account for changes in the covered bank's risk profile projected under the strategic plan.
- be reviewed, updated, and approved, as necessary, due to changes in the covered bank's risk profile or operating environment that were not contemplated when the strategic plan was developed.³²

Considering Quantity of Risk The OCC expects risk management for retail credit activities to correspond to the bank's size, complexity, and risk profile. Examiners should assess risk management practices in the context of product and portfolio risk. For examination purposes, the OCC refers to the bank's inherent risk profile as the quantity of risk. There are many ways to assess the bank's risk profile, and examiners should have active discussions with management and the board to determine how and when the bank assumes risk. For retail credit, discussions often focus on four key areas: risk in loan structures, risk in target markets, risk in credit underwriting due diligence, and risk layering. These discussions are often subjective, involving judgment and experience to support proper risk assessment designations. Some risk always exists when extending credit, and these discussions are more about determining the appropriateness of risk management practices given

practices, and third parties, are critical to managing reputation risk.

Risk Management Each bank should identify, measure, monitor, and control risk by implementing an effective risk management system appropriate for the bank's size, complexity, and risk profile. When examiners assess the effectiveness of a bank's risk management system, they consider the bank's policies, processes, personnel, and control systems. Refer to the "Corporate and Risk Governance" booklet of the Comptroller's Handbook for an expanded discussion of risk management. Examiners should assess risk management practices in the context of inherent product and portfolio risks. While risk management objectives are similar for most banks, specific practices may differ depending on the products offered, the volume and types of transactions, and the markets targeted. Banks with a low quantity of risk, such as small non-complex community banks, may operate with less sophisticated risk management frameworks. 11 Large 11 This booklet applies to all banks

with retail lending activities. The OCC expects community banks to have risk management practices commensurate with the level of risk and complexity of the banks' retail lending activities. The OCC recognizes that the risk management systems of community banks may not be as sophisticated as those of complex banks. In most cases, the fundamental aspects discussed apply. Community banks' boards and management should identify retail lendin

the timing of cash flows, from changing rate relationships among different yield curves affecting bank activities, from changing rate relationships across the spectrum of maturities, and from interest-related options embedded in bank products. The level of interest rate risk depends on the composition of the bank's loan portfolio and the degree to which loan terms (e.g., maturity, rate structure, and embedded options) expose the bank or its borrowers to changes in interest rates. Many borrowers prefer fixed interest rates on larger, long-term retail loans, such as first mortgages and automobile loans. Long-term fixed-rate loans require active asset-liability management by bank management because core deposits used to fund retail portfolios typically have a variable interest rate. Borrowers may also assume interest rate risk on such products as HELOCs. In this context, interest rate risk is the risk of higher monthly payments on variable-rate loans due to rising interest rates, a factor that may also increase credit risk for affected loans. Bank management generally identifies borrowers with heightened exposure to interest rate changes and considers the impact on these borrowers' ability to repay if interest rates were to increase. The "Interest Rate Risk" booklet of the Comptroller's Handbook provides additional information regarding interest rate risk.

Operational Risk Operational risk is the risk to current or projected financial condition and resilien

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management review process should assess credit risk independent of the business unit, 13 monitor compliance with concentration and risk limits, and raise issues directly to senior management, oversight committees, and the board. Internal audit and other independent control functions should evaluate the adequacy of established policies and procedures and identify practices that are inconsistent with the risk governance framework. - Established risk appetite:14 Establishing a risk appetite means developing a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Risk appetite statements generally include acceptable risks bank management intends to take because the risk is sufficiently compensated and unacceptable risks that should be avoided or heavily mitigated. Used properly, the risk appetite statement is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances that should not be exceeded without proper escalation and approval. 13 For most banks, an IRM function or process is an important control. Some community banks with standard products and low-risk concentration levels may operate prudently without an IRM function. These banks, however, should generally maintain appropriate internal controls and internal audit coverage of retail lending activities. 14 Risk appetite refers to the aggregate level and t

ships across the spectrum of maturities, and from interest-related options embedded in bank products. The level of interest rate risk depends on the composition of the bank's loan portfolio and the degree to which loan terms (e.g., maturity, rate structure, and embedded options) expose the bank or its borrowers to changes in interest rates. Many borrowers prefer fixed interest rates on larger, long-term retail loans, such as first mortgages and automobile loans. Long-term fixed-rate loans require active asset-liability management by bank management because core deposits used to fund retail portfolios typically have a variable interest rate. Borrowers may also assume interest rate risk on such products as HELOCs. In this context, interest rate risk is the risk of higher monthly payments on variable-rate loans due to rising interest rates, a factor that may also increase credit risk for affected loans. Bank management generally identifies borrowers with heightened exposure to interest rate changes and considers the impact on these borrowers' ability to repay if interest rates were to increase. The "Interest Rate Risk" booklet of the Comptroller's Handbook provides additional information regarding interest rate risk. Operational Risk Operational risk is the risk to current or projected financial condition and resilience arising from inadequate or failed internal processes or systems, human errors or misconduct, or adverse external events. Operational risk

nd business profitability. May require reexamining the business model and competitive approach. Disruption in the mortgage insurance industry that limits availability or significantly increases costs. Low 25 percent reduction in origination volumes. 10 percent increase in capital requirements from keeping greater origination volumes on the balance sheet. Could change fundamental operation of residential mortgage markets. Higher cost of insurance. Significant secondary market disruption until alternative sources emerge. Potential opportunity to selectively expand market share in profitable target markets if the bank is willing to use balance-sheet capacity. Changes in the reliability or timeliness of credit information available from credit bureaus or other third-party sources. Low, moderate Significant potential impact on credit scores and reliability of credit bureau information for estimating risk. Potential serious setback for

consumer lending in the United States. May prompt a search to find alternative methods or sources of reliable performance information. Changes in the bankruptcy laws that limit or expand certain forms of bankruptcy use by consumers. Low Greater shift to co-borrower reliance, lower total debt advances, underwriting more closely tied to shorter-term capacity. Potential for significant initial disruption unless existing loans are grandfathered. Controllable if implemented prospectively, but volumes

ement decisions to enter, exit, or otherwise change the bank's participation in retail markets and products should be based on sound, complete information, realistic assessments of the risks involved, management's expertise, and the bank's operating capacity. Incomplete or inadequate consideration of the industry's market conditions, economic dynamics, and consumer behaviors exposes the bank to excessive or unanticipated strategic risk, which often translates into financial losses. Reputation Risk Reputation risk is the risk to current or projected financial condition and resilience arising from negative public opinion. This risk may impair the bank's competitiveness by affecting its ability to establish new relationships or services or continue servicing existing relationships. Inadequate policies and procedures, operational breakdowns, or general weaknesses in any aspect of the bank's retail lending activities can harm its reputation. Lack of due diligence on products and services offered by third parties, inappropriate delegation and oversight of activities performed by third parties, and wrongful acts by third parties acting on the bank's behalf may also increase a bank's reputation risk exposure. Effective systems and controls to identify, measure, monitor, and control potential issues, such as appropriate oversight of sales, servicing, marketing, loss mitigation practices, and third parties, are critical to managing reputation risk. Risk Managem

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e. Reports should be timely, accurate, and complete, and should provide information needed for sound management and credible challenges. A set of well-designed standard reports should monitor activity continually, even if the data seem stable. Consistent reporting allows managers to gain a comfort level with the information, ask insightful questions, and request additional facts or analysis when issues warrant.

Effective reporting generally includes four common characteristics that improve utility:

- Performance trends: Providing data in a consistent form over time helps provide perspective and a deeper understanding of portfolio composition and migration. Most banks report performance trends for at least the past 13 months, but many retail managers find trends over a rolling eight-quarter time frame most useful for considering patterns and seasonality.
- Actual results compared with projections: Context is important. Effective reports compare actual results with management expectations and quantitative benchmarks, with variances identified and explained.
- Precise and informative narrative: Useful data charts generally include narrative, especially in reports for senior management and the board. Rather than require readers to make assumptions, reports walk the user through the issue or topic in a logical, intuitive manner. The more distanced the user is from day-to-day management of an issue, the more simple, clear, and direct the narrative should be.

trols, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval authorities, necessary steps for approvals, and approval documentation requirements. 16 Process maps, which link directly to operating procedures, provide a third level of detail and documentation on how and when specific actions occur. The discipline of committing policies, procedures, and process maps to writing promotes a deeper understanding of each activity and prompts a practical evaluation of how each step contributes to or detracts from business and risk management objectives. 17 Examiners should view well-written and cohesive policies, procedures, and process maps as part of an effective risk management process. Policy criteria should be consistent with and support established risk appetites and portfolio objectives. For example, banks with low risk appetites may have product underwriting standards that require higher down payments, use lower debt-to-income ratios, or are less tolerant of derogatory information on credit reports. Banks with higher risk appetites might accept lower down payments, use higher debt-to-income ratios, or consider some negative credit bureau information. Either may be acceptable, depending on the bank's resources, quality of risk management, and internal controls.

icy compliance is a useful risk management tool, and examiners should view adherence to the exceptions process as an important internal control. Some exceptions will occur because it is nearly impossible to construct underwriting or operating policies covering every lending situation. Still, exception types and volumes should be controlled, with appropriate reporting to identify and track exceptions and appropriate analysis to determine causes, impact, and any need for corrective action. Policy exceptions for retail lending typically fall into three categories:

- Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc.
- Credit scoring: High- and low-side overrides.
- 24 - Documentation: Loan application, transaction information, and collateral perfection or valuation.

Exception limits for each, and in aggregate,

are typically established by either dollar amounts or transaction volumes per month.²⁵ Trends can vary between dollar and transaction volumes, and banks with larger or more complex portfolios should typically track and evaluate both. Exception monitoring reports should include sufficient detail for meaningful analysis of exceptions overall and by type. The objective is to determine whether exceptions are

24 A credit score override occurs when a lender approves a loan that does not meet the lender's minimum credit score (i.e., a low-side override), or declines a loan that was above the lender's minimum credit score (i.e.,

compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval authorities, necessary steps for approvals, and approval documentation requirements.

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umed. The board has a critical role in overseeing the bank's retail credit risk management functions. As part of this oversight, directors generally consider questioning the propriety of strategic initiatives, staffing and management decisions, and the balance between risk taking and profitability. Most importantly, oversight typically includes overseeing the establishment of a risk management framework that effectively assesses risks, monitors exposures, and adopts the necessary policies and procedures for operating the retail business in a sound and prudent manner. Informed directors also understand that the framework should be consistent with the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include

- structured oversight by the board and senior management.
- clear and consistent policies and operating procedures.
- a well-established risk appetite.
- structured risk assessments.
- well-defined processes for policy exceptions.
- effective monitoring reports.
- well-designed strategies, business plans, and product testing.

Heightened Standards A covered bank should establish and adhere to a formal

s, providing a sound foundation for sustainably profitable operations. The board typically sets broad policy goals, and senior management develops specific policies and operating procedures that promote effective day-to-day execution. Policies can vary among banks but should be commensurate with the bank's size, risk profile, portfolio objectives, core competencies, products offered, and target markets. Once policies and operating procedures have been developed, the board and senior management should hold bank personnel accountable for compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval authorities, necessary steps for approvals, and approval documentation requirements. 16 Process maps, which link directly to operating procedures, provide a third level of detail and documentation on how and when specific actions occur. The discipline of committing policies, procedures, and process maps to writing promotes a deeper understanding of each activity and prompts a practical evaluation of how each step contributes to or detracts from business and risk

ss to markets; and franchise value, measured by customer satisfaction surveys, customer complaint levels, or other measures of reputation risk. Risk tolerances within the risk appetite statement are generally set for only a few key factors that relate directly to business or mission failure. Establishing measurable risk tolerances provides management and the board with important context information for monitoring risk levels and consistency with established standards.

- Retail risk preferences that reflect where the business has (or perceives itself to have) competitive advantages and may pursue additional risk. Risk preferences for a retail lender often include specific products, target markets, or delivery channels. The board and management should consider applicable fair lending risk when selecting or identifying a particular retail risk preference. For more information, refer to the "Fair Lending" booklet of the Comptroller's Handbook.
- Retail risk limits

that are capacity controls to manage risk levels. Risk limits are set for specific risk sources, business units, or products, and help implement the higher-level risk tolerances. Some banks use their stress testing results to establish aggregate and product risk capacity, translating results into operational capacity limits. Risk limits complement the risk tolerances and are generally more granular, practical controls at the portfolio and sub-portfolio levels, using metrics that can be managed at the

Safety and Soundness Ofce of the Comptroller of the Currency Washington, DC 20219 Comptroller's Handbook Management (M) Earnings (E) Liquidity (L) Sensitivity to Market Risk (S) Other Activities (O) Asset Quality (A) Capital Adequacy (C) Retail Lending Version 2.0, October 2021 References to reputation risk have been removed from this booklet as of March 20, 2025. Removal of reputation risk references is identified by a strikethrough. Refer to OCC Bulletin 2025-4.

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ment new business strategies, including the rollout of new products or initiatives. This is especially important when changes could significantly affect the bank's size, operating approach, or risk profile. Examiners should consider whether effective change management processes exist, including realistic assessments of costs and resource requirements (including information technology requirements); adequate testing periods; timely and accurate performance monitoring; and effective policies, operating procedures, and internal controls. 29

Even after business plans are developed, the board, or a designated board committee, should evaluate whether senior management is fully capable of managing credit activities within the approved risk strategy, policies, and tolerances. Compensation policies should not contradict the credit risk strategy. Red flags generally include focusing on loan production at the expense of loan quality, generating nominal profits while deviating from credit policies, or exceeding established limits.³⁰ In addition, for residential real estate-secured lending, loan officer compensation policies must comply with the requirements of Regulation Z, which implements the Truth in Lending Act.³¹ All such practices affect the bank's credit processes. The board should monitor these practices closely and act on any deviations. 29 Ibid 30 The OCC expects banks to regularly review their incentive compensation arrangements for all executive and n

atic approach to identifying and considering risk. Factors to consider include whether a reasonably wide range of primary threats is considered, all important risk events have been identified, risks are monitored on a continual basis, potential exposures have been quantified after consideration of likelihood and impact, and responses are reasonable and appropriate. The results of the risk assessment process help management design appropriate business responses to available opportunities. Responses generally fall within one of four categories:

- Avoidance: When risks cannot be adequately identified, measured, monitored, or controlled. Avoidance might include exiting a business line or geographic segment after appropriate evaluation of the risks or deciding not to engage in a new product or service.
- Mitigation: When risk levels can be adequately managed internally or shared or controlled by third parties. Sharing might include insurance, partnerships, hedging, outsourcing, or other risk transfer methods.
- Reduction: When risk levels can be managed to within acceptable tolerances, generally through risk, concentration, or operational limits. Reduction often includes diversification limits, business rules, and portfolio rebalancing to reduce vulnerability to certain types of exposures.
- Acceptance: When risk levels can be consciously tolerated or self-insured because the probability and severity are within reasonable limits. Banks sometimes accept risks

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isory perspective, risk is the potential that events will have an adverse effect on a bank's current or projected financial condition 5 and resilience.⁶ The OCC has defined eight categories of risk for bank supervision purposes: credit, interest rate, liquidity, price, operational, compliance, strategic, and reputation. These categories are not mutually exclusive. Any product or service may expose a bank to multiple risks. Risks also may be interdependent and may be positively or negatively correlated. Examiners should be aware of and assess this interdependence. Examiners also should be alert to concentrations that can significantly elevate risk. Concentrations can accumulate within and across products, business lines, geographic areas, countries, and legal entities. Refer to the "Bank Supervision Process" booklet of the Comptroller's Handbook for an expanded discussion of banking risks and their definitions. While retail lending generally involves all risk categories, this booklet focuses on the significant credit, interest rate, operational, liquidity, compliance, strategic, and reputation risks most common to retail lending.

Credit Risk Credit risk is the risk to current or projected financial condition and resilience arising from an obligor's failure to meet the terms of any contract with the bank or otherwise perform as agreed. Credit risk is found in all activities in which settlement or repayment depends on counterparty, issuer, or borrower

retail lending products. A borrower's income, age, life-cycle stage, lifestyle, attitudes about borrowing, and personal financial condition all affect the use of credit. Economic factors, such as inflation, interest rates, employment, and local economic conditions, influence credit volumes and activity. Advances in technology also permit retail lenders to better differentiate risk and to accept and price exposures more selectively. These advances promote the use of tailored products that are better able to meet individual borrower risk profiles, allowing many banks to expand their markets and increase profitability. This booklet describes prudent bank practices to manage retail credit risk appropriately. These include practices that examiners should consider when evaluating a bank's quantity of risk and quality of risk management.

Risks Associated With Retail Lending From a supervisory perspective, risk is the potential that events will have an adverse effect on a bank's current or projected financial condition 5 and resilience.⁶ The OCC has defined eight categories of risk for bank supervision purposes: credit, interest rate, liquidity, price, operational, compliance, strategic, and reputation. These categories are not mutually exclusive. Any product or service may expose a bank to multiple risks. Risks also may be interdependent and may be positively or negatively correlated. Examiners should be aware of and assess this interdependence. Examiners a

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reduce vulnerability to certain types of exposures. - Acceptance: When risk levels can be consciously tolerated or self-insured because the probability and severity are within reasonable limits. Banks sometimes accept risks because there are natural internal offsets, such as variable rate deposits funding variable rate loans. Examiners should determine how risk assessment exercises are a regular part of the bank

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include a set of policies, supported by appropriate procedures and processes, designed to provide risk data aggregation and reporting capabilities appropriate for the size, complexity, and risk profile of the covered bank, and to support supervisory reporting requirements. Collectively, these policies, procedures, and processes should provide for the following:

- Design, implementation, and maintenance of a data architecture and information technology infrastructure that supports the covered bank's risk aggregation and reporting needs during both normal times and times of stress.
- Capturing and aggregating of risk data and reporting of material risks, concentrations, and emerging risks in a timely manner to the board of directors and the OCC.
- Distribution of risk reports to all relevant parties at a frequency that meets the needs for decision-making purposes.²⁷

Well-Designed Strategies and Business Plans Strategic plans define the bank's desired role in the retail markets. A retail strategy typically states the bank's intent by product type, product risk appetite, economic sector, geographic location, and anticipated profitability. Decisions to offer a new product, significantly change terms on an existing product, or expand into a new market area are strategic decisions that should be supported by sound and documented analysis and due diligence.²⁸ This analysis extends to the risk assessment exercise and typically addresses

- competitive environ

and alternative methods or sources of reliable performance information. Changes in the bankruptcy laws that limit or expand certain forms of bankruptcy use by consumers. Low Greater shift to co-borrower reliance, lower total debt advances, underwriting more closely tied to shorter-term capacity. Potential for significant initial disruption unless existing loans are grandfathered. Controllable if implemented prospectively, but volumes and average loan amounts are likely to decline. Rapid increase in short-term interest rates that influence consumer-credit pricing indexes. Moderate, high 10 percent increase in credit card revenues, 2 percent increase in cost of funds, 5 percent increase in 30+ delinquencies. As long as interest rate increases are moderate (for example, no more than 100 basis points) the increase in revenues should offset the higher delinquency rates. Creates a need to monitor both measures closely. Relocation or substantial reduction of a local military base, the largest employer in the community, in the next three years. Moderate, high 20 percent increase in local unemployment, 25 percent decline in auto and installment loan volumes, 10 percent decline in checking and savings account volumes. Significant impact on borrowers employed by the base. Decline in new loan business and checking and savings accounts. Affects small businesses that serve customers living and working on the base. Creates a need to

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assessment designations. Some risk always exists when extending credit, and these discussions are more about determining the appropriateness of risk management practices given the bank's existing and intended risk profile than attempting to set an absolute risk level. 33

Risk in Loan Structures

Loan structures are generally the simplest starting point for evaluating retail credit risk. Generally, one of the lowest-risk loan structures is a fixed-rate, secured installment loan that fully amortizes the loan amount over a short term. Each characteristic contributes to a lower-risk loan structure. The fixed interest rate eliminates rate exposure for the borrower and normally adds stability to the payment stream. A perfected secured position provides for a secondary source of repayment in the event the borrower experiences financial difficulties and is unable to repay the loan. Full amortization allows the borrower to demonstrate a willingness and capacity to repay each month, allowing delinquency to be a reliable indicator of loan quality. A sh

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nge, and when necessary, oppose recommendations and decisions made by management that could cause the covered bank's risk profile to exceed its risk appetite or jeopardize the safety and soundness of the covered bank.¹⁵ Clear and Consistent Policies and Operating Procedures Lending policies and operating procedures help employees make consistent decisions, providing a sound foundation for sustainably profitable operations. The board typically sets broad policy goals, and senior management develops specific policies and operating procedures that promote effective day-to-day execution. Policies can vary among banks but should be commensurate with the bank's size, risk profile, portfolio objectives, core competencies, products offered, and target markets. Once policies and operating procedures have been developed, the board and senior management should hold bank personnel accountable for compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval authorities, necessary steps for approvals, and approval documentation requirements. 16 Process maps, which

rate loans require active asset-liability management by bank management because core deposits used to fund retail portfolios typically have a variable interest rate. Borrowers may also assume interest rate risk on such products as HELOCs. In this context, interest rate risk is the risk of higher monthly payments on variable-rate loans due to rising interest rates, a factor that may also increase credit risk for affected loans. Bank management generally identifies borrowers with heightened exposure to interest rate changes and considers the impact on these borrowers' ability to repay if interest rates were to increase. The "Interest Rate Risk" booklet of the Comptroller's Handbook provides additional information regarding interest rate risk.

Operational Risk Operational risk is the risk to current or projected financial condition and resilience arising from inadequate or failed internal processes or systems, human errors or misconduct, or adverse external events. Operational risk in retail lending is often elevated with higher volumes of loans, larger numbers of transactions processed, and more extensive use of automation and technology. Highly automated environments such as retail lending pose heightened operational risk exposure as issues in this area tend to affect numerous transactions and may compound the exposure of even minor errors. To control exposure and manage risks, outsourcing operational functions (e.g., loan origination, account management,

Safety and Soundness Ofce of the Comptroller of the Currency Washington, DC 20219 Comptroller's Handbook Management (M) Earnings (E) Liquidity (L) Sensitivity to Market Risk (S) Other Activities (O) Asset Quality (A) Capital Adequacy (C) Retail Lending Version 2.0, October 2021 References to reputation risk have been removed from this booklet as of March 20, 2025. Removal of reputation risk references is identified by a strikethrough. Refer to OCC Bulletin 2025-4.

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able interest rate. Borrowers may also assume interest rate risk on such products as HELOCs. In this context, interest rate risk is the risk of higher monthly payments on variable-rate loans due to rising interest rates, a factor that may also increase credit risk for affected loans. Bank management generally identifies borrowers with heightened exposure to interest rate changes and considers the impact on these borrowers' ability to repay if interest rates were to increase. The "Interest Rate Risk" booklet of the Comptroller's Handbook provides additional information regarding interest rate risk. Operational Risk Operational risk is the risk to current or projected financial condition and resilience arising from inadequate or failed internal processes or systems, human errors or misconduct, or adverse external events. Operational risk in retail lending is often elevated with higher volumes of loans, larger numbers of transactions processed, and more extensive use of automation and technology. Highly automated environments such as retail lending pose heightened operational risk exposure as issues in this area tend to affect numerous transactions and may compound the exposure of even minor errors. To control exposure and manage risks, outsourcing operational functions (e.g., loan origination, account management, collections, repossession/foreclosure, payment processing, data input, and legal assistance) to third parties should include due diligence before

d in bank products. The level of interest rate risk depends on the composition of the bank's loan portfolio and the degree to which loan terms (e.g., maturity, rate structure, and embedded options) expose the bank or its borrowers to changes in interest rates. Many borrowers prefer fixed interest rates on larger, long-term retail loans, such as first mortgages and automobile loans. Long-term fixed-rate loans require active asset-liability management by bank management because core deposits used to fund retail portfolios typically have a variable interest rate. Borrowers may also assume interest rate risk on such products as HELOCs. In this context, interest rate risk is the risk of higher monthly payments on variable-rate loans due to rising interest rates, a factor that may also increase credit risk for affected loans. Bank management generally identifies borrowers with heightened exposure to interest rate changes and considers the impact on these borrowers' ability to repay if interest rates were to increase. The "Interest Rate Risk" booklet of the Comptroller's Handbook provides additional information regarding interest rate risk. Operational Risk Operational risk is the risk to current or projected financial condition and resilience arising from inadequate or failed internal processes or systems, human errors or misconduct, or adverse external events. Operational risk in retail lending is often elevated with higher volumes of loans, larger numbers o

in retail lending activities are exposed to significant compliance risk due to the number of consumer protection laws and regulations. Some consumer protection-related laws relevant to retail lending include 8 - 10 USC 987, "Military Lending Act." - 12 USC 2601, et seq., "Real Estate Settlement Procedures Act." - 12 USC 2801 et. seq., "Home Mortgage Disclosure Act" - 12 USC 4901 et seq., "Homeowners Protection Act." - 15 USC 1601 et seq., "Truth in Lending." - 15 USC 1681 et seq., "Fair Credit Reporting Act." 15 USC 1691 et seq., "Equal Credit Opportunity Act." - 15 USC 1692 et seq., "Fair Debt Collection Practices Act." - 42 USC 3601 et seq., "Fair Housing Act." - 42 USC 4002, "Flood Disaster Protection Act." - 50 USC 3901 et seq., "Servicemembers Civil Relief Act." - laws prohibiting unfair, deceptive, or abusive acts or practices.⁹ Banks also have obligations arising from the Bank Secrecy Act (BSA), anti-money laundering (AML) laws, and the sanctions laws and regulations administered by the U.S. Department of the Treasury's Office of

Foreign Assets Control (OFAC).¹⁰ 8 For more information about consumer protection laws and regulations, refer to the Consumer Compliance booklets of the Comptroller's Handbook and interagency consumer compliance examination procedures. 9 For more information, refer to the "Unfair or Deceptive Acts or Practices and Unfair, Deceptive, or Abusive Acts or Practices" booklet of the Comptroller's Handbook. 10 For more

at currently have an impact on the covered bank or that could have an impact on the covered bank during the period covered by the strategic plan. - articulate an overall mission statement and strategic objectives for the covered bank and include an explanation of how the covered bank will achieve those objectives. - explain how the covered bank will update, as necessary, the risk governance framework to account for changes in the covered bank's risk profile projected under the strategic plan. - be reviewed, updated, and approved, as necessary, due to changes in the covered bank's risk profile or operating environment that were not contemplated when the strategic plan was developed.³² Considering Quantity of Risk The OCC expects risk management for retail credit activities to correspond to the bank's size, complexity, and risk profile. Examiners should assess risk management practices in the context of product and portfolio risk. For examination purposes, the OCC refers to the bank's inherent risk profile as the quantity of risk. There are many ways to assess the bank's risk profile, and examiners should have active discussions with management and the board to determine how and when the bank assumes risk. For retail credit, discussions often focus on four key areas: risk in loan structures, risk in target markets, risk in credit underwriting due diligence, and risk layering. These discussions are often subjective, involving judgment and experience to sup

SECTION 4: CREDITWORTHINESS ASSESSMENT

4.1 Minimum Credit Score Requirements

The Bank requires a minimum FICO score of 720 for automatic approval.

Applicants with scores between 660 and 719 will be referred for Manual Review.

Applicants with scores below 660 shall be declined, unless a specific exception applies (see Section 4.5).

4.2 Debt-to-Income (DTI) Ratio

Maximum acceptable DTI is 36% for auto-approval.

DTI up to 43% is acceptable if the applicant has a FICO score > 750 ("The High Earner Exception").

4.3 Bankruptcy & Delinquency

Any bankruptcy in the last 7 years is an automatic decline.

More than 1 late payment in the last 12 months requires Manual Review.

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(ACL) requirements. - reporting content and distribution. - key performance monitoring measures. Before implementation, management should reconcile business plans with existing lending and operating policies for comprehensive coverage and consistency. Bank staff should be thoroughly briefed and trained on any changes, with reporting systems and internal controls fully tested and operational. Examiners should pay particular attention to how banks implement new business strategies, including the rollout of new products or initiatives. This is especially important when changes could significantly affect the bank's size, operating approach, or risk profile. Examiners should consider whether effective change management processes exist, including realistic assessments of costs and resource requirements (including information technology requirements); adequate testing periods; timely and accurate performance monitoring; and effective policies, operating procedures, and internal controls. 29 Even after business plans are developed, the board, or a designated board committee, should evaluate whether senior management is fully capable of managing credit activities within the approved risk strategy, policies, and tolerances. Compensation policies should not contradict the credit risk strategy. Red flags generally include focusing on loan production at the expense of loan quality, generating nominal profits while deviating from credit policies, or exceeding establis

ntified, measured, monitored, and controlled, consistent with the covered bank's risk appetite statement, concentration risk limits, and all policies established within the risk governance framework.¹⁸

Well-Developed Risk Appetite The OCC defines risk appetite as the aggregate level and types of risk the board and management are willing to assume to achieve the bank's strategic objectives and business plan, consistent with applicable capital, liquidity, and other regulatory requirements. 19 Well-developed risk appetite statements establish a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Specific assertions generally include acceptable risks the board intends bank management to take, and unacceptable risks that should be avoided or heavily mitigated. Used properly, an established risk appetite is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances. There are many ways to approach establishing a risk appetite, and the structure and formality should be consistent with the bank's size, complexity, and risk profile. 20 The board of a bank with small, noncomplex, or low-risk retail portfolios might establish a risk appetite at the bank level, and then management would reconcile retail credit business plans to determine consistency with the overall risk appetite. Banks with large, complex, or high-r

for credit losses (ACL) requirements. - reporting content and distribution. - key performance monitoring measures. Before implementation, management should reconcile business plans with existing lending and operating policies for comprehensive coverage and consistency. Bank staff should be thoroughly briefed and trained on any changes, with reporting systems and internal controls fully tested and operational. Examiners should pay particular attention to how banks implement new business strategies, including the rollout of new products or initiatives. This is especially important when changes could significantly affect the bank's size, operating approach, or risk profile. Examiners should consider whether effective change management processes exist, including realistic assessments of costs and resource requirements (including information technology requirements); adequate testing periods; timely and accurate performance monitoring; and

effective policies, operating procedures, and internal controls. 29 Even after business plans are developed, the board, or a designated board committee, should evaluate whether senior management is fully capable of managing credit activities within the approved risk strategy, policies, and tolerances. Compensation policies should not contradict the credit risk strategy. Red flags generally include focusing on loan production at the expense of loan quality, generating nominal profits while deviating from credit policies, or

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allenges. A set of well-designed standard reports should monitor activity continually, even if the data seem stable. Consistent reporting allows managers to gain a comfort level with the information, ask insightful questions, and request additional facts or analysis when issues warrant. Effective reporting generally includes four common characteristics that improve utility:

- Performance trends: Providing data in a consistent form over time helps provide perspective and a deeper understanding of portfolio composition and migration. Most banks report performance trends for at least the past 13 months, but many retail managers find trends over a rolling eight-quarter time frame most useful for considering patterns and seasonality.
- Actual results compared with projections: Context is important. Effective reports compare actual results with management expectations and quantitative benchmarks, with variances identified and explained.
- Precise and informative narrative: Useful data charts generally include narrative, especially in reports for senior management and the board. Rather than require readers to make assumptions, reports walk the user through the issue or topic in a logical, intuitive manner. The more distanced the user is from day-to-day management of an issue, the more simple, clear, and direct the narrative should be.
- Segmented performance: Segmentation refers to breaking down aggregated data into smaller subpopulations for analysis and mon

Id pay particular attention to how banks implement new business strategies, including the rollout of new products or initiatives. This is especially important when changes could significantly affect the bank's size, operating approach, or risk profile. Examiners should consider whether effective change management processes exist, including realistic assessments of costs and resource requirements (including information technology requirements); adequate testing periods; timely and accurate performance monitoring; and effective policies, operating procedures, and internal controls. 29 Even after business plans are developed, the board, or a designated board committee, should evaluate whether senior management is fully capable of managing credit activities within the approved risk strategy, policies, and tolerances. Compensation policies should not contradict the credit risk strategy. Red flags generally include focusing on loan production at the expense of loan quality, generating nominal profits while deviating from credit policies, or exceeding established limits.30 In addition, for residential real estate-secured lending, loan officer compensation policies must comply with the requirements of Regulation Z, which implements the Truth in Lending Act.31 All such practices affect the bank's credit processes. The board should monitor these practices closely and act on any deviations. 29 Ibid 30 The OCC expects banks to regularly review their incentive com

ail lender might consider during a credit risk assessment exercise. Table 1: Credit Risk Assessment Exercise Example

Risk event	Likelihood	Impact	Significance
Significant new technology advancement or application that changes how retail lending products are marketed, priced, and delivered to consumers.	Low, moderate	20 percent revenue reduction for the next year due to new competitors and the need to update delivery channels. Material shortfall in revenues and business profitability. May require reexamining the business model and competitive approach.	Disruption in the mortgage insurance industry that limits availability or significantly increases costs. Low 25 percent reduction in origination volumes. 10 percent increase in capital requirements from keeping greater origination volumes on the balance sheet. Could change fundamental operation of residential mortgage markets. Higher cost of insurance. Significant

secondary market disruption until alternative sources emerge. Potential opportunity to selectively expand market share in profitable target markets if the bank is willing to use balance-sheet capacity. Changes in the reliability or timeliness of credit information available from credit bureaus or other third-party sources. Low, moderate Significant potential impact on credit scores and reliability of credit bureau information for estimating risk. Potential serious setback for consumer lending in the United Sta

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n technology also permit retail lenders to better differentiate risk and to accept and price exposures more selectively. These advances promote the use of tailored products that are better able to meet individual borrower risk profiles, allowing many banks to expand their markets and increase profitability. This booklet describes prudent bank practices to manage retail credit risk appropriately. These include practices that examiners should consider when evaluating a bank's quantity of risk and quality of risk management. Risks Associated With Retail Lending From a supervisory perspective, risk is the potential that events will have an adverse effect on a bank's current or projected financial condition⁵ and resilience.⁶ The OCC has defined eight categories of risk for bank supervision purposes: credit, interest rate, liquidity, price, operational, compliance, strategic, and reputation. These categories are not mutually exclusive. Any product or service may expose a bank to multiple risks. Risks also may be interdependent and may be positively or negatively correlated. Examiners should be aware of and assess this interdependence. Examiners also should be alert to concentrations that can significantly elevate risk. Concentrations can accumulate within and across products, business lines, geographic areas, countries, and legal entities. Refer to the "Bank Supervision Process" booklet of the Comptroller's Handbook for an expanded discussion of banking ris

practices that are inconsistent with the risk governance framework. - Established risk appetite:¹⁴ Establishing a risk appetite means developing a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Risk appetite statements generally include acceptable risks bank management intends to take because the risk is sufficiently compensated and unacceptable risks that should be avoided or heavily mitigated. Used properly, the risk appetite statement is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances that should not be exceeded without proper escalation and approval.

13 For most banks, an IRM function or process is an important control. Some community banks with standard products and low-risk concentration levels may operate prudently without an IRM function. These banks, however, should generally maintain appropriate internal controls and internal audit coverage of retail lending activities. 14 Risk appetite refers to the aggregate level and types of risk the board and senior management are willing to assume to achieve the bank's strategic objectives and business plan, consistent with applicable capital, liquidity, and other regulatory requirements. Smaller community banks may not have a formal risk appetite statement; however, board-approved policies and procedures should include sufficient discussio

of four categories: - Avoidance: When risks cannot be adequately identified, measured, monitored, or controlled. Avoidance might include exiting a business line or geographic segment after appropriate evaluation of the risks or deciding not to engage in a new product or service. - Mitigation: When risk levels

can be adequately managed internally or shared or controlled by third parties. Sharing might include insurance, partnerships, hedging, outsourcing, or other risk transfer methods. - Reduction: When risk levels can be managed to within acceptable tolerances, generally through risk, concentration, or operational limits. Reduction often includes diversification limits, business rules, and portfolio rebalancing to reduce vulnerability to certain types of exposures. - Acceptance: When risk levels can be consciously tolerated or self-insured because the probability and severity are within reasonable limits. Banks sometimes accept risks because there are natural internal offsets, such as variable rate deposits funding variable rate loans. Examiners should determine how risk assessment exercises are a regular part of the bank's risk appetite and business strategy development. The structure and formality of risk assessments depend on the bank's size, complexity, and risk profile. Banks with large, complex retail portfolios should have enhanced risk appetite and risk assessment processes and documentation, and these estimates should work in concert with

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the types of products offered and the way they are funded. Retail portfolios are typically funded through the bank's deposit base, wholesale funding, securitizing loans, or a combination of the three. Liquidity risk may arise from a bank's failure to recognize or address changes in market conditions that affect its ability to liquidate assets quickly and with minimal loss in value. Liquidity risk is also present in a bank's obligation to fund unfunded commitments of open-ended credit, such as credit cards or HELOCs. Compliance Risk Compliance risk is the risk to current or projected financial condition and resilience arising from violations of laws or regulations, or from nonconformance with prescribed practices, internal bank policies and procedures, or ethical standards. Banks engaged in retail lending activities are exposed to significant compliance risk due to the number of consumer protection laws and regulations. Some consumer protection-related laws relevant to retail lending include 8 - 10 USC 987, "Military Lending Act." - 12 USC 2601, et seq., "Real Estate Settlement Procedures Act." - 12 USC 2801 et. seq., "Home Mortgage Disclosure Act" - 12 USC 4901 et seq., "Homeowners Protection Act." - 15 USC 1601 et seq., "Truth in Lending." - 15 USC 1681 et seq., "Fair Credit Reporting Act." 15 USC 1691 et seq., "Equal Credit Opportunity Act." - 15 USC 1692 et seq., "Fair Debt Collection Practices Act." - 42 USC 3601 et seq., "Fair Housing Act." -

sses. Reputation Risk Reputation risk is the risk to current or projected financial condition and resilience arising from negative public opinion. This risk may impair the bank's competitiveness by affecting its ability to establish new relationships or services or continue servicing existing relationships. Inadequate policies and procedures, operational breakdowns, or general weaknesses in any aspect of the bank's retail lending activities can harm its reputation. Lack of due diligence on products and services offered by third parties, inappropriate delegation and oversight of activities performed by third parties, and wrongful acts by third parties acting on the bank's behalf may also increase a bank's reputation risk exposure. Effective systems and controls to identify, measure, monitor, and control potential issues, such as appropriate oversight of sales, servicing, marketing, loss mitigation practices, and third parties, are critical to managing reputation risk. Risk Management Each bank should identify, measure, monitor, and control risk by implementing an effective risk management system appropriate for the bank's size, complexity, and risk profile. When examiners assess the effectiveness of a bank's risk management system, they consider the bank's policies, processes, personnel, and control systems. Refer to the "Corporate and Risk Governance" booklet of the Comptroller's Handbook for an expanded discussion of risk management. Examiners

n be qualitative (high, moderate, or low) or quantitative (5 percent chance of occurring). The impact column focuses primarily on the event's direct effect on the business, and the significance column focuses on how results are likely to affect business strategies or major objectives. Other factors can be part of the risk assessment exercise, such as a residual risk rating that considers risk levels after controls or other mitigating factors are taken into account. Examiners should consider whether each bank's exercise is a practical, thoughtful, and systematic approach to identifying and considering risk. Factors to consider include whether a reasonably wide range of primary threats is considered, all important risk events have been identified, risks are monitored on a continual basis, potential exposures have been quantified after consideration of likelihood and impact, and responses are reasonable and appropriate. The results of the risk assessment process help management design appropriate business responses to available opportunities. Responses generally

fall within one of four categories:

- Avoidance: When risks cannot be adequately identified, measured, monitored, or controlled. Avoidance might include exiting a business line or geographic segment after appropriate evaluation of the risks or deciding not to engage in a new product or service.
- Mitigation: When risk levels can be adequately managed internally or shared or controlled by third parties

ured by their personal residences, including first mortgage, home equity, and home improvement loans. Retail lending products may be either secured or unsecured, and the source of repayment is typically the borrower's employment-related income (or less frequently, the borrower's assets²). Retail loan structures generally fall into one of two types: closed-end installment loans and open-end revolving lines of credit.

- Closed-end installment loans include loans made for a predetermined amount, with periodic payments of principal and interest over a specified term. Most often, the payments completely pay off the loan amount by the end of the term. In some cases, amortization schedules extend past the maturity date, leaving a lump sum (or balloon) payment due upon maturity. The finance charge may include a fixed or variable rate, and the borrower does not have the option of obtaining additional funds under the original loan agreement.
- 3 Examples of closed-end installment loans include mortgage loans and auto loans.
- Open-end revolving lines of credit include amounts available to a borrower up to a preset credit limit for a specified amount of time. Balances may be drawn or paid down at any time at the borrower's option. Repayment terms typically require interest each month, and often some portion of principal as well. Some revolving lines of credit require full repayment of principal at maturity, while others convert automatically into a closed-end loan

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e funding, securitizing loans, or a combination of the three. Liquidity risk may arise from a bank's failure to recognize or address changes in market conditions that affect its ability to liquidate assets quickly and with minimal loss in value. Liquidity risk is also present in a bank's obligation to fund unfunded commitments of open-ended credit, such as credit cards or HELOCs. **Compliance Risk** Compliance risk is the risk to current or projected financial condition and resilience arising from violations of laws or regulations, or from nonconformance with prescribed practices, internal bank policies and procedures, or ethical standards. Banks engaged in retail lending activities are exposed to significant compliance risk due to the number of consumer protection laws and regulations. Some consumer protection-related laws relevant to retail lending include 8 - 10 USC 987, "Military Lending Act." - 12 USC 2601, et seq., "Real Estate Settlement Procedures Act." - 12 USC 2801 et. seq., "Home Mortgage Disclosure Act" - 12 USC 4901 et seq., "Homeowners Protection Act." - 15 USC 1601 et seq., "Truth in Lending." - 15 USC 1681 et seq., "Fair Credit Reporting Act." 15 USC 1691 et seq., "Equal Credit Opportunity Act." - 15 USC 1692 et seq., "Fair Debt Collection Practices Act." - 42 USC 3601 et seq., "Fair Housing Act." - 42 USC 4002, "Flood Disaster Protection Act." - 50 USC 3901 et seq., "Servicemembers Civil Relief Act." - laws prohibiting unfair, deceptive

c plans define the bank's desired role in the retail markets. A retail strategy typically states the bank's intent by product type, product risk appetite, economic sector, geographic location, and anticipated profitability. Decisions to offer a new product, significantly change terms on an existing product, or expand into a new market area are strategic decisions that should be supported by sound and documented analysis and due diligence. 28 This analysis extends to the risk assessment exercise and typically addresses - competitive environment. - capabilities and expertise. - operational capacity. - staffing and training needs. - control systems in place and those needed. - compliance requirements (e.g., consumer protection and fair lending). - reporting and operational systems. - financial projections. Once senior management and the board adopt strategic objectives, business line managers prepare complementary business plans for each major product. Business plan development should involve knowledgeable staff from key functional areas, including risk management, credit policy, marketing, systems, operations, training, finance or accounting, legal, compliance, internal audit, quality assurance, and, if appropriate, staff from third-party relationship management and model risk management. Individuals representing each area 27 For more information, refer to 12 CFR 30, appendix D, II.J, "Risk Data Aggregation and Reporting." 28 For more information, r

ss plans, promotes buy-in from important parties, and minimizes unanticipated problems during implementation. Common topics in retail business plans address - product design, marketing, and product mix and customer risk profile. - volume and profitability projections. - product testing parameters. - concentration and risk limits. - capital and allowance for loan and lease losses (ALLL) or allowance for credit losses (ACL) requirements. - reporting content and distribution. - key performance monitoring measures. Before implementation, management should reconcile business plans with existing lending and operating policies for comprehensive coverage and consistency. Bank staff should be thoroughly briefed and trained on any changes, with reporting systems and internal controls fully tested and operational. Examiners should pay particular attention to how banks implement new business strategies, including the rollout of new products or initiatives. This is especially important when changes could significantly affect the bank's size,

operating approach, or risk profile. Examiners should consider whether effective change management processes exist, including realistic assessments of costs and resource requirements (including information technology requirements); adequate testing periods; timely and accurate performance monitoring; and effective policies, operating procedures, and internal controls. 29 Even after business plans are developed, the board,

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ns are generally in writing, with regular reporting to capture exceptions at the transaction, product segment, product, and portfolio levels. Most banks perform enhanced analysis when exception volumes reach established thresholds, and results of the analysis should be an important factor in policy updates or revisions. Policy exception volumes and analysis should be a normal part of board and senior management reporting. Policy compliance is a useful risk management tool, and examiners should view adherence to the exceptions process as an important internal control. Some exceptions will occur because it is nearly impossible to construct underwriting or operating policies covering every lending situation. Still, exception types and volumes should be controlled, with appropriate reporting to identify and track exceptions and appropriate analysis to determine causes, impact, and any need for corrective action. Policy exceptions for retail lending typically fall into three categories: - Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc. - Credit scoring: High- and low-side overrides. 24 - Documentation: Loan application, transaction information, and collateral perfection or valuation. Exception limits for each, and in aggregate, are typically established by either dollar amounts or transaction volumes per month.²⁵ Trends can vary between dollar and transaction volumes, and banks with larger or more complex portfolios should

d bank's risk-taking activities and hold management accountable for adhering to the risk governance framework. In providing active oversight, the directors may rely on risk assessments and reports prepared by IRM and internal audit to support the bank's ability to question, challenge, and when necessary, oppose recommendations and decisions made by management that could cause the covered bank's risk profile to exceed its risk appetite or jeopardize the safety and soundness of the covered bank.¹⁵ Clear and Consistent Policies and Operating Procedures Lending policies and operating procedures help employees make consistent decisions, providing a sound foundation for sustainably profitable operations. The board typically sets broad policy goals, and senior management develops specific policies and operating procedures that promote effective day-to-day execution. Policies can vary among banks but should be commensurate with the bank's size, risk profile, portfolio objectives, core competencies, products offered, and target markets. Once policies and operating procedures have been developed, the board and senior management should hold bank personnel accountable for compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines.

e inability to access funding sources or manage fluctuations in funding levels. Liquidity risk in retail credit depends largely on the types of products offered and the way they are funded. Retail portfolios are typically funded through the bank's deposit base, wholesale funding, securitizing loans, or a combination of the three. Liquidity risk may arise from a bank's failure to recognize or address changes in market conditions that affect its ability to liquidate assets quickly and with minimal loss in value. Liquidity risk is also present in a bank's obligation to fund unfunded commitments of open-ended credit, such as credit cards or HELOCs. Compliance Risk Compliance risk is the risk to current or projected financial condition and resilience arising from violations of laws or regulations, or from nonconformance with prescribed practices, internal bank

policies and procedures, or ethical standards. Banks engaged in retail lending activities are exposed to significant compliance risk due to the number of consumer protection laws and regulations. Some consumer protection-related laws relevant to retail lending include 8 - 10 USC 987, "Military Lending Act." - 12 USC 2601, et seq., "Real Estate Settlement Procedures Act." - 12 USC 2801 et. seq., "Home Mortgage Disclosure Act" - 12 USC 4901 et seq., "Homeowners Protection Act." - 15 USC 1601 et seq., "Truth in Lending." - 15 USC 1681 et seq., "Fair Credit Reporting Act."15 USC 1691 et seq., "Equal C

m interest-related options embedded in bank products. The level of interest rate risk depends on the composition of the bank's loan portfolio and the degree to which loan terms (e.g., maturity, rate structure, and embedded options) expose the bank or its borrowers to changes in interest rates. Many borrowers prefer fixed interest rates on larger, long-term retail loans, such as first mortgages and automobile loans. Long-term fixed-rate loans require active asset-liability management by bank management because core deposits used to fund retail portfolios typically have a variable interest rate. Borrowers may also assume interest rate risk on such products as HELOCs. In this context, interest rate risk is the risk of higher monthly payments on variable-rate loans due to rising interest rates, a factor that may also increase credit risk for affected loans. Bank management generally identifies borrowers with heightened exposure to interest rate changes and considers the impact on these borrowers' ability to repay if interest rates were to increase. The "Interest Rate Risk" booklet of the Comptroller's Handbook provides additional information regarding interest rate risk.

Operational Risk Operational risk is the risk to current or projected financial condition and resilience arising from inadequate or failed internal processes or systems, human errors or misconduct, or adverse external events. Operational risk in retail lending is often elevated with higher

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major objectives. Other factors can be part of the risk assessment exercise, such as a residual risk rating that considers risk levels after controls or other mitigating factors are taken into account. Examiners should consider whether each bank's exercise is a practical, thoughtful, and systematic approach to identifying and considering risk. Factors to consider include whether a reasonably wide range of primary threats is considered, all important risk events have been identified, risks are monitored on a continual basis, potential exposures have been quantified after consideration of likelihood and impact, and responses are reasonable and appropriate. The results of the risk assessment process help management design appropriate business responses to available opportunities. Responses generally fall within one of four categories: - Avoidance: When risks cannot be adequately identified, measured, monitored, or controlled. Avoidance might include exiting a business line or geographic segment after appropriate evaluation of the risks or deciding not to engage in a new product or service. - Mitigation: When risk levels can be adequately managed internally or shared or controlled by third parties. Sharing might include insurance, partnerships, hedging, outsourcing, or other risk transfer methods. - Reduction: When risk levels can be managed to within acceptable tolerances, generally through risk, concentration, or operational limits. Reduction often includes

risk appetite statements generally result from analysis and consideration of each of these risk characteristics. Each helps management understand and articulate parameters for managing the business and assuming risk. Examiners may see different terms and labels for these characteristics but should typically expect to see the essentials of each as part of the risk assessment exercise that establishes the bank's risk appetite statement. Heightened Standards A covered bank should have a comprehensive written statement that articulates the covered bank's risk appetite and serves as the basis for the risk governance framework. The risk appetite statement should include both qualitative components and quantitative limits. The qualitative components should describe a safe and sound risk culture and how the covered bank assesses and accepts risks, including those that are difficult to quantify. Quantitative limits should incorporate sound stress testing processes, as appropriate, and address the covered bank's earnings, capital, and liquidity. The covered bank should set limits at levels that take into account appropriate capital and liquidity buffers and prompt management and the board of directors to reduce risk before the covered bank's risk profile jeopardizes the

adequacy of its earnings, liquidity, and capital.²¹ Structured Risk Assessment A practical, realistic assessment of risks facing the business is an important foundation for developing a risk app

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y and soundness of the covered bank.¹⁵ Clear and Consistent Policies and Operating Procedures

Lending policies and operating procedures help employees make consistent decisions, providing a sound foundation for sustainably profitable operations. The board typically sets broad policy goals, and senior management develops specific policies and operating procedures that promote effective day-to-day execution. Policies can vary among banks but should be commensurate with the bank's size, risk profile, portfolio objectives, core competencies, products offered, and target markets. Once policies and operating procedures have been developed, the board and senior management should hold bank personnel accountable for compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval authorities, necessary steps for approvals, and approval documentation requirements. ¹⁶ Process maps, which link directly to operating procedures, provide a third level of detail and documentation on how and when specific actions occur. The discipline of committing policies, procedures,

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credit. Economic factors, such as inflation, interest rates, employment, and local economic conditions, influence credit volumes and activity. Advances in technology also permit retail lenders to better differentiate risk and to accept and price exposures more selectively. These advances promote the use of tailored products that are better able to meet individual borrower risk profiles, allowing many banks to expand their markets and increase profitability. This booklet describes prudent bank practices to manage retail credit risk appropriately. These include practices that examiners should consider when evaluating a bank's quantity of risk and quality of risk management.

Risks Associated With Retail Lending From a supervisory perspective, risk is the potential that events will have an adverse effect on a bank's current or projected financial condition⁵ and resilience.⁶ The OCC has defined eight categories of risk for bank supervision purposes: credit, interest rate, liquidity, price, operational, compliance, strategic, and reputation. These categories are not mutually exclusive. Any product or service may expose a bank to multiple risks. Risks also may be interdependent and may be positively or negatively correlated. Examiners should be aware of and assess this interdependence. Examiners also should be alert to concentrations that can significantly elevate risk. Concentrations can accumulate within and across products, business lines, geographic ar

identifying a particular retail risk preference. For more information, refer to the "Fair Lending" booklet of the Comptroller's Handbook.

- Retail risk limits that are capacity controls to manage risk levels. Risk limits are set for specific risk sources, business units, or products, and help implement the higher-level risk tolerances. Some banks use their stress testing results to establish aggregate and product risk capacity, translating results into operational capacity limits. Risk limits complement the risk tolerances and are generally more granular, practical controls at the portfolio and sub-portfolio levels, using metrics that can be managed at the business line level. Practical risk appetite statements generally result from analysis and consideration of each of these risk characteristics. Each helps management understand and articulate parameters for managing the business and assuming risk. Examiners may see different terms and labels for these characteristics but should typically expect to see the essentials of each as part of the risk assessment exercise that establishes the bank's risk appetite statement.
- Heightened Standards** A covered bank should have a comprehensive written statement that articulates the covered bank's risk appetite and serves as the basis for the risk governance framework. The risk appetite statement should include both qualitative components and quantitative limits. The qualitative components should describe a safe and

ilities. Committee responsibilities often encompass both risk and business management objectives, and membership should include individuals with the knowledge and experience for the tasks.

- Clear lines of authority, responsibility, and accountability: Roles and responsibilities across the retail lending business should be well defined and well communicated. Business managers should identify and assess material risks, operate within the parameters of an established risk appetite, and adhere to established policies and operating procedures. An independent credit and risk management review process should assess credit risk independent of the business unit,¹³ monitor compliance with concentration and risk limits, and raise issues directly to senior management, oversight committees, and the board. Internal audit and other independent control functions should evaluate the adequacy of established policies and procedures and identify practices that are inconsistent with the risk governance framework.
- Established risk appetite:¹⁴ Establishing a risk

appetite means developing a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Risk appetite statements generally include acceptable risks bank management intends to take because the risk is sufficiently compensated and unacceptable risks that should be avoided or heavily mitigated. Used properly, the risk appetite statement is

structures, risk in target markets, risk in credit underwriting due diligence, and risk layering. These discussions are often subjective, involving judgment and experience to support proper risk assessment designations. Some risk always exists when extending credit, and these discussions are more about determining the appropriateness of risk management practices given the bank's existing and intended risk profile than attempting to set an absolute risk level. 33 Risk in Loan Structures Loan structures are generally the simplest starting point for evaluating retail credit risk. Generally, one of the lowest-risk loan structures is a fixed-rate, secured installment loan that fully amortizes the loan amount over a short term. Each characteristic contributes to a lower-risk loan structure. The fixed interest rate eliminates rate exposure for the borrower and normally adds stability to the payment stream. A perfected secured position provides for a secondary source of repayment in the event the borrower experiences financial difficulties and is unable to repay the loan. Full amortization allows the borrower to demonstrate a willingness and capacity to repay each month, allowing delinquency to be a reliable indicator of loan quality. A short loan term (or reasonable term for the loan's purpose) increases the likelihood of full repayment under the economic and financial circumstances considered in 32 For more information, refer to 12 CFR 30, appendix D, II.D,

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ciated with retail lending and provides a framework for evaluating risk management activities. In accordance with the OCC's risk-based supervision approach, examiners begin their evaluation of retail lending activities with the core assessment in the "Community Bank Supervision," "Federal Branches and Agencies Supervision," or "Large Bank Supervision" booklets of the Comptroller's Handbook. The "Retail Lending" booklet includes expanded examination procedures that examiners should use when specific retail credit products, services, or risks warrant review beyond the core assessment. This booklet's objective is to consider risk management practices fundamental to retail lending and common across product types. A bank's retail lending practices should be commensurate with the bank's size, complexity, and risk profile. Additional product-specific considerations may apply. For example, certain lending and risk management practices relevant to particular products are described in other booklets of the Comptroller's Handbook, including "Residential Real Estate Lending," "Mortgage Banking," "Credit Card Lending," "Student Lending," "Deposit-Related Credit," and "Installment Lending." Specific consumer protection laws and regulations applicable to retail lending are discussed in the Consumer Compliance booklets of the Comptroller's Handbook. In addition, the OCC has established minimum standards for designing and implementing a risk governance framework for cert

typically includes overseeing the establishment of a risk management framework that effectively assesses risks, monitors exposures, and adopts the necessary policies and procedures for operating the retail business in a sound and prudent manner. Informed directors also understand that the framework should be consistent with the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include

- structured oversight by the board and senior management.
- clear and consistent policies and operating procedures.
- a well-established risk appetite.
- structured risk assessments.
- well-defined processes for policy exceptions.
- effective monitoring reports.
- well-designed strategies, business plans, and product testing.

Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk governance framework should include delegations of authority from the board to management committees and executive officers as well as the risk limits established

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20 percent revenue reduction for the next year due to new competitors and the need to update delivery channels. Material shortfall in revenues and business profitability. May require reexamining the business model and competitive approach. Disruption in the mortgage insurance industry that limits availability or significantly increases costs. Low 25 percent reduction in origination volumes. 10 percent increase in capital requirements from keeping greater origination volumes on the balance sheet. Could change fundamental operation of residential mortgage markets. Higher cost of insurance. Significant secondary market disruption until alternative sources emerge. Potential opportunity to selectively expand market share in profitable target markets if the bank is willing to use balance-sheet capacity. Changes in the reliability or timeliness of credit information available from credit bureaus or other third-party sources. Low, moderate Significant potential impact on credit scores and reliability of credit bureau information for estimating risk. Potential serious setback for consumer lending in the United States. May prompt a search to find alternative methods or sources of reliable performance information. Changes in the bankruptcy laws that limit or expand certain forms of bankruptcy use by consumers. Low Greater shift to co-borrower reliance, lower total debt advances, underwriting more closely tied to shorter-term ca

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lish new relationships or services or continue servicing existing relationships. Inadequate policies and procedures, operational breakdowns, or general weaknesses in any aspect of the bank's retail lending activities can harm its reputation. Lack of due diligence on products and services offered by third parties, inappropriate delegation and oversight of activities performed by third parties, and wrongful acts by third parties acting on the bank's behalf may also increase a bank's reputation risk exposure. Effective systems and controls to identify, measure, monitor, and control potential issues, such as appropriate oversight of sales, servicing, marketing, loss mitigation practices, and third parties, are critical to managing reputation risk. Risk Management Each bank should identify, measure, monitor, and control risk by implementing an effective risk management system appropriate for the bank's size, complexity, and risk profile. When examiners assess the effectiveness of a bank's risk management system, they consider the bank's policies, processes, personnel, and control systems. Refer to the "Corporate and Risk Governance" booklet of the Comptroller's Handbook for an expanded discussion of risk management. Examiners should assess risk management practices in the context of inherent product and portfolio risks. While risk management objectives are similar for most banks, specific practices may differ depending on the products offered, the volume an

all into one of two types: closed-end installment loans and open-end revolving lines of credit. - Closed-end installment loans include loans made for a predetermined amount, with periodic payments of principal and interest over a specified term. Most often, the payments completely pay off the loan amount by the end of the term. In some cases, amortization schedules extend past the maturity date, leaving a lump sum (or balloon) payment due upon maturity. The finance charge may include a fixed or variable rate, and the borrower does not have the option of obtaining additional funds under the original loan agreement. 3 Examples of closed-end installment loans include mortgage loans and auto loans. - Open-end revolving lines of credit include amounts available to a borrower up to a preset credit limit for a specified amount of time. Balances may be drawn or paid down at any time at the borrower's option. Repayment terms typically require interest each month, and often some portion of principal as well. Some revolving lines of credit require full repayment of principal at maturity, while others convert automatically into a closed-end loan once the revolving period ends. Examples of open-end revolving lines of credit include credit cards and home equity lines of credit (HELOC). Banks offer retail lending products directly through a range of sources, including branch offices and online banking platforms. Banks also use indirect origination sources,⁴ such as

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Reporting generally includes four common characteristics that improve utility:

- Performance trends: Providing data in a consistent form over time helps provide perspective and a deeper understanding of portfolio composition and migration. Most banks report performance trends for at least the past 13 months, but many retail managers find trends over a rolling eight-quarter time frame most useful for considering patterns and seasonality.
- Actual results compared with projections: Context is important. Effective reports compare actual results with management expectations and quantitative benchmarks, with variances identified and explained.
- Precise and informative narrative: Useful data charts generally include narrative, especially in reports for senior management and the board. Rather than require readers to make assumptions, reports walk the user through the issue or topic in a logical, intuitive manner. The more distanced the user is from day-to-day management of an issue, the more simple, clear, and direct the narrative should be.
- Segmented performance: Segmentation refers to breaking down aggregated data into smaller subpopulations for analysis and monitoring. Aggregated data should be segmented whenever performance could reasonably be expected to differ, allowing patterns that might otherwise be diluted by aggregated data to become more readily apparent. For example, new loans could be tracked by acquisition source, vintage, geography, or other co

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Business plans, promotes buy-in from important parties, and minimizes unanticipated problems during implementation. Common topics in retail business plans address

- product design, marketing, and product mix and customer risk profile.
- volume and profitability projections.
- product testing parameters.
- concentration and risk limits.
- capital and allowance for loan and lease losses (ALLL) or allowance for credit losses (ACL) requirements.
- reporting content and distribution.
- key performance monitoring measures.

Before implementation, management should reconcile business plans with existing lending and operating policies for comprehensive coverage and consistency. Bank staff should be thoroughly briefed and trained on any changes, with reporting systems and internal controls fully tested and operational. Examiners should pay particular attention to how banks implement new business strategies, including the rollout of new products or initiatives. This is especially important when changes could significantly affect the bank's size, operating approach, or risk profile. Examiners should consider whether effective change management processes exist, including realistic assessments of costs and resource requirements (including information technology requirements); adequate testing periods; timely and accurate performance monitoring; and effective policies, operating procedures, and internal controls. 29 Even after business plans are developed, the board

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ition and resilience arising from an inability to meet obligations when they come due. Liquidity risk includes the inability to access funding sources or manage fluctuations in funding levels. Liquidity risk in retail credit depends largely on the types of products offered and the way they are funded. Retail portfolios are typically funded through the bank's deposit base, wholesale funding, securitizing loans, or a combination of the three. Liquidity risk may arise from a bank's failure to recognize or address changes in market conditions that affect its ability to liquidate assets quickly and with minimal loss in value. Liquidity risk is also present in a bank's obligation to fund unfunded commitments of open-ended credit, such as credit cards or HELOCs.

Compliance Risk Compliance risk is the risk to current or projected financial condition and resilience arising from violations of laws or regulations, or from nonconformance with prescribed practices, internal bank policies and procedures, or ethical standards. Banks engaged in retail lending activities are exposed to significant compliance risk due to the number of consumer protection laws and regulations. Some consumer protection-related laws relevant to retail lending include 8 - 10 USC 987, "Military Lending Act." - 12 USC 2601, et seq., "Real Estate Settlement Procedures Act." - 12 USC 2801 et. seq., "Home Mortgage Disclosure Act" - 12 USC 4901 et seq., "Homeowners Protection Act." - 15 USC 1

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he volume, performance, and potential impact of credit policy exceptions promote sound board oversight. - Established risk and product committees: Product and risk oversight committees serve as active forums to discuss risks and emerging issues, provide a broad spectrum of input, and evaluate or approve decisions. Community banks that have small, noncomplex loan portfolios typically have fewer committees with broader responsibilities, while larger banks typically have product-specific committees with narrower scopes. Committee charters define required membership, frequency of meetings and reports, documentation of minutes, and committee responsibilities and accountabilities. Committee responsibilities often encompass both risk and business management objectives, and membership should include individuals with the knowledge and experience for the tasks. - Clear lines of authority, responsibility, and accountability: Roles and responsibilities across the retail lending business should be well defined and well communicated. Business managers should identify and assess material risks, operate within the parameters of an

established risk appetite, and adhere to established policies and operating procedures. An independent credit and risk management review process should assess credit risk independent of the business unit, 13 monitor compliance with concentration and risk limits, and raise issues directly to senior management, oversight committees, and the board. I

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analysis when exception volumes reach established thresholds, and results of the analysis should be an important factor in policy updates or revisions. Policy exception volumes and analysis should be a normal part of board and senior management reporting. Policy compliance is a useful risk management tool, and examiners should view adherence to the exceptions process as an important internal control. Some exceptions will occur because it is nearly impossible to construct underwriting or operating policies covering every lending situation. Still, exception types and volumes should be controlled, with appropriate reporting to identify and track exceptions and appropriate analysis to determine causes, impact, and any need for corrective action. Policy exceptions for retail lending typically fall into three categories: - Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc. - Credit scoring: High- and low-side overrides. 24 - Documentation: Loan application, transaction information, and collateral perfection or valuation. Exception limits for each, and in aggregate, are typically established by either dollar amounts or transaction volumes per month.25 Trends can vary between dollar and transaction volumes, and banks with larger or more complex portfolios should typically track and evaluate both. Exception monitoring reports should include sufficient detail for meaningful analysis of exceptions overall and by type. The objective

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are inconsistent with the risk governance framework. - Established risk appetite:14 Establishing a risk appetite means developing a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Risk appetite statements generally include acceptable risks bank management intends to take because the risk is sufficiently compensated and unacceptable risks that should be avoided or heavily mitigated. Used properly, the risk appetite statement is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances that should not be exceeded without proper escalation and approval. 13 For most banks, an IRM function or process is an important control. Some community banks with standard products and low-risk concentration levels may operate prudently without an IRM function. These banks, however, should generally maintain appropriate internal controls and internal audit coverage of retail lending activities. 14 Risk appetite refers to the aggregate level and types of risk the board and senior management are willing to assume to achieve the bank's strategic objectives and business plan, consistent with applicable capital, liquidity, and other regulatory requirements. Smaller community banks may not have a formal risk appetite statement; however, board-approved policies and procedures should include sufficient discussion of the board'

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of the covered bank.¹⁵ Clear and Consistent Policies and Operating Procedures Lending policies and operating procedures help employees make consistent decisions, providing a sound foundation for sustainably profitable operations. The board typically sets broad policy goals, and senior management develops specific policies and operating procedures that promote effective day-to-day execution. Policies can vary among banks but should be commensurate with the bank's size, risk profile, portfolio objectives, core competencies, products offered, and target markets. Once policies and operating procedures have been developed, the board and senior management should hold bank personnel accountable for compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval authorities, necessary steps for approvals, and approval documentation requirements. 16 Process maps, which link directly to operating procedures, provide a third level of detail and documentation on how and when specific actions occur. The discipline of committing policies, procedures, and process map

Safety and Soundness Ofce of the Comptroller of the Currency Washington, DC 20219 Comptroller's Handbook Management (M) Earnings (E) Liquidity (L) Sensitivity to Market Risk (S) Other Activities (O) Asset Quality (A) Capital Adequacy (C) Retail Lending Version 2.0, October 2021 References to reputation risk have been removed from this booklet as of March 20, 2025. Removal of reputation risk references is identified by a strikethrough. Refer to OCC Bulletin 2025-4.

exclusive. Any product or service may expose a bank to multiple risks. Risks also may be interdependent and may be positively or negatively correlated. Examiners should be aware of and assess this interdependence. Examiners also should be alert to concentrations that can significantly elevate risk. Concentrations can accumulate within and across products, business lines, geographic areas, countries, and legal entities. Refer to the "Bank Supervision Process" booklet of the Comptroller's Handbook for an expanded discussion of banking risks and their definitions. While retail lending generally involves all risk categories, this booklet focuses on the significant credit, interest rate, operational, liquidity, compliance, strategic, and reputation risks most common to retail lending. Credit Risk Credit risk is the risk to current or projected financial condition and resilience arising from an obligor's failure to meet the terms of any contract with the bank or otherwise perform as agreed. Credit risk is found in all activities in which settlement or repayment depends on counterparty, issuer, or borrower performance. Credit risk is the primary exposure for most retail lending products. Due to the size, volume, and nature of transactions, credit

analysis is 5 Financial condition includes impacts from diminished capital and liquidity. Capital in this context includes potential impacts from losses, reduced earnings, and market value of equity. 6 Resilien

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w-risk retail portfolios might establish a risk appetite at the bank level, and then management would reconcile retail credit business plans to determine consistency with the overall risk appetite. Banks with large, complex, or high-risk retail credit portfolios typically establish written risk appetite statements at the retail lending level and manage product- and service-level activities from that base (e.g., risk appetite limits cascade to individual portfolios with tiered oversight, monitoring, and reporting). The terminology may differ from bank to bank, but the basic characteristics typically include the following:

- Retail risk strategies that definitively state the board and senior management's views on risk, including how the bank assumes retail exposure. Risk strategies generally set broad parameters, expressing how the bank intends to limit or mitigate risks to reduce the likelihood of insolvency or significant losses.
- Retail risk tolerances that are a quantitative extension of the risk strategy. Risk tolerances quantify the amount of aggregate risk the bank is willing to accept, and the critical areas where it chooses not to accept exposure. For example, a retail lending business might set risk tolerances for capital maintenance, measured on a nominal or risk-

18 For more information, refer to 12 CFR 30, appendix D, II.C.1, "Roles and Responsibilities of Front Line Units."

19 For more information on establishing a risk appetite, refer to t

exceptions for retail lending typically fall into three categories:

- Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc.
- Credit scoring: High- and low-side overrides.
- 24 - Documentation: Loan application, transaction information, and collateral perfection or valuation. Exception limits for each, and in aggregate, are typically established by either dollar amounts or transaction volumes per month.

25 Trends can vary between dollar and transaction volumes, and banks with larger or more complex portfolios should typically track and evaluate both. Exception monitoring reports should include sufficient detail for meaningful analysis of exceptions overall and by type. The objective is to determine whether exceptions are

24 A credit score override occurs when a lender approves a loan that does not meet the lender's minimum credit score (i.e., a low-side override), or declines a loan that was above the lender's minimum credit score (i.e., a high-side override). High-side overrides typically occur because a borrower fails some other aspect of the underwriting criteria, such as insufficient income or a recent bankruptcy. Noncomplex community banks generally track only low-side overrides.

25 Some smaller community banks may track exceptions less frequently than monthly because the volumes are small and monthly tracking would not typically produce a meaningful metric. These banks may use other frequencies and methods, such as tracki

verseeing the establishment of a risk management framework that effectively assesses risks, monitors exposures, and adopts the necessary policies and procedures for operating the retail business in a sound and prudent manner. Informed directors also understand that the framework should be consistent with the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include

- structured oversight by the board and senior management.
- clear and consistent policies and operating procedures.
- a well-established risk appetite.
- structured risk assessments.
- well-defined processes for policy exceptions.
- effective monitoring reports.
- well-designed strategies, business plans, and product testing.

Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk governance framework should include delegations of authority from the board to management committees and executive officers as well as the risk limits established for material activities.

Form Retail Credit Classification and Account Management Policy: Policy Implementation," as closed- and open-end credit extended to individuals for household, family, and other personal expenditures. Retail lending products include consumer loans, credit cards, auto loans, student loans, and loans to individuals secured by their personal residences, including first mortgage, home equity, and home improvement loans. Retail lending products may be either secured or unsecured, and the source of repayment is typically the borrower's employment-related income (or less frequently, the borrower's assets²). Retail loan structures generally fall into one of two types: closed-end installment loans and open-end revolving lines of credit. - Closed-end installment loans include loans made for a predetermined amount, with periodic payments of principal and interest over a specified term. Most often, the payments completely pay off the loan amount by the end of the term. In some cases, amortization schedules extend past the maturity date, leaving a lump sum (or balloon) payment due upon maturity. The finance charge may include a fixed or variable rate, and the borrower does not have the option of obtaining additional funds under the original loan agreement. 3 Examples of closed-end installment loans include mortgage loans and auto loans. - Open-end revolving lines of credit include amounts available to a borrower up to a preset credit limit for a specified amount of time.

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Interest rate risk results from differences between the timing of rate changes and the timing of cash flows, from changing rate relationships among different yield curves affecting bank activities, from changing rate relationships across the spectrum of maturities, and from interest-related options embedded in bank products. The level of interest rate risk depends on the composition of the bank's loan portfolio and the degree to which loan terms (e.g., maturity, rate structure, and embedded options) expose the bank or its borrowers to changes in interest rates. Many borrowers prefer fixed interest rates on larger, long-term retail loans, such as first mortgages and automobile loans. Long-term fixed-rate loans require active asset-liability management by bank management because core deposits used to fund retail portfolios typically have a variable interest rate. Borrowers may also assume interest rate risk on such products as HELOCs. In this context, interest rate risk is the risk of higher monthly payments on variable-rate loans due to rising interest rates, a factor that may also increase credit risk for affected loans. Bank management generally identifies borrowers with heightened exposure to interest rate changes and considers the impact on these borrowers' ability to repay if interest rates were to increase. The "Interest Rate Risk" booklet of the Comptroller's Handbook provides additional information regarding interest rate risk. Operational Risk Op

options. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval authorities, necessary steps for approvals, and approval documentation requirements. 16 Process maps, which link directly to operating procedures, provide a third level of detail and documentation on how and when specific actions occur. The discipline of committing policies, procedures, and process maps to writing promotes a deeper understanding of each activity and prompts a practical evaluation of how each step contributes to or detracts from business and risk management objectives. 17 Examiners should view well-written and cohesive policies, procedures, and process maps as part of an effective risk management process. Policy criteria should be consistent with and support established risk appetites and portfolio objectives. For example, banks with low risk appetites may have product underwriting standards that require higher down payments, use lower debt-to-income ratios, or are less tolerant of derogatory information on credit reports. Banks with higher risk appetites might accept lower down payments, use higher debt-to-income ratios, or consider some neg

risk characteristics. Each helps management understand and articulate parameters for managing the business and assuming risk. Examiners may see different terms and labels for these characteristics but should typically expect to see the essentials of each as part of the risk assessment exercise that establishes the bank's risk appetite statement. Heightened Standards A covered bank should have a comprehensive written statement that articulates the covered bank's risk appetite and serves as the basis for the risk governance framework. The risk appetite statement should include both qualitative components and quantitative limits. The qualitative components should describe a safe and sound risk culture and how the covered bank assesses and accepts risks, including those that are difficult to quantify. Quantitative limits should incorporate sound stress testing processes, as appropriate, and address the covered bank's earnings, capital, and liquidity. The covered bank should set limits at levels that take into account appropriate

capital and liquidity buffers and prompt management and the board of directors to reduce risk before the covered bank's risk profile jeopardizes the adequacy of its earnings, liquidity, and capital.²¹ Structured Risk Assessment A practical, realistic assessment of risks facing the business is an important foundation for developing a risk appetite. A bank should have internal controls and information systems that are appropriate t

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ion 2.0 Comptroller's Handbook 11 Retail Lending adjusted basis; financial performance, measured by risk-adjusted returns; liquidity, including minimum buffers and access to markets; and franchise value, measured by customer satisfaction surveys, customer complaint levels, or other measures of reputation risk. Risk tolerances within the risk appetite statement are generally set for only a few key factors that relate directly to business or mission failure. Establishing measurable risk tolerances provides management and the board with important context information for monitoring risk levels and consistency with established standards. - Retail risk preferences that reflect where the business has (or perceives itself to have) competitive advantages and may pursue additional risk. Risk preferences for a retail lender often include specific products, target markets, or delivery channels. The board and management should consider applicable fair lending risk when selecting or identifying a particular retail risk preference. For more information, refer to the "Fair Lending" booklet of the Comptroller's Handbook. - Retail risk limits that are capacity controls to manage risk levels. Risk limits are set for specific risk sources, business units, or products, and help implement the higher-level risk tolerances. Some banks use their stress testing results to establish aggregate and product risk capacity, translating results into operational capacity limits. Risk limit

tite statement. Heightened Standards A covered bank should have a comprehensive written statement that articulates the covered bank's risk appetite and serves as the basis for the risk governance framework. The risk appetite statement should include both qualitative components and quantitative limits. The qualitative components should describe a safe and sound risk culture and how the covered bank assesses and accepts risks, including those that are difficult to quantify. Quantitative limits should incorporate sound stress testing processes, as appropriate, and address the covered bank's earnings, capital, and liquidity. The covered bank should set limits at levels that take into account appropriate capital and liquidity buffers and prompt management and the board of directors to reduce risk before the covered bank's risk profile jeopardizes the adequacy of its earnings, liquidity, and capital.²¹ Structured Risk Assessment A practical, realistic assessment of risks facing the business is an important foundation for developing a risk appetite. A bank should have internal controls and information systems that are appropriate to the size of the institution and the nature, scope, and risk of its activities and that provide for an effective risk assessment. ²² One common method is through risk ²¹ For more information, refer to 12 CFR 30, appendix D, II.E, "Risk Appetite Statement." ²² For more information, refer to 12 CFR 30, appendix A, II.A., "Intern

k's desired role in the retail markets. A retail strategy typically states the bank's intent by product type, product risk appetite, economic sector, geographic location, and anticipated profitability. Decisions to offer a new product, significantly change terms on an existing product, or expand into a new market area are strategic decisions that should be supported by sound and documented analysis and due diligence. ²⁸ This analysis extends to the risk assessment exercise and typically addresses - competitive environment. - capabilities and expertise. - operational capacity. - staffing and training needs. - control systems in place and those needed. - compliance requirements (e.g., consumer protection and fair lending). - reporting and operational systems. - financial projections. Once senior management and the board adopt strategic objectives, business line managers prepare complementary business plans for each major product. Business plan development should involve knowledgeable staff from key functional areas, including risk management,

credit policy, marketing, systems, operations, training, finance or accounting, legal, compliance, internal audit, quality assurance, and, if appropriate, staff from third-party relationship management and model risk management. Individuals representing each area 27 For more information, refer to 12 CFR 30, appendix D, II.J, "Risk Data Aggregation and Reporting." 28 For more information, refer to OCC Bulletin 2

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ks use their stress testing results to establish aggregate and product risk capacity, translating results into operational capacity limits. Risk limits complement the risk tolerances and are generally more granular, practical controls at the portfolio and sub-portfolio levels, using metrics that can be managed at the business line level. Practical risk appetite statements generally result from analysis and consideration of each of these risk characteristics. Each helps management understand and articulate parameters for managing the business and assuming risk. Examiners may see different terms and labels for these characteristics but should typically expect to see the essentials of each as part of the risk assessment exercise that establishes the bank's risk appetite statement.

Heightened Standards A covered bank should have a comprehensive written statement that articulates the covered bank's risk appetite and serves as the basis for the risk governance framework. The risk appetite statement should include both qualitative components and quantitative limits. The qualitative components should describe a safe and sound risk culture and how the covered bank assesses and accepts risks, including those that are difficult to quantify. Quantitative limits should incorporate sound stress testing processes, as appropriate, and address the covered bank's earnings, capital, and liquidity. The covered bank should set limits at levels that take into account appropri

ail Lending" booklet includes expanded examination procedures that examiners should use when specific retail credit products, services, or risks warrant review beyond the core assessment. This booklet's objective is to consider risk management practices fundamental to retail lending and common across product types. A bank's retail lending practices should be commensurate with the bank's size, complexity, and risk profile. Additional product-specific considerations may apply. For example, certain lending and risk management practices relevant to particular products are described in other booklets of the Comptroller's Handbook, including "Residential Real Estate Lending," "Mortgage Banking," "Credit Card Lending," "Student Lending," "Deposit-Related Credit," and "Installment Lending." Specific consumer protection laws and regulations applicable to retail lending are discussed in the Consumer Compliance booklets of the Comptroller's Handbook. In addition, the OCC has established minimum standards for designing and implementing a risk governance framework for certain large insured national banks, insured federal savings associations, and insured federal branches of foreign banks. Such banks- including those with average total consolidated assets of \$50 billion or greater or those that are OCC- designated, which are referred to as covered banks-should adhere to 12 CFR 30, appendix D, "OCC Guidelines Establishing Heightened Standards for Certain Large Insured N

and Business Plans Strategic plans define the bank's desired role in the retail markets. A retail strategy typically states the bank's intent by product type, product risk appetite, economic sector, geographic location, and anticipated profitability. Decisions to offer a new product, significantly change terms on an existing product, or expand into a new market area are strategic decisions that should be supported by sound and documented analysis and due diligence. ²⁸ This analysis extends to the risk assessment exercise and typically addresses

- competitive environment.
- capabilities and expertise.
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- staffing and training needs.
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- compliance requirements (e.g., consumer protection and fair lending).
- reporting and operational systems.
- financial projections.

Once senior management and the board adopt strategic objectives, business line managers

prepare complementary business plans for each major product. Business plan development should involve knowledgeable staff from key functional areas, including risk management, credit policy, marketing, systems, operations, training, finance or accounting, legal, compliance, internal audit, quality assurance, and, if appropriate, staff from third-party relationship management and model risk management. Individuals representing each area

27 For more information, refer to 12 CFR 30, appendix D, II.J, "Risk Data Aggregation and Reporting."

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Processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include

- structured oversight by the board and senior management.
- clear and consistent policies and operating procedures.
- a well-established risk appetite.
- structured risk assessments.
- well-defined processes for policy exceptions.
- effective monitoring reports.
- well-designed strategies, business plans, and product testing.

Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk governance framework should include delegations of authority from the board to management committees and executive officers as well as the risk limits established for material activities. IRM should review and update the framework at least annually and as often as needed to address improvements in industry risk management practices and changes in the covered bank's risk profile caused by emerging risks, its strategic plans, or other internal and external factors.¹²

Structured Oversight by the Board and Senior Management One of the board's and senior management's most important oversight responsibilities is to establish an effective risk management framework consistent with the bank's risk profile

at transaction, product segment, product, and portfolio levels. Most banks perform enhanced analysis when exception volumes reach established thresholds, and results of the analysis should be an important factor in policy updates or revisions. Policy exception volumes and analysis should be a normal part of board and senior management reporting. Policy compliance is a useful risk management tool, and examiners should view adherence to the exceptions process as an important internal control. Some exceptions will occur because it is nearly impossible to construct underwriting or operating policies covering every lending situation. Still, exception types and volumes should be controlled, with appropriate reporting to identify and track exceptions and appropriate analysis to determine causes, impact, and any need for corrective action. Policy exceptions for retail lending typically fall into three categories:

- Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc.
- Credit scoring: High- and low-side overrides.²⁴
- Documentation: Loan application, transaction information, and collateral perfection or valuation.

Exception limits for each, and in aggregate, are typically established by either dollar amounts or transaction volumes per month.²⁵ Trends can vary between dollar and transaction volumes, and banks with larger or more complex portfolios should typically track and evaluate both. Exception monitoring reports should include

Safety and Soundness Office of the Comptroller of the Currency Washington, DC 20219 Comptroller's Handbook Management (M) Earnings (E) Liquidity (L) Sensitivity to Market Risk (S) Other Activities (O) Asset Quality (A) Capital Adequacy (C) Retail Lending Version 2.0, October 2021 References to reputation risk have been removed from this booklet as of March 20, 2025. Removal of reputation risk references is identified by a strikethrough. Refer to OCC Bulletin 2025-4.

SECTION 7: INCOME VERIFICATION

7.1 Salaried Employees

Must provide 2 most recent pay stubs and W2.

Employment tenure must be > 2 years for standard approval.

Tenure < 2 years requires Manual Review ("Young Professional Check").

7.2 Self-Employed Applicants

Must provide 2 years of tax returns.

Income is calculated as the average of the last 2 years Net Income.

Declining income trend over the last 2 years triggers automatic decline.

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bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include - structured oversight by the board and senior management. - clear and consistent policies and operating procedures. - a well-established risk appetite. - structured risk assessments. - well-defined processes for policy exceptions. - effective monitoring reports. - well-designed strategies, business plans, and product testing.

Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk governance framework should include delegations of authority from the board to management committees and executive officers as well as the risk limits established for material activities. IRM should review and update the framework at least annually and as often as needed to address improvements in industry risk management practices and changes in the covered bank's risk profile caused by emerging risks, its strategic plans, or other internal and external factors.¹² **Structured Oversight**

ay include a fixed or variable rate, and the borrower does not have the option of obtaining additional funds under the original loan agreement. 3 Examples of closed-end installment loans include mortgage loans and auto loans. - Open-end revolving lines of credit include amounts available to a borrower up to a preset credit limit for a specified amount of time. Balances may be drawn or paid down at any time at the borrower's option. Repayment terms typically require interest each month, and often some portion of principal as well. Some revolving lines of credit require full repayment of principal at maturity, while others convert automatically into a closed-end loan once the revolving period ends. Examples of open-end revolving lines of credit include credit cards and home equity lines of credit (HELOC). Banks offer retail lending products directly through a range of sources, including branch offices and online banking platforms. Banks also use indirect origination sources,⁴ such as 2 For more information about asset-based retail lending, refer to OCC Bulletin 2019-36, "Mortgage Lending: Lending Standards for Asset Dissipation Underwriting." 3 For more information about finance charges, refer to the "Truth in Lending Act" booklet of the Comptroller's Handbook.

4 Indirect lending generally refers to the use of a third party to originate loans using a bank's underwriting criteria. The third party receives a fee for providing an acceptable borrower. Indi

fund unfunded commitments of open-ended credit, such as credit cards or HELOCs. **Compliance Risk** Compliance risk is the risk to current or projected financial condition and resilience arising from violations of laws or regulations, or from nonconformance with prescribed practices, internal bank policies and procedures, or ethical standards. Banks engaged in retail lending activities are exposed to significant compliance risk due to the number of consumer protection laws and regulations. Some consumer protection-related laws relevant to retail lending include 8 - 10 USC 987, "Military Lending Act." - 12 USC 2601, et seq., "Real Estate Settlement Procedures Act." - 12 USC 2801 et. seq., "Home Mortgage Disclosure Act" - 12 USC 4901 et seq., "Homeowners Protection Act." - 15 USC 1601 et seq., "Truth in Lending." - 15 USC 1681 et seq., "Fair Credit Reporting Act." 15 USC 1691 et seq., "Equal Credit Opportunity Act." - 15 USC 1692 et seq., "Fair Debt Collection Practices Act." - 42 USC 3601 et seq., "Fair Housing Act." - 42 USC

4002, "Flood Disaster Protection Act." - 50 USC 3901 et seq., "Servicemembers Civil Relief Act." - laws prohibiting unfair, deceptive, or abusive acts or practices.⁹ Banks also have obligations arising from the Bank Secrecy Act (BSA), anti-money laundering (AML) laws, and the sanctions laws and regulations administered by the U.S. Department of the Treasury's Office of Foreign Assets Control (OFAC).¹⁰ 8 For more information a

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credit volumes and activity. Advances in technology also permit retail lenders to better differentiate risk and to accept and price exposures more selectively. These advances promote the use of tailored products that are better able to meet individual borrower risk profiles, allowing many banks to expand their markets and increase profitability. This booklet describes prudent bank practices to manage retail credit risk appropriately. These include practices that examiners should consider when evaluating a bank's quantity of risk and quality of risk management. Risks Associated With Retail Lending From a supervisory perspective, risk is the potential that events will have an adverse effect on a bank's current or projected financial condition and resilience.⁶ The OCC has defined eight categories of risk for bank supervision purposes: credit, interest rate, liquidity, price, operational, compliance, strategic, and reputation. These categories are not mutually exclusive. Any product or service may expose a bank to multiple risks. Risks also may be interdependent and may be positively or negatively correlated. Examiners should be aware of and assess this interdependence. Examiners also should be alert to concentrations that can significantly elevate risk. Concentrations can accumulate within and across products, business lines, geographic areas, countries, and legal entities. Refer to the "Bank Supervision Process" booklet of the Comptroller's Handbook

chieve the bank's strategic objectives and business plan, consistent with applicable capital, liquidity, and other regulatory requirements. 19 Well-developed risk appetite statements establish a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Specific assertions generally include acceptable risks the board intends bank management to take, and unacceptable risks that should be avoided or heavily mitigated. Used properly, an established risk appetite is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances. There are many ways to approach establishing a risk appetite, and the structure and formality should be consistent with the bank's size, complexity, and risk profile. 20 The board of a bank with small, noncomplex, or low-risk retail portfolios might establish a risk appetite at the bank level, and then management would reconcile retail credit business plans to determine consistency with the overall risk appetite. Banks with large, complex, or high-risk retail credit portfolios typically establish written risk appetite statements at the retail lending level and manage product- and service-level activities from that base (e.g., risk appetite limits cascade to individual portfolios with tiered oversight, monitoring, and reporting). The terminology may differ from bank to bank, but the basic characterist

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Indicators 115 Appendix D: Uniform Retail Credit Classification and Account Management Policy Checklist (RCCP Checklist) 119 Appendix E: Account Management and ALLL or ACL Allowance Checklist 122 Appendix F: Credit Risk Model Oversight and Review Checklist 126 Appendix G: Glossary.....

ities are exposed to significant compliance risk due to the number of consumer protection laws and regulations. Some consumer protection-related laws relevant to retail lending include 8 - 10 USC 987, "Military Lending Act." - 12 USC 2601, et seq., "Real Estate Settlement Procedures Act." - 12 USC 2801 et. seq., "Home Mortgage Disclosure Act" - 12 USC 4901 et seq., "Homeowners Protection Act." - 15 USC 1601 et seq., "Truth in Lending." - 15 USC 1681 et seq., "Fair Credit Reporting Act."15 USC 1691 et seq., "Equal Credit Opportunity Act." - 15 USC 1692 et seq., "Fair Debt Collection Practices Act." - 42 USC 3601 et seq., "Fair Housing Act." - 42 USC 4002, "Flood Disaster Protection Act." - 50 USC 3901 et seq., "Servicemembers Civil Relief Act." - laws prohibiting unfair, deceptive, or abusive acts or practices.9 Banks also have obligations arising from the Bank Secrecy Act (BSA), anti-money laundering (AML) laws, and the sanctions laws and regulations administered by the U.S. Department of the Treasury's Office of Foreign Assets Control (OFAC).10 8 For more information about consumer protection laws and regulations, refer to the Consumer Compliance booklets of the Comptroller's Handbook and interagency consumer compliance examination procedures. 9 For more information, refer to the "Unfair or Deceptive Acts or Practices and Unfair, Deceptive, or Abusive Acts or Practices" booklet of the Comptroller's Handbook. 10 For more information on the Bank

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mortgage markets. Higher cost of insurance. Significant secondary market disruption until alternative sources emerge. Potential opportunity to selectively expand market share in profitable target markets if the bank is willing to use balance-sheet capacity. Changes in the reliability or timeliness of credit information available from credit bureaus or other third-party sources. Low, moderate Significant potential impact on credit scores and reliability of credit bureau information for estimating risk. Potential serious setback for consumer lending in the United States. May prompt a search to find alternative methods or sources of reliable performance information. Changes in the bankruptcy laws that limit or expand certain forms of bankruptcy use by consumers. Low Greater shift to co-borrower reliance, lower total debt advances, underwriting more closely tied to shorter-term capacity. Potential for significant initial disruption unless existing loans are grandfathered. Controllable if implemented prospectively, but volumes and average loan amounts are likely to decline. Rapid increase in short-term interest rates that influence consumer-credit pricing indexes. Moderate, high 10 percent increase in credit card revenues, 2 percent increase in cost of funds, 5 percent increase in 30+ delinquencies. As long as interest rate increases are moderate (for example, no more than 100 basis points) the increase in revenues should off

sound, complete information, realistic assessments of the risks involved, management's expertise, and the bank's operating capacity. Incomplete or inadequate consideration of the industry's market conditions, economic dynamics, and consumer behaviors exposes the bank to excessive or unanticipated strategic risk, which often translates into financial losses. Reputation Risk Reputation risk is the risk to current or projected financial condition and resilience arising from negative public opinion. This risk may impair the bank's competitiveness by affecting its ability to establish new relationships or services or continue servicing existing relationships. Inadequate policies and procedures, operational breakdowns, or general weaknesses in any aspect of the bank's retail lending activities can harm its reputation. Lack of due diligence on products and services offered by third parties, inappropriate delegation and oversight of activities performed by third parties, and wrongful acts by third parties acting on the bank's behalf may also increase a bank's reputation risk exposure. Effective systems and controls to identify, measure, monitor, and control potential issues, such as appropriate oversight of sales, servicing, marketing, loss mitigation practices, and third parties, are critical to managing reputation risk. Risk Management Each bank should identify, measure, monitor, and control risk by implementing an effective risk management system appro

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credit activities to correspond to the bank's size, complexity, and risk profile. Examiners should assess risk management practices in the context of product and portfolio risk. For examination purposes, the OCC refers to the bank's inherent risk profile as the quantity of risk. There are many ways to assess the bank's risk profile, and examiners should have active discussions with management and the board to determine how and when the bank assumes risk. For retail credit, discussions often focus on four key areas: risk in loan structures, risk in target markets, risk in credit underwriting due diligence, and risk layering. These discussions are often subjective, involving judgment and experience to support proper risk assessment designations. Some risk always exists when extending credit, and these discussions are more about determining the appropriateness of risk management practices given the bank's existing and intended risk profile than attempting to set an absolute risk level. 33 Risk in Loan Structures Loan structures are generally the simplest starting point for evaluating retail credit risk. Generally, one of the lowest-risk loan structures is a fixed-rate, secured installment loan that fully amortizes the loan amount over a short term. Each characteristic contributes to a lower-risk loan structure. The fixed interest rate eliminates rate exposure for the borrower and normally adds stability to the payment stream. A perfected secured position pr

risk when selecting or identifying a particular retail risk preference. For more information, refer to the "Fair Lending" booklet of the Comptroller's Handbook. - Retail risk limits that are capacity controls to manage risk levels. Risk limits are set for specific risk sources, business units, or products, and help implement the higher-level risk tolerances. Some banks use their stress testing results to establish aggregate and product risk capacity, translating results into operational capacity limits. Risk limits complement the risk tolerances and are generally more granular, practical controls at the portfolio and sub-portfolio levels, using metrics that can be managed at the business line level. Practical risk appetite statements generally result from analysis and consideration of each of these risk characteristics. Each helps management understand and articulate parameters for managing the business and assuming risk. Examiners may see different terms and labels for these characteristics but should typically expect to see the essentials of each as part of the risk assessment exercise that establishes the bank's risk appetite statement. Heightened Standards A covered bank should have a comprehensive written statement that articulates the covered bank's risk appetite and serves as the basis for the risk governance framework. The risk appetite statement should include both qualitative components and quantitative limits. The qualitative components shoul

Safety and Soundness Ofce of the Comptroller of the Currency Washington, DC 20219 Comptroller's Handbook Management (M) Earnings (E) Liquidity (L) Sensitivity to Market Risk (S) Other Activities (O) Asset Quality (A) Capital Adequacy (C) Retail Lending Version 2.0, October 2021 References to reputation risk have been removed from this booklet as of March 20, 2025. Removal of reputation risk references is identified by a strikethrough. Refer to OCC Bulletin 2025-4.

nsiders the probability of occurrence, and can be qualitative (high, moderate, or low) or quantitative (5 percent chance of occurring). The impact column focuses primarily on the event's direct effect on the business, and the significance column focuses on how results are likely to affect business strategies or major objectives. Other factors can be part of the risk assessment exercise, such as a residual risk rating that

considers risk levels after controls or other mitigating factors are taken into account. Examiners should consider whether each bank's exercise is a practical, thoughtful, and systematic approach to identifying and considering risk. Factors to consider include whether a reasonably wide range of primary threats is considered, all important risk events have been identified, risks are monitored on a continual basis, potential exposures have been quantified after consideration of likelihood and impact, and responses are reasonable and appropriate. The results of the risk assessment process help management design appropriate business responses to available opportunities. Responses generally fall within one of four categories:

- Avoidance: When risks cannot be adequately identified, measured, monitored, or controlled. Avoidance might include exiting a business line or geographic segment after appropriate evaluation of the risks or deciding not to engage in a new product or service.
- Mitigation: When risk levels can be adequately managed inter

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d has a critical role in overseeing the bank's retail credit risk management functions. As part of this oversight, directors generally consider questioning the propriety of strategic initiatives, staffing and management decisions, and the balance between risk taking and profitability. Most importantly, oversight typically includes overseeing the establishment of a risk management framework that effectively assesses risks, monitors exposures, and adopts the necessary policies and procedures for operating the retail business in a sound and prudent manner. Informed directors also understand that the framework should be consistent with the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include - structured oversight by the board and senior management. - clear and consistent policies and operating procedures. - a well-established risk appetite. - structured risk assessments. - well-defined processes for policy exceptions. - effective monitoring reports. - well-designed strategies, business plans, and product testing.

Heightened Standards A covered bank should establish and adhere to a formal, written risk go

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s risk profile projected under the strategic plan. - be reviewed, updated, and approved, as necessary, due to changes in the covered bank's risk profile or operating environment that were not contemplated when the strategic plan was developed.³² **Considering Quantity of Risk** The OCC expects risk management for retail credit activities to correspond to the bank's size, complexity, and risk profile. Examiners should assess risk management practices in the context of product and portfolio risk. For examination purposes, the OCC refers to the bank's inherent risk profile as the quantity of risk. There are many ways to assess the bank's risk profile, and examiners should have active discussions with management and the board to determine how and when the bank assumes risk. For retail credit, discussions often focus on four key areas: risk in loan structures, risk in target markets, risk in credit underwriting due diligence, and risk layering. These discussions are often subjective, involving judgment and experience to support proper risk assessment designations. Some risk always exists when extending credit, and these discussions are more about determining the appropriateness of risk management practices given the bank's existing and intended risk profile than attempting to set an absolute risk level. ³³ **Risk in Loan Structures** Loan structures are generally the simplest starting point for evaluating retail credit risk. Generally, one of the lowest-risk lo

iple exceptions 26). If long-term performance of an exception segment is weaker than expected or inconsistent with the bank's risk appetite, management may require stricter adherence to policy. If performance is better, management may consider policy revisions. **Effective Monitoring Reports** Management at most banks monitors credit performance and portfolio quality through standard reports measuring portfolio composition, borrower and portfolio performance, and policy compliance. Reports should be timely, accurate, and complete, and should provide information needed for sound management and credible challenges. A set of well-designed standard reports should monitor activity continually, even if the data seem stable. Consistent reporting allows managers to gain a comfort level with the information, ask insightful questions, and request additional facts or analysis when issues warrant. Effective reporting generally includes four common characteristics that improve utility: - Performance trends: Providing data in a consistent form over time helps provide perspective and a deeper understanding of portfolio composition and migration. Most banks report performance trends for at least the past 13 months, but many retail managers find trends over a rolling eight-quarter time frame most useful for considering patterns and seasonality. - Actual results compared with projections: Context is important. Effective reports compare actual results with management expe

considers risks significant enough to potentially threaten or change the bank's business strategy. The likelihood column considers the probability of occurrence, and can be qualitative (high, moderate, or low) or quantitative (5 percent chance of occurring). The impact column focuses primarily on the event's direct effect on the business, and the significance column focuses on how results are likely to affect business strategies or major objectives. Other factors can be part of the risk assessment exercise, such as a residual risk rating that considers risk levels after controls or other mitigating factors are taken into account. Examiners should consider whether each bank's exercise is a practical, thoughtful, and systematic approach to identifying and considering risk. Factors to consider include whether a reasonably wide range of primary threats is considered, all important risk events have been identified, risks are monitored on a continual basis, potential

exposures have been quantified after consideration of likelihood and impact, and responses are reasonable and appropriate. The results of the risk assessment process help management design appropriate business responses to available opportunities. Responses generally fall within one of four categories: - Avoidance: When risks cannot be adequately identified, measured, monitored, or controlled. Avoidance might include exiting a business line or geographic segment after appropriate evaluation of the

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rmine that reporting allows senior management and the board to monitor information necessary to control risks within the bank. For banks with large or complex retail portfolios, key risk reporting (such as compliance with risk appetite measures) is often developed and reported by an IRM function. Heightened Standards The risk governance framework should include a set of policies, supported by appropriate procedures and processes, designed to provide risk data aggregation and reporting capabilities appropriate for the size, complexity, and risk profile of the covered bank, and to support supervisory reporting requirements. Collectively, these policies, procedures, and processes should provide for the following:

- Design, implementation, and maintenance of a data architecture and information technology infrastructure that supports the covered bank's risk aggregation and reporting needs during both normal times and times of stress.
- Capturing and aggregating of risk data and reporting of material risks, concentrations, and emerging risks in a timely manner to the board of directors and the OCC.
- Distribution of risk reports to all relevant parties at a frequency that meets the needs for decision-making purposes.²⁷

Well-Designed Strategies and Business Plans Strategic plans define the bank's desired role in the retail markets. A retail strategy typically states the bank's intent by product type, product risk appetite, economic sector, geographic loc

lex, or high-risk retail credit portfolios typically establish written risk appetite statements at the retail lending level and manage product- and service-level activities from that base (e.g., risk appetite limits cascade to individual portfolios with tiered oversight, monitoring, and reporting). The terminology may differ from bank to bank, but the basic characteristics typically include the following:

- Retail risk strategies that definitively state the board and senior management's views on risk, including how the bank assumes retail exposure. Risk strategies generally set broad parameters, expressing how the bank intends to limit or mitigate risks to reduce the likelihood of insolvency or significant losses.
- Retail risk tolerances that are a quantitative extension of the risk strategy. Risk tolerances quantify the amount of aggregate risk the bank is willing to accept, and the critical areas where it chooses not to accept exposure. For example, a retail lending business might set risk tolerances for capital maintenance, measured on a nominal or risk-

¹⁸ For more information, refer to 12 CFR 30, appendix D, II.C.1, "Roles and Responsibilities of Front Line Units."

¹⁹ For more information on establishing a risk appetite, refer to the "Corporate and Risk Governance" booklet of the Comptroller's Handbook and 12 CFR 30, appendix D. While the OCC's heightened standards in 12 CFR 30, appendix D, apply only to banks of a certain size, these standards ma

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most useful for considering patterns and seasonality. - Actual results compared with projections: Context is important. Effective reports compare actual results with management expectations and quantitative benchmarks, with variances identified and explained. - Precise and informative narrative: Useful data charts generally include narrative, especially in reports for senior management and the board. Rather than require readers to make assumptions, reports walk the user through the issue or topic in a logical, intuitive manner. The more distanced the user is from day-to-day management of an issue, the more simple, clear, and direct the narrative should be. - Segmented performance: Segmentation refers to breaking down aggregated data into smaller subpopulations for analysis and monitoring. Aggregated data should be segmented whenever performance could reasonably be expected to differ, allowing patterns that might otherwise be diluted by aggregated data to become more readily apparent. For example, new loans could be tracked by acquisition source, vintage, geography, or other common characteristics, so users can identify segments with weak performance or issues needing attention. When possible, a single data source is best for reporting consistency. When this is not possible, data sources should be periodically reconciled and audited to determine reliability. 26 In general, the presence of multiple policy exceptions in a single transaction increases risk

es across the retail lending business should be well defined and well communicated. Business managers should identify and assess material risks, operate within the parameters of an established risk appetite, and adhere to established policies and operating procedures. An independent credit and risk management review process should assess credit risk independent of the business unit, 13 monitor compliance with concentration and risk limits, and raise issues directly to senior management, oversight committees, and the board. Internal audit and other independent control functions should evaluate the adequacy of established policies and procedures and identify practices that are inconsistent with the risk governance framework. - Established risk appetite:14 Establishing a risk appetite means developing a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Risk appetite statements generally include acceptable risks bank management intends to take because the risk is sufficiently compensated and unacceptable risks that should be avoided or heavily mitigated. Used properly, the risk appetite statement is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances that should not be exceeded without proper escalation and approval. 13 For most banks, an IRM function or process is an important control. Some community

h a risk appetite at the bank level, and then management would reconcile retail credit business plans to determine consistency with the overall risk appetite. Banks with large, complex, or high-risk retail credit portfolios typically establish written risk appetite statements at the retail lending level and manage product- and service-level activities from that base (e.g., risk appetite limits cascade to individual portfolios with tiered oversight, monitoring, and reporting). The terminology may differ from bank to bank, but the basic characteristics typically include the following: - Retail risk strategies that definitively state the board and senior management's views on risk, including how the bank assumes retail exposure. Risk strategies generally set broad parameters, expressing how the bank intends to limit or mitigate risks to reduce the

likelihood of insolvency or significant losses. - Retail risk tolerances that are a quantitative extension of the risk strategy. Risk tolerances quantify the amount of aggregate risk the bank is willing to accept, and the critical areas where it chooses not to accept exposure. For example, a retail lending business might set risk tolerances for capital maintenance, measured on a nominal or risk- 18 For more information, refer to 12 CFR 30, appendix D, II.C.1, "Roles and Responsibilities of Front Line Units." 19 For more information on establishing a risk appetite, refer to the "Corporate and Risk Governance" book

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t administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval authorities, necessary steps for approvals, and approval documentation requirements. 16 Process maps, which link directly to operating procedures, provide a third level of detail and documentation on how and when specific actions occur. The discipline of committing policies, procedures, and process maps to writing promotes a deeper understanding of each activity and prompts a practical evaluation of how each step contributes to or detracts from business and risk management objectives. 17 Examiners should view well-written and cohesive policies, procedures, and process maps as part of an effective risk management process. Policy criteria should be consistent with and support established risk appetites and portfolio objectives. For example, banks with low risk appetites may have product underwriting standards that require higher down payments, use lower debt-to-income ratios, or are less tolerant of derogatory information on credit reports. Banks with higher risk appetites might accept lower down payments, use higher debt-to-income ratios, or consider some negative credit bureau information. Either may be acceptable, depending on the bank's resources, quality of

Approaches vary, but most assessments consider four key threat aspects: the risk event, likelihood of occurrence, practical impact, and significance. Table 1 provides an example of risks a retail lender might consider during a credit risk assessment exercise. Table 1: Credit Risk Assessment Exercise Example

Risk event	Likelihood	Impact	Significance
Significant new technology advancement or application that changes how retail lending products are marketed, priced, and delivered to consumers.	Low	20 percent revenue reduction for the next year due to new competitors and the need to update delivery channels.	Material shortfall in revenues and business profitability. May require reexamining the business model and competitive approach.
Disruption in the mortgage insurance industry that limits availability or significantly increases costs.	Low	25 percent reduction in origination volumes.	10 percent increase in capital requirements from keeping greater origination volumes on the balance sheet. Could change fundamental operation of residential mortgage markets.
Higher cost of insurance.	Significant	Secondary market disruption until alternative sources emerge.	Potential opportunity to selectively expand market share in profitable target markets if the bank is willing to use balance-sheet capacity.
Changes in the reliability or timeliness of credit information available from credit bureaus or other third-party sources.	Low		

and provides a framework for evaluating risk management activities. In accordance with the OCC's risk-based supervision approach, examiners begin their evaluation of retail lending activities with the core assessment in the "Community Bank Supervision," "Federal Branches and Agencies Supervision," or "Large Bank Supervision" booklets of the Comptroller's Handbook. The "Retail Lending" booklet includes expanded examination procedures that examiners should use when specific retail credit products, services, or risks warrant review beyond the core assessment. This booklet's objective is to consider risk management practices fundamental to retail lending and common across product types. A bank's retail lending practices should be commensurate with the bank's size, complexity, and risk profile. Additional product-specific considerations may apply. For example, certain lending and risk management practices relevant to particular products are described in other booklets of the Comptroller's Handbook, including "Residential Real Estate

Lending," "Mortgage Banking," "Credit Card Lending," "Student Lending," "Deposit-Related Credit," and "Installment Lending." Specific consumer protection laws and regulations applicable to retail lending are discussed in the Consumer Compliance booklets of the Comptroller's Handbook. In addition, the OCC has established minimum standards for designing and implementing a risk governance framework for certain large insured national

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d bank, and to support supervisory reporting requirements. Collectively, these policies, procedures, and processes should provide for the following:

- Design, implementation, and maintenance of a data architecture and information technology infrastructure that supports the covered bank's risk aggregation and reporting needs during both normal times and times of stress.
- Capturing and aggregating of risk data and reporting of material risks, concentrations, and emerging risks in a timely manner to the board of directors and the OCC.
- Distribution of risk reports to all relevant parties at a frequency that meets the needs for decision-making purposes.²⁷

Well-Designed Strategies and Business Plans Strategic plans define the bank's desired role in the retail markets. A retail strategy typically states the bank's intent by product type, product risk appetite, economic sector, geographic location, and anticipated profitability. Decisions to offer a new product, significantly change terms on an existing product, or expand into a new market area are strategic decisions that should be supported by sound and documented analysis and due diligence.²⁸ This analysis extends to the risk assessment exercise and typically addresses

- competitive environment.
- capabilities and expertise.
- operational capacity.
- staffing and training needs.
- control systems in place and those needed.
- compliance requirements (e.g., consumer protection and fair lending).
- r

ate assets quickly and with minimal loss in value. Liquidity risk is also present in a bank's obligation to fund unfunded commitments of open-ended credit, such as credit cards or HELOCs.

Compliance Risk Compliance risk is the risk to current or projected financial condition and resilience arising from violations of laws or regulations, or from nonconformance with prescribed practices, internal bank policies and procedures, or ethical standards. Banks engaged in retail lending activities are exposed to significant compliance risk due to the number of consumer protection laws and regulations. Some consumer protection-related laws relevant to retail lending include

- 8 - 10 USC 987, "Military Lending Act."
- 12 USC 2601, et seq., "Real Estate Settlement Procedures Act."
- 12 USC 2801 et. seq., "Home Mortgage Disclosure Act"
- 12 USC 4901 et seq., "Homeowners Protection Act."
- 15 USC 1601 et seq., "Truth in Lending."
- 15 USC 1681 et seq., "Fair Credit Reporting Act."
- 15 USC 1691 et seq., "Equal Credit Opportunity Act."
- 15 USC 1692 et seq., "Fair Debt Collection Practices Act."
- 42 USC 3601 et seq., "Fair Housing Act."
- 42 USC 4002, "Flood Disaster Protection Act."
- 50 USC 3901 et seq., "Servicemembers Civil Relief Act."

- laws prohibiting unfair, deceptive, or abusive acts or practices.⁹ Banks also have obligations arising from the Bank Secrecy Act (BSA), anti-money laundering (AML) laws, and the sanctions laws and regulations administered by

within those standards. Well-run banks generally handle exceptions in a structured and disciplined manner to promote sound operations as well as compliance with applicable laws and regulations, including those related to consumer protection and fair lending. Responsibility and authority for identifying, approving, and monitoring policy exceptions are generally in writing, with regular reporting to capture exceptions at the transaction, product segment, product, and portfolio levels. Most banks perform enhanced analysis when exception volumes reach established thresholds, and results of the analysis should be an important factor in policy updates or revisions. Policy exception volumes and analysis should be a normal part of board and senior management reporting. Policy compliance is a useful risk management tool, and examiners should view adherence to the exceptions process as an important internal control. Some exceptions will occur

because it is nearly impossible to construct underwriting or operating policies covering every lending situation. Still, exception types and volumes should be controlled, with appropriate reporting to identify and track exceptions and appropriate analysis to determine causes, impact, and any need for corrective action. Policy exceptions for retail lending typically fall into three categories: - Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc. - Credit scoring: High- and low-side overrides.

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he borrower's employment-related income (or less frequently, the borrower's assets 2). Retail loan structures generally fall into one of two types: closed-end installment loans and open-end revolving lines of credit. - Closed-end installment loans include loans made for a predetermined amount, with periodic payments of principal and interest over a specified term. Most often, the payments completely pay off the loan amount by the end of the term. In some cases, amortization schedules extend past the maturity date, leaving a lump sum (or balloon) payment due upon maturity. The finance charge may include a fixed or variable rate, and the borrower does not have the option of obtaining additional funds under the original loan agreement. 3 Examples of closed-end installment loans include mortgage loans and auto loans. - Open-end revolving lines of credit include amounts available to a borrower up to a preset credit limit for a specified amount of time. Balances may be drawn or paid down at any time at the borrower's option. Repayment terms typically require interest each month, and often some portion of principal as well. Some revolving lines of credit require full repayment of principal at maturity, while others convert automatically into a closed-end loan once the revolving period ends. Examples of open-end revolving lines of credit include credit cards and home equity lines of credit (HELOC). Banks offer retail lending products directly through a range of

blish and adhere to a set of written policies that ensure risks associated with the frontline unit's activities are effectively identified, measured, monitored, and controlled, consistent with the covered bank's risk appetite statement, concentration risk limits, and all policies established within the risk governance framework.¹⁸ Well-Developed Risk Appetite The OCC defines risk appetite as the aggregate level and types of risk the board and management are willing to assume to achieve the bank's strategic objectives and business plan, consistent with applicable capital, liquidity, and other regulatory requirements. ¹⁹ Well-developed risk appetite statements establish a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Specific assertions generally include acceptable risks the board intends bank management to take, and unacceptable risks that should be avoided or heavily mitigated. Used properly, an established risk appetite is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances. There are many ways to approach establishing a risk appetite, and the structure and formality should be consistent with the bank's size, complexity, and risk profile. ²⁰ The board of a bank with small, noncomplex, or low-risk retail portfolios might establish a risk appetite at the bank level, and then management would r

also understand that the framework should be consistent with the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include - structured oversight by the board and senior management. - clear and consistent policies and operating procedures. - a well-established risk appetite. - structured risk assessments. - well-defined processes for policy exceptions. - effective monitoring reports. - well-designed strategies, business plans, and product testing. Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk

governance framework should include delegations of authority from the board to management committees and executive officers as well as the risk limits established for material activities. IRM should review and update the framework at least annually and as often as needed to address improvements in industry risk management practices and changes in the covered bank's risk profile caused by emerging risks, its strategic plans,

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d risk profile. Examiners should assess risk management practices in the context of product and portfolio risk. For examination purposes, the OCC refers to the bank's inherent risk profile as the quantity of risk. There are many ways to assess the bank's risk profile, and examiners should have active discussions with management and the board to determine how and when the bank assumes risk. For retail credit, discussions often focus on four key areas: risk in loan structures, risk in target markets, risk in credit underwriting due diligence, and risk layering. These discussions are often subjective, involving judgment and experience to support proper risk assessment designations. Some risk always exists when extending credit, and these discussions are more about determining the appropriateness of risk management practices given the bank's existing and intended risk profile than attempting to set an absolute risk level. 33

Risk in Loan Structures

Loan structures are generally the simplest starting point for evaluating retail credit risk. Generally, one of the lowest-risk loan structures is a fixed-rate, secured installment loan that fully amortizes the loan amount over a short term. Each characteristic contributes to a lower-risk loan structure. The fixed interest rate eliminates rate exposure for the borrower and normally adds stability to the payment stream. A perfected secured position provides for a secondary source of repayment in the event the borro

nk products. The level of interest rate risk depends on the composition of the bank's loan portfolio and the degree to which loan terms (e.g., maturity, rate structure, and embedded options) expose the bank or its borrowers to changes in interest rates. Many borrowers prefer fixed interest rates on larger, long-term retail loans, such as first mortgages and automobile loans. Long-term fixed-rate loans require active asset-liability management by bank management because core deposits used to fund retail portfolios typically have a variable interest rate. Borrowers may also assume interest rate risk on such products as HELOCs. In this context, interest rate risk is the risk of higher monthly payments on variable-rate loans due to rising interest rates, a factor that may also increase credit risk for affected loans. Bank management generally identifies borrowers with heightened exposure to interest rate changes and considers the impact on these borrowers' ability to repay if interest rates were to increase. The "Interest Rate Risk" booklet of the Comptroller's Handbook provides additional information regarding interest rate risk.

Operational Risk

Operational risk is the risk to current or projected financial condition and resilience arising from inadequate or failed internal processes or systems, human errors or misconduct, or adverse external events. Operational risk in retail lending is often elevated with higher volumes of loans, larger numbers of trans

management should hold bank personnel accountable for compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval authorities, necessary steps for approvals, and approval documentation requirements. 16

Process maps, which link directly to operating procedures, provide a third level of detail and documentation on how and when specific actions occur. The discipline of committing policies, procedures, and process maps to writing promotes a deeper understanding of each activity and prompts a practical evaluation of how each step contributes to or detracts from business and risk management objectives. 17

Examiners should view

well-written and cohesive policies, procedures, and process maps as part of an effective risk management process. Policy criteria should be consistent with and support established risk appetites and portfolio objectives. For example, banks with low risk appetites may have product underwriting standards that require higher down payments, use lower debt-to-income ratios, or are less tolerant of derogatory information on credit reports. Ba

sources emerge. Potential opportunity to selectively expand market share in profitable target markets if the bank is willing to use balance-sheet capacity. Changes in the reliability or timeliness of credit information available from credit bureaus or other third-party sources. Low, moderate Significant potential impact on credit scores and reliability of credit bureau information for estimating risk. Potential serious setback for consumer lending in the United States. May prompt a search to find alternative methods or sources of reliable performance information. Changes in the bankruptcy laws that limit or expand certain forms of bankruptcy use by consumers. Low Greater shift to co-borrower reliance, lower total debt advances, underwriting more closely tied to shorter-term capacity. Potential for significant initial disruption unless existing loans are grandfathered. Controllable if implemented prospectively, but volumes and average loan amounts are likely to decline. Rapid increase in short-term interest rates that influence consumer-credit pricing indexes. Moderate, high 10 percent increase in credit card revenues, 2 percent increase in cost of funds, 5 percent increase in 30+ delinquencies. As long as interest rate increases are moderate (for example, no more than 100 basis points) the increase in revenues should offset the higher delinquency rates. Creates a need to monitor both measures closely. Relocation or sub

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d include a set of policies, supported by appropriate procedures and processes, designed to provide risk data aggregation and reporting capabilities appropriate for the size, complexity, and risk profile of the covered bank, and to support supervisory reporting requirements. Collectively, these policies, procedures, and processes should provide for the following:

- Design, implementation, and maintenance of a data architecture and information technology infrastructure that supports the covered bank's risk aggregation and reporting needs during both normal times and times of stress.
- Capturing and aggregating of risk data and reporting of material risks, concentrations, and emerging risks in a timely manner to the board of directors and the OCC.
- Distribution of risk reports to all relevant parties at a frequency that meets the needs for decision-making purposes.²⁷

Well-Designed Strategies and Business Plans Strategic plans define the bank's desired role in the retail markets. A retail strategy typically states the bank's intent by product type, product risk appetite, economic sector, geographic location, and anticipated profitability. Decisions to offer a new product, significantly change terms on an existing product, or expand into a new market area are strategic decisions that should be supported by sound and documented analysis and due diligence.²⁸ This analysis extends to the risk assessment exercise and typically addresses

- competitive enviro

s (e.g., scorecard models) to identify, measure, monitor, and control risk levels and exposures.

Interest Rate Risk Interest rate risk is the risk to current or projected financial condition and resilience arising from movements in interest rates. Interest rate risk results from differences between the timing of rate changes and the timing of cash flows, from changing rate relationships among different yield curves affecting bank activities, from changing rate relationships across the spectrum of maturities, and from interest-related options embedded in bank products. The level of interest rate risk depends on the composition of the bank's loan portfolio and the degree to which loan terms (e.g., maturity, rate structure, and embedded options) expose the bank or its borrowers to changes in interest rates. Many borrowers prefer fixed interest rates on larger, long-term retail loans, such as first mortgages and automobile loans. Long-term fixed-rate loans require active asset-liability management by bank management because core deposits used to fund retail portfolios typically have a variable interest rate. Borrowers may also assume interest rate risk on such products as HELOCs. In this context, interest rate risk is the risk of higher monthly payments on variable-rate loans due to rising interest rates, a factor that may also increase credit risk for affected loans. Bank management generally identifies borrowers with heightened exposure to interest rate cha

t policies and operating procedures.

- a well-established risk appetite.
- structured risk assessments.
- well-defined processes for policy exceptions.
- effective monitoring reports.
- well-designed strategies, business plans, and product testing.

Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk governance framework should include delegations of authority from the board to management committees and executive officers as well as the risk limits established for material activities. IRM should review and update the framework at least annually and as often as needed to address improvements in industry risk management practices and changes in the covered bank's risk profile caused by emerging risks, its strategic plans, or other internal and external factors.¹²

Structured Oversight by the Board and Senior Management One of the board's and

senior management's most important oversight responsibilities is to establish an effective risk management framework consistent with the bank's risk profile. Characteristics of sound oversight include the following:

- Properly approved policies and procedures: The board (or a board-designated committee) typically approves significant credit policies at least annually or whenever a significant change occurs. Policies should be

typically the borrower's employment-related income (or less frequently, the borrower's assets²). Retail loan structures generally fall into one of two types: closed-end installment loans and open-end revolving lines of credit.

- Closed-end installment loans include loans made for a predetermined amount, with periodic payments of principal and interest over a specified term. Most often, the payments completely pay off the loan amount by the end of the term. In some cases, amortization schedules extend past the maturity date, leaving a lump sum (or balloon) payment due upon maturity. The finance charge may include a fixed or variable rate, and the borrower does not have the option of obtaining additional funds under the original loan agreement.
- 3 Examples of closed-end installment loans include mortgage loans and auto loans.
- Open-end revolving lines of credit include amounts available to a borrower up to a preset credit limit for a specified amount of time. Balances may be drawn or paid down at any time at the borrower's option. Repayment terms typically require interest each month, and often some portion of principal as well. Some revolving lines of credit require full repayment of principal at maturity, while others convert automatically into a closed-end loan once the revolving period ends. Examples of open-end revolving lines of credit include credit cards and home equity lines of credit (HELOC). Banks offer retail lending products directly through

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lysis when issues warrant. Effective reporting generally includes four common characteristics that improve utility:

- Performance trends: Providing data in a consistent form over time helps provide perspective and a deeper understanding of portfolio composition and migration. Most banks report performance trends for at least the past 13 months, but many retail managers find trends over a rolling eight-quarter time frame most useful for considering patterns and seasonality.
- Actual results compared with projections: Context is important. Effective reports compare actual results with management expectations and quantitative benchmarks, with variances identified and explained.
- Precise and informative narrative: Useful data charts generally include narrative, especially in reports for senior management and the board. Rather than require readers to make assumptions, reports walk the user through the issue or topic in a logical, intuitive manner. The more distanced the user is from day-to-day management of an issue, the more simple, clear, and direct the narrative should be.
- Segmented performance: Segmentation refers to breaking down aggregated data into smaller subpopulations for analysis and monitoring. Aggregated data should be segmented whenever performance could reasonably be expected to differ, allowing patterns that might otherwise be diluted by aggregated data to become more readily apparent. For example, new loans could be tracked by acquisition

appetite, and the structure and formality should be consistent with the bank's size, complexity, and risk profile. 20 The board of a bank with small, noncomplex, or low-risk retail portfolios might establish a risk appetite at the bank level, and then management would reconcile retail credit business plans to determine consistency with the overall risk appetite. Banks with large, complex, or high-risk retail credit portfolios typically establish written risk appetite statements at the retail lending level and manage product- and service-level activities from that base (e.g., risk appetite limits cascade to individual portfolios with tiered oversight, monitoring, and reporting). The terminology may differ from bank to bank, but the basic characteristics typically include the following:

- Retail risk strategies that definitively state the board and senior management's views on risk, including how the bank assumes retail exposure. Risk strategies generally set broad parameters, expressing how the bank intends to limit or mitigate risks to reduce the likelihood of insolvency or significant losses.
- Retail risk tolerances that are a quantitative extension of the risk strategy. Risk tolerances quantify the amount of aggregate risk the bank is willing to accept, and the critical areas where it chooses not to accept exposure. For example, a retail lending business might set risk tolerances for capital maintenance, measured on a nominal or risk-

18 For more info

ement decisions, and the balance between risk taking and profitability. Most importantly, oversight typically includes overseeing the establishment of a risk management framework that effectively assesses risks, monitors exposures, and adopts the necessary policies and procedures for operating the retail business in a sound and prudent manner. Informed directors also understand that the framework should be consistent with the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include

- structured oversight by the board and senior management.
- clear and consistent policies and operating procedures.
- a well-established risk appetite.
- structured risk assessments.
- well-defined processes for

policy exceptions. - effective monitoring reports. - well-designed strategies, business plans, and product testing.

Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk governance framework should include delegations of authority f

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o, positively or negatively. To make this determination, assessments should consider the volume and trends of exceptions and the ongoing performance of loans approved with exceptions (including loans with multiple exceptions 26). If long-term performance of an exception segment is weaker than expected or inconsistent with the bank's risk appetite, management may require stricter adherence to policy. If performance is better, management may consider policy revisions. **Effective Monitoring Reports** Management at most banks monitors credit performance and portfolio quality through standard reports measuring portfolio composition, borrower and portfolio performance, and policy compliance. Reports should be timely, accurate, and complete, and should provide information needed for sound management and credible challenges. A set of well-designed standard reports should monitor activity continually, even if the data seem stable. Consistent reporting allows managers to gain a comfort level with the information, ask insightful questions, and request additional facts or analysis when issues warrant. **Effective reporting generally includes four common characteristics that improve utility:**

- Performance trends: Providing data in a consistent form over time helps provide perspective and a deeper understanding of portfolio composition and migration. Most banks report performance trends for at least the past 13 months, but many retail managers find trends over a rollin

e risks or deciding not to engage in a new product or service.

- Mitigation: When risk levels can be adequately managed internally or shared or controlled by third parties. Sharing might include insurance, partnerships, hedging, outsourcing, or other risk transfer methods.
- Reduction: When risk levels can be managed to within acceptable tolerances, generally through risk, concentration, or operational limits. Reduction often includes diversification limits, business rules, and portfolio rebalancing to reduce vulnerability to certain types of exposures.
- Acceptance: When risk levels can be consciously tolerated or self-insured because the probability and severity are within reasonable limits. Banks sometimes accept risks because there are natural internal offsets, such as variable rate deposits funding variable rate loans.

Examiners should determine how risk assessment exercises are a regular part of the bank's risk appetite and business strategy development. The structure and formality of risk assessments depend on the bank's size, complexity, and risk profile. Banks with large, complex retail portfolios should have enhanced 23 risk appetite and risk assessment processes and documentation, and these estimates should work in concert with the bank's stress testing processes. Even for small banks with noncomplex portfolios, examiners should see indications of the risk assessment process in discussions with management, committee meeting minutes, management

cline. Rapid increase in short-term interest rates that influence consumer-credit pricing indexes. Moderate, high 10 percent increase in credit card revenues, 2 percent increase in cost of funds, 5 percent increase in 30+ delinquencies. As long as interest rate increases are moderate (for example, no more than 100 basis points) the increase in revenues should offset the higher delinquency rates. Creates a need to monitor both measures closely. Relocation or substantial reduction of a local military base, the largest employer in the community, in the next three years. Moderate, high 20 percent increase in local unemployment, 25 percent decline in auto and installment loan volumes, 10 percent decline in checking and savings account volumes. Significant impact on borrowers employed by the base. Decline in new loan business and checking and savings accounts. Affects small businesses that serve customers living and

working on the base. Creates a need to monitor closely and join local government efforts to lobby against closure. Changes in consumer protection laws and regulations that affect the bank's ability to offer retail credit-related products or services. Moderate, high Potential impact on the bank's ability to offer or service affected products or services. Depending on significance of change, the bank may incur reduced revenue because of increased costs associated with offering the product or service or if the bank

ucts are described in other booklets of the Comptroller's Handbook, including "Residential Real Estate Lending," "Mortgage Banking," "Credit Card Lending," "Student Lending," "Deposit-Related Credit," and "Installment Lending." Specific consumer protection laws and regulations applicable to retail lending are discussed in the Consumer Compliance booklets of the Comptroller's Handbook. In addition, the OCC has established minimum standards for designing and implementing a risk governance framework for certain large insured national banks, insured federal savings associations, and insured federal branches of foreign banks. Such banks- including those with average total consolidated assets of \$50 billion or greater or those that are OCC- designated, which are referred to as covered banks-should adhere to 12 CFR 30, appendix D, "OCC Guidelines Establishing Heightened Standards for Certain Large Insured National Banks, Insured Federal Savings Associations, and Insured Federal Branches" (referred to in this booklet as heightened standards). This booklet discusses these heightened standards in the context of retail lending, as well as broader concepts applicable to a wider range of banks. 1 Generally, references to "national banks" throughout this booklet also apply to federal branches and agencies of foreign banking organizations unless otherwise specified. Refer to the "Federal Branches and Agencies Supervision" booklet of the Comptroller's Handbook for more in

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Safety and Soundness Ofce of the Comptroller of the Currency Washington, DC 20219 Comptroller's Handbook Management (M) Earnings (E) Liquidity (L) Sensitivity to Market Risk (S) Other Activities (O) Asset Quality (A) Capital Adequacy (C) Retail Lending Version 2.0, October 2021 References to reputation risk have been removed from this booklet as of March 20, 2025. Removal of reputation risk references is identified by a strikethrough. Refer to OCC Bulletin 2025-4.

thin the risk governance framework.¹⁸ Well-Developed Risk Appetite The OCC defines risk appetite as the aggregate level and types of risk the board and management are willing to assume to achieve the bank's strategic objectives and business plan, consistent with applicable capital, liquidity, and other regulatory requirements. ¹⁹ Well- developed risk appetite statements establish a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Specific assertions generally include acceptable risks the board intends bank management to take, and unacceptable risks that should be avoided or heavily mitigated. Used properly, an established risk appetite is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances. There are many ways to approach establishing a risk appetite, and the structure and formality should be consistent with the bank's size, complexity, and risk profile. ²⁰ The board of a bank with small, noncomplex, or low-risk retail portfolios might establish a risk appetite at the bank level, and then management would reconcile retail credit business plans to determine consistency with the overall risk appetite. Banks with large, complex, or high-risk retail credit portfolios typically establish written risk appetite statements at the retail lending level and manage product- and service-level activities from

re. Effective systems and controls to identify, measure, monitor, and control potential issues, such as appropriate oversight of sales, servicing, marketing, loss mitigation practices, and third parties, are critical to managing reputation risk. Risk Management Each bank should identify, measure, monitor, and control risk by implementing an effective risk management system appropriate for the bank's size, complexity, and risk profile. When examiners assess the effectiveness of a bank's risk management system, they consider the bank's policies, processes, personnel, and control systems. Refer to the "Corporate and Risk Governance" booklet of the Comptroller's Handbook for an expanded discussion of risk management. Examiners should assess risk management practices in the context of inherent product and portfolio risks. While risk management objectives are similar for most banks, specific practices may differ depending on the products offered, the volume and types of transactions, and the markets targeted. Banks with a low quantity of risk, such as small non-complex community banks, may operate with less sophisticated risk management frameworks. ¹¹ Large ¹¹ This booklet applies to all banks with retail lending activities. The OCC expects community banks to have risk management practices commensurate with the level of risk and complexity of the banks' retail lending activities. The OCC recognizes that the risk management systems of community banks may no

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k should be consistent with the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include - structured oversight by the board and senior management. - clear and consistent policies and operating procedures. - a well-established risk appetite. - structured risk assessments. - well-defined processes for policy exceptions. - effective monitoring reports. - well-designed strategies, business plans, and product testing. Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk governance framework should include delegations of authority from the board to management committees and executive officers as well as the risk limits established for material activities. IRM should review and update the framework at least annually and as often as needed to address improvements in industry risk management practices and changes in the covered bank's risk profile caused by emerging risks, its strategic plans, or other internal and external f

forms of bankruptcy use by consumers. Low Greater shift to co-borrower reliance, lower total debt advances, underwriting more closely tied to shorter-term capacity. Potential for significant initial disruption unless existing loans are grandfathered. Controllable if implemented prospectively, but volumes and average loan amounts are likely to decline. Rapid increase in short-term interest rates that influence consumer-credit pricing indexes. Moderate, high 10 percent increase in credit card revenues, 2 percent increase in cost of funds, 5 percent increase in 30+ delinquencies. As long as interest rate increases are moderate (for example, no more than 100 basis points) the increase in revenues should offset the higher delinquency rates. Creates a need to monitor both measures closely. Relocation or substantial reduction of a local military base, the largest employer in the community, in the next three years. Moderate, high 20 percent increase in local unemployment, 25 percent decline in auto and installment loan volumes, 10 percent decline in checking and savings account volumes. Significant impact on borrowers employed by the base. Decline in new loan business and checking and savings accounts. Affects small businesses that serve customers living and working on the base. Creates a need to monitor closely and join local government efforts to lobby against closure. Changes in consumer protection laws and regulations that

plex products, should have more sophisticated frameworks. Primary examination objectives are to understand how each bank identifies and manages the risk inherent in the bank's portfolio, and whether risk management practices are effective in the context of the risks assumed. The board has a critical role in overseeing the bank's retail credit risk management functions. As part of this oversight, directors generally consider questioning the propriety of strategic initiatives, staffing and management decisions, and the balance between risk taking and profitability. Most importantly, oversight typically includes overseeing the establishment of a risk management framework that effectively assesses risks, monitors exposures, and adopts the necessary policies and procedures for operating the retail business in a sound and prudent manner. Informed directors also understand that the framework should be consistent with the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary

examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include

- structured oversight by the board and senior management.
- clear and consistent policies and operating procedures.
- a well-established risk

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ervision," or "Large Bank Supervision" booklets of the Comptroller's Handbook. The "Retail Lending" booklet includes expanded examination procedures that examiners should use when specific retail credit products, services, or risks warrant review beyond the core assessment. This booklet's objective is to consider risk management practices fundamental to retail lending and common across product types. A bank's retail lending practices should be commensurate with the bank's size, complexity, and risk profile. Additional product-specific considerations may apply. For example, certain lending and risk management practices relevant to particular products are described in other booklets of the Comptroller's Handbook, including "Residential Real Estate Lending," "Mortgage Banking," "Credit Card Lending," "Student Lending," "Deposit-Related Credit," and "Installment Lending." Specific consumer protection laws and regulations applicable to retail lending are discussed in the Consumer Compliance booklets of the Comptroller's Handbook. In addition, the OCC has established minimum standards for designing and implementing a risk governance framework for certain large insured national banks, insured federal savings associations, and insured federal branches of foreign banks. Such banks- including those with average total consolidated assets of \$50 billion or greater or those that are OCC- designated, which are referred to as covered banks-should adhere to 12 CFR 30, ap

, with loan quality monitored over time through payment performance, periodically refreshed credit scores, and, when necessary, updated collateral valuations. Lenders seldom receive updated borrower income information to monitor ongoing capacity, so prudent loan structures and active credit administration are crucial. Retail portfolios typically consist of sizeable segments of relatively homogeneous loans, and credit risk analysis lends itself well to statistical techniques (e.g., scorecard models) to identify, measure, monitor, and control risk levels and exposures. Interest Rate Risk Interest rate risk is the risk to current or projected financial condition and resilience arising from movements in interest rates. Interest rate risk results from differences between the timing of rate changes and the timing of cash flows, from changing rate relationships among different yield curves affecting bank activities, from changing rate relationships across the spectrum of maturities, and from interest-related options embedded in bank products. The level of interest rate risk depends on the composition of the bank's loan portfolio and the degree to which loan terms (e.g., maturity, rate structure, and embedded options) expose the bank or its borrowers to changes in interest rates. Many borrowers prefer fixed interest rates on larger, long-term retail loans, such as first mortgages and automobile loans. Long-term fixed-rate loans require active asset-liability mana

impact of events that could significantly affect the bank. Approaches vary, but most assessments consider four key threat aspects: the risk event, likelihood of occurrence, practical impact, and significance. Table 1 provides an example of risks a retail lender might consider during a credit risk assessment exercise. Table 1: Credit Risk Assessment Exercise Example

Risk event	Likelihood	Impact	Significance
Significant new technology advancement or application that changes how retail lending products are marketed, priced, and delivered to consumers.	Low	20 percent revenue reduction for the next year due to new competitors and the need to update delivery channels.	Material shortfall in revenues and business profitability. May require reexamining the business model and competitive approach.
Disruption in the mortgage insurance industry that limits availability or significantly increases costs.	Low	25 percent	

reduction in origination volumes. 10 percent increase in capital requirements from keeping greater origination volumes on the balance sheet. Could change fundamental operation of residential mortgage markets. Higher cost of insurance. Significant secondary market disruption until alternative sources emerge. Potential opportunity to selectively expand market share in profitable target markets if the bank is willing to use balance-sheet capacity. Changes in the reliability or timeliness of credit information available

than one source to originate loans. Numerous factors influence the demand for and availability of retail lending products. A borrower's income, age, life-cycle stage, lifestyle, attitudes about borrowing, and personal financial condition all affect the use of credit. Economic factors, such as inflation, interest rates, employment, and local economic conditions, influence credit volumes and activity. Advances in technology also permit retail lenders to better differentiate risk and to accept and price exposures more selectively. These advances promote the use of tailored products that are better able to meet individual borrower risk profiles, allowing many banks to expand their markets and increase profitability. This booklet describes prudent bank practices to manage retail credit risk appropriately. These include practices that examiners should consider when evaluating a bank's quantity of risk and quality of risk management. **Risks Associated With Retail Lending** From a supervisory perspective, risk is the potential that events will have an adverse effect on a bank's current or projected financial condition⁵ and resilience.⁶ The OCC has defined eight categories of risk for bank supervision purposes: credit, interest rate, liquidity, price, operational, compliance, strategic, and reputation. These categories are not mutually exclusive. Any product or service may expose a bank to multiple risks. Risks also may be interdependent and may be positively

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their area's resources and capabilities so they can provide informed input into business plans and proposals. The use of cross-functional teams helps form realistic and actionable business plans, promotes buy-in from important parties, and minimizes unanticipated problems during implementation. Common topics in retail business plans address - product design, marketing, and product mix and customer risk profile. - volume and profitability projections. - product testing parameters. - concentration and risk limits. - capital and allowance for loan and lease losses (ALLL) or allowance for credit losses (ACL) requirements. - reporting content and distribution. - key performance monitoring measures. Before implementation, management should reconcile business plans with existing lending and operating policies for comprehensive coverage and consistency. Bank staff should be thoroughly briefed and trained on any changes, with reporting systems and internal controls fully tested and operational. Examiners should pay particular attention to how banks implement new business strategies, including the rollout of new products or initiatives. This is especially important when changes could significantly affect the bank's size, operating approach, or risk profile. Examiners should consider whether effective change management processes exist, including realistic assessments of costs and resource requirements (including information technology requirements); adequate

r revisions. Policy exception volumes and analysis should be a normal part of board and senior management reporting. Policy compliance is a useful risk management tool, and examiners should view adherence to the exceptions process as an important internal control. Some exceptions will occur because it is nearly impossible to construct underwriting or operating policies covering every lending situation. Still, exception types and volumes should be controlled, with appropriate reporting to identify and track exceptions and appropriate analysis to determine causes, impact, and any need for corrective action. Policy exceptions for retail lending typically fall into three categories: - Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc. - Credit scoring: High- and low-side overrides. 24 - Documentation: Loan application, transaction information, and collateral perfection or valuation. Exception limits for each, and in aggregate, are typically established by either dollar amounts or transaction volumes per month.²⁵ Trends can vary between dollar and transaction volumes, and banks with larger or more complex portfolios should typically track and evaluate both. Exception monitoring reports should include sufficient detail for meaningful analysis of exceptions overall and by type. The objective is to determine whether exceptions are

24 A credit score override occurs when a lender approves a loan that does not meet the lender's mi

The use of cross-functional teams helps form realistic and actionable business plans, promotes buy-in from important parties, and minimizes unanticipated problems during implementation. Common topics in retail business plans address - product design, marketing, and product mix and customer risk profile. - volume and profitability projections. - product testing parameters. - concentration and risk limits. - capital and allowance for loan and lease losses (ALLL) or allowance for credit losses (ACL) requirements. - reporting content and distribution. - key performance monitoring measures. Before implementation, management should reconcile business plans with existing lending and operating policies for comprehensive coverage and consistency. Bank staff should be thoroughly briefed and trained on any changes, with reporting systems and internal controls fully tested and operational. Examiners should pay particular attention to how

banks implement new business strategies, including the rollout of new products or initiatives. This is especially important when changes could significantly affect the bank's size, operating approach, or risk profile. Examiners should consider whether effective change management processes exist, including realistic assessments of costs and resource requirements (including information technology requirements); adequate testing periods; timely and accurate performance monitoring; and effective policies, operating procedures, and

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ies appropriate for the size, complexity, and risk profile of the covered bank, and to support supervisory reporting requirements. Collectively, these policies, procedures, and processes should provide for the following:

- Design, implementation, and maintenance of a data architecture and information technology infrastructure that supports the covered bank's risk aggregation and reporting needs during both normal times and times of stress.
- Capturing and aggregating of risk data and reporting of material risks, concentrations, and emerging risks in a timely manner to the board of directors and the OCC.
- Distribution of risk reports to all relevant parties at a frequency that meets the needs for decision-making purposes.²⁷

Well-Designed Strategies and Business Plans Strategic plans define the bank's desired role in the retail markets. A retail strategy typically states the bank's intent by product type, product risk appetite, economic sector, geographic location, and anticipated profitability. Decisions to offer a new product, significantly change terms on an existing product, or expand into a new market area are strategic decisions that should be supported by sound and documented analysis and due diligence.²⁸ This analysis extends to the risk assessment exercise and typically addresses

- competitive environment.
- capabilities and expertise.
- operational capacity.
- staffing and training needs.
- control systems in place and those needed.
- c

Standards Each frontline unit should establish and adhere to a set of written policies that ensure risks associated with the frontline unit's activities are effectively identified, measured, monitored, and controlled, consistent with the covered bank's risk appetite statement, concentration risk limits, and all policies established within the risk governance framework.¹⁸

Well-Developed Risk Appetite The OCC defines risk appetite as the aggregate level and types of risk the board and management are willing to assume to achieve the bank's strategic objectives and business plan, consistent with applicable capital, liquidity, and other regulatory requirements.¹⁹ Well-developed risk appetite statements establish a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Specific assertions generally include acceptable risks the board intends bank management to take, and unacceptable risks that should be avoided or heavily mitigated. Used properly, an established risk appetite is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances. There are many ways to approach establishing a risk appetite, and the structure and formality should be consistent with the bank's size, complexity, and risk profile.²⁰ The board of a bank with small, noncomplex, or low-risk retail portfolios might establish a risk appetite at the

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tegic plan with input from frontline units, IRM, and internal audit. The board of directors should evaluate and approve the strategic plan and monitor management's efforts to implement the strategic plan at least annually. The strategic plan should cover, at a minimum, a three-year period and - contain a comprehensive assessment of risks that currently have an impact on the covered bank or that could have an impact on the covered bank during the period covered by the strategic plan. - articulate an overall mission statement and strategic objectives for the covered bank and include an explanation of how the covered bank will achieve those objectives. - explain how the covered bank will update, as necessary, the risk governance framework to account for changes in the covered bank's risk profile projected under the strategic plan. - be reviewed, updated, and approved, as necessary, due to changes in the covered bank's risk profile or operating environment that were not contemplated when the strategic plan was developed.³² Considering Quantity of Risk The OCC expects risk management for retail credit activities to correspond to the bank's size, complexity, and risk profile. Examiners should assess risk management practices in the context of product and portfolio risk. For examination purposes, the OCC refers to the bank's inherent risk profile as the quantity of risk. There are many ways to assess the bank's risk profile, and examiners should have activ

nt of a risk management framework that effectively assesses risks, monitors exposures, and adopts the necessary policies and procedures for operating the retail business in a sound and prudent manner. Informed directors also understand that the framework should be consistent with the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include - structured oversight by the board and senior management. - clear and consistent policies and operating procedures. - a well-established risk appetite. - structured risk assessments. - well-defined processes for policy exceptions. - effective monitoring reports. - well-designed strategies, business plans, and product testing. Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk governance framework should include delegations of authority from the board to management committees and executive officers as well as the risk limits established for material activities. IRM should review

esidential Real Estate Lending," "Mortgage Banking," "Credit Card Lending," "Student Lending," "Deposit-Related Credit," and "Installment Lending." Specific consumer protection laws and regulations applicable to retail lending are discussed in the Consumer Compliance booklets of the Comptroller's Handbook. In addition, the OCC has established minimum standards for designing and implementing a risk governance framework for certain large insured national banks, insured federal savings associations, and insured federal branches of foreign banks. Such banks- including those with average total consolidated assets of \$50 billion or greater or those that are OCC- designated, which are referred to as covered banks-should adhere to 12 CFR 30, appendix D, "OCC Guidelines Establishing Heightened Standards for Certain Large Insured National Banks, Insured Federal Savings Associations, and Insured Federal Branches" (referred to in this booklet as heightened standards). This booklet discusses these heightened

standards in the context of retail lending, as well as broader concepts applicable to a wider range of banks.

1 Generally, references to "national banks" throughout this booklet also apply to federal branches and agencies of foreign banking organizations unless otherwise specified. Refer to the "Federal Branches and Agencies Supervision" booklet of the Comptroller's Handbook for more information regarding applicability of laws, regulations, and guidance to federal

related to consumer protection and fair lending. Responsibility and authority for identifying, approving, and monitoring policy exceptions are generally in writing, with regular reporting to capture exceptions at the transaction, product segment, product, and portfolio levels. Most banks perform enhanced analysis when exception volumes reach established thresholds, and results of the analysis should be an important factor in policy updates or revisions. Policy exception volumes and analysis should be a normal part of board and senior management reporting. Policy compliance is a useful risk management tool, and examiners should view adherence to the exceptions process as an important internal control. Some exceptions will occur because it is nearly impossible to construct underwriting or operating policies covering every lending situation. Still, exception types and volumes should be controlled, with appropriate reporting to identify and track exceptions and appropriate analysis to determine causes, impact, and any need for corrective action. Policy exceptions for retail lending typically fall into three categories:

- Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc.
- Credit scoring: High- and low-side overrides.
- Documentation: Loan application, transaction information, and collateral perfection or valuation.

Exception limits for each, and in aggregate, are typically established by either dollar amounts or transac

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. Some exceptions will occur because it is nearly impossible to construct underwriting or operating policies covering every lending situation. Still, exception types and volumes should be controlled, with appropriate reporting to identify and track exceptions and appropriate analysis to determine causes, impact, and any need for corrective action. Policy exceptions for retail lending typically fall into three categories: - Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc. - Credit scoring: High- and low-side overrides. 24 - Documentation: Loan application, transaction information, and collateral perfection or valuation. Exception limits for each, and in aggregate, are typically established by either dollar amounts or transaction volumes per month.²⁵ Trends can vary between dollar and transaction volumes, and banks with larger or more complex portfolios should typically track and evaluate both. Exception monitoring reports should include sufficient detail for meaningful analysis of exceptions overall and by type. The objective is to determine whether exceptions are 24 A credit score override occurs when a lender approves a loan that does not meet the lender's minimum credit score (i.e., a low-side override), or declines a loan that was above the lender's minimum credit score (i.e., a high-side override). High-side overrides typically occur because a borrower fails some other aspect of the underwriting criteria, such as in

obligation to fund unfunded commitments of open-ended credit, such as credit cards or HELOCs.

Compliance Risk Compliance risk is the risk to current or projected financial condition and resilience arising from violations of laws or regulations, or from nonconformance with prescribed practices, internal bank policies and procedures, or ethical standards. Banks engaged in retail lending activities are exposed to significant compliance risk due to the number of consumer protection laws and regulations. Some consumer protection-related laws relevant to retail lending include 8 - 10 USC 987, "Military Lending Act." - 12 USC 2601, et seq., "Real Estate Settlement Procedures Act." - 12 USC 2801 et. seq., "Home Mortgage Disclosure Act" - 12 USC 4901 et seq., "Homeowners Protection Act." - 15 USC 1601 et seq., "Truth in Lending." - 15 USC 1681 et seq., "Fair Credit Reporting Act." 15 USC 1691 et seq., "Equal Credit Opportunity Act." - 15 USC 1692 et seq., "Fair Debt Collection Practices Act." - 42 USC 3601 et seq., "Fair Housing Act." - 42 USC 4002, "Flood Disaster Protection Act." - 50 USC 3901 et seq., "Servicemembers Civil Relief Act." - laws prohibiting unfair, deceptive, or abusive acts or practices.⁹ Banks also have obligations arising from the Bank Secrecy Act (BSA), anti-money laundering (AML) laws, and the sanctions laws and regulations administered by the U.S. Department of the Treasury's Office of Foreign Assets Control (OFAC).¹⁰ 8 For mor

establish written risk appetite statements at the retail lending level and manage product- and service-level activities from that base (e.g., risk appetite limits cascade to individual portfolios with tiered oversight, monitoring, and reporting). The terminology may differ from bank to bank, but the basic characteristics typically include the following: - Retail risk strategies that definitively state the board and senior management's views on risk, including how the bank assumes retail exposure. Risk strategies generally set broad parameters, expressing how the bank intends to limit or mitigate risks to reduce the likelihood of insolvency or significant losses. - Retail risk tolerances that are a quantitative extension of the risk strategy. Risk tolerances quantify the amount of aggregate risk the bank is willing to accept, and the critical areas where it chooses not to accept exposure. For example, a retail lending business might set risk tolerances for

capital maintenance, measured on a nominal or risk- 18 For more information, refer to 12 CFR 30, appendix D, II.C.1, "Roles and Responsibilities of Front Line Units." 19 For more information on establishing a risk appetite, refer to the "Corporate and Risk Governance" booklet of the Comptroller's Handbook and 12 CFR 30, appendix D. While the OCC's heightened standards in 12 CFR 30, appendix D, apply only to banks of a certain size, these standards may provide additional information or examples of prude

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r's Handbook 2 Retail Lending Heightened Standards Specific criteria for covered banks, subject to 12 CFR 30, appendix D, are noted in text boxes like this one throughout this booklet. Overview The OCC defines retail lending in OCC Bulletin 2000-20, "Uniform Retail Credit Classification and Account Management Policy: Policy Implementation," as closed- and open-end credit extended to individuals for household, family, and other personal expenditures. Retail lending products include consumer loans, credit cards, auto loans, student loans, and loans to individuals secured by their personal residences, including first mortgage, home equity, and home improvement loans. Retail lending products may be either secured or unsecured, and the source of repayment is typically the borrower's employment-related income (or less frequently, the borrower's assets²). Retail loan structures generally fall into one of two types: closed-end installment loans and open-end revolving lines of credit. - Closed-end installment loans include loans made for a predetermined amount, with periodic payments of principal and interest over a specified term. Most often, the payments completely pay off the loan amount by the end of the term. In some cases, amortization schedules extend past the maturity date, leaving a lump sum (or balloon) payment due upon maturity. The finance charge may include a fixed or variable rate, and the borrower does not have the option of obtaining addi

If well to statistical techniques (e.g., scorecard models) to identify, measure, monitor, and control risk levels and exposures. Interest Rate Risk Interest rate risk is the risk to current or projected financial condition and resilience arising from movements in interest rates. Interest rate risk results from differences between the timing of rate changes and the timing of cash flows, from changing rate relationships among different yield curves affecting bank activities, from changing rate relationships across the spectrum of maturities, and from interest-related options embedded in bank products. The level of interest rate risk depends on the composition of the bank's loan portfolio and the degree to which loan terms (e.g., maturity, rate structure, and embedded options) expose the bank or its borrowers to changes in interest rates. Many borrowers prefer fixed interest rates on larger, long-term retail loans, such as first mortgages and automobile loans. Long-term fixed-rate loans require active asset-liability management by bank management because core deposits used to fund retail portfolios typically have a variable interest rate. Borrowers may also assume interest rate risk on such products as HELOCs. In this context, interest rate risk is the risk of higher monthly payments on variable-rate loans due to rising interest rates, a factor that may also increase credit risk for affected loans. Bank management generally identifies borrowers with heighten

profitability. Most importantly, oversight typically includes overseeing the establishment of a risk management framework that effectively assesses risks, monitors exposures, and adopts the necessary policies and procedures for operating the retail business in a sound and prudent manner. Informed directors also understand that the framework should be consistent with the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include - structured oversight by the board and senior management. - clear and consistent policies and operating procedures. - a well-established risk appetite. -

structured risk assessments. - well-defined processes for policy exceptions. - effective monitoring reports. - well-designed strategies, business plans, and product testing. Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk governance framework should include delegations of authority from the board to management committees and executive office

al residences, including first mortgage, home equity, and home improvement loans. Retail lending products may be either secured or unsecured, and the source of repayment is typically the borrower's employment-related income (or less frequently, the borrower's assets²). Retail loan structures generally fall into one of two types: closed-end installment loans and open-end revolving lines of credit. - Closed-end installment loans include loans made for a predetermined amount, with periodic payments of principal and interest over a specified term. Most often, the payments completely pay off the loan amount by the end of the term. In some cases, amortization schedules extend past the maturity date, leaving a lump sum (or balloon) payment due upon maturity. The finance charge may include a fixed or variable rate, and the borrower does not have the option of obtaining additional funds under the original loan agreement.³ Examples of closed-end installment loans include mortgage loans and auto loans. - Open-end revolving lines of credit include amounts available to a borrower up to a preset credit limit for a specified amount of time. Balances may be drawn or paid down at any time at the borrower's option. Repayment terms typically require interest each month, and often some portion of principal as well. Some revolving lines of credit require full repayment of principal at maturity, while others convert automatically into a closed-end loan once the revolving p

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iness and assuming risk. Examiners may see different terms and labels for these characteristics but should typically expect to see the essentials of each as part of the risk assessment exercise that establishes the bank's risk appetite statement.

Heightened Standards A covered bank should have a comprehensive written statement that articulates the covered bank's risk appetite and serves as the basis for the risk governance framework. The risk appetite statement should include both qualitative components and quantitative limits. The qualitative components should describe a safe and sound risk culture and how the covered bank assesses and accepts risks, including those that are difficult to quantify. Quantitative limits should incorporate sound stress testing processes, as appropriate, and address the covered bank's earnings, capital, and liquidity. The covered bank should set limits at levels that take into account appropriate capital and liquidity buffers and prompt management and the board of directors to reduce risk before the covered bank's risk profile jeopardizes the adequacy of its earnings, liquidity, and capital.²¹

Structured Risk Assessment A practical, realistic assessment of risks facing the business is an important foundation for developing a risk appetite. A bank should have internal controls and information systems that are appropriate to the size of the institution and the nature, scope, and risk of its activities and that provide for a

a set of written policies that ensure risks associated with the frontline unit's activities are effectively identified, measured, monitored, and controlled, consistent with the covered bank's risk appetite statement, concentration risk limits, and all policies established within the risk governance framework.¹⁸

Well-Developed Risk Appetite The OCC defines risk appetite as the aggregate level and types of risk the board and management are willing to assume to achieve the bank's strategic objectives and business plan, consistent with applicable capital, liquidity, and other regulatory requirements. ¹⁹ Well-developed risk appetite statements establish a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Specific assertions generally include acceptable risks the board intends bank management to take, and unacceptable risks that should be avoided or heavily mitigated. Used properly, an established risk appetite is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances. There are many ways to approach establishing a risk appetite, and the structure and formality should be consistent with the bank's size, complexity, and risk profile. ²⁰ The board of a bank with small, noncomplex, or low-risk retail portfolios might establish a risk appetite at the bank level, and then management would reconcile retail cred

ity.

- Actual results compared with projections: Context is important. Effective reports compare actual results with management expectations and quantitative benchmarks, with variances identified and explained.
- Precise and informative narrative: Useful data charts generally include narrative, especially in reports for senior management and the board. Rather than require readers to make assumptions, reports walk the user through the issue or topic in a logical, intuitive manner. The more distanced the user is from day-to-day management of an issue, the more simple, clear, and direct the narrative should be.
- Segmented performance: Segmentation refers to breaking down aggregated data into smaller subpopulations for analysis and monitoring. Aggregated data should be segmented whenever performance could reasonably be expected to differ, allowing patterns that might otherwise be diluted by aggregated data to become more

readily apparent. For example, new loans could be tracked by acquisition source, vintage, geography, or other common characteristics, so users can identify segments with weak performance or issues needing attention. When possible, a single data source is best for reporting consistency. When this is not possible, data sources should be periodically reconciled and audited to determine reliability. 26 In general, the presence of multiple policy exceptions in a single transaction increases risk and raises the likelihood that the transaction wi

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ed. Business managers should identify and assess material risks, operate within the parameters of an established risk appetite, and adhere to established policies and operating procedures. An independent credit and risk management review process should assess credit risk independent of the business unit, 13 monitor compliance with concentration and risk limits, and raise issues directly to senior management, oversight committees, and the board. Internal audit and other independent control functions should evaluate the adequacy of established policies and procedures and identify practices that are inconsistent with the risk governance framework. - Established risk appetite:14 Establishing a risk appetite means developing a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Risk appetite statements generally include acceptable risks bank management intends to take because the risk is sufficiently compensated and unacceptable risks that should be avoided or heavily mitigated. Used properly, the risk appetite statement is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances that should not be exceeded without proper escalation and approval. 13 For most banks, an IRM function or process is an important control. Some community banks with standard products and low-risk concentration levels may operate prud

ssions are often subjective, involving judgment and experience to support proper risk assessment designations. Some risk always exists when extending credit, and these discussions are more about determining the appropriateness of risk management practices given the bank's existing and intended risk profile than attempting to set an absolute risk level. 33 Risk in Loan Structures Loan structures are generally the simplest starting point for evaluating retail credit risk. Generally, one of the lowest-risk loan structures is a fixed-rate, secured installment loan that fully amortizes the loan amount over a short term. Each characteristic contributes to a lower- risk loan structure. The fixed interest rate eliminates rate exposure for the borrower and normally adds stability to the payment stream. A perfected secured position provides for a secondary source of repayment in the event the borrower experiences financial difficulties and is unable to repay the loan. Full amortization allows the borrower to demonstrate a willingness and capacity to repay

each month, allowing delinquency to be a reliable indicator of loan quality. A short loan term (or reasonable term for the loan's purpose) increases the likelihood of full repayment under the economic and financial circumstances considered in 32 For more information, refer to 12 CFR 30, appendix D, II.D, "Strategic Plan." 33 Appendix B of this booklet provides a supplemental matrix for assessing quantity of risk

bank's size, operating approach, or risk profile. Examiners should consider whether effective change management processes exist, including realistic assessments of costs and resource requirements (including information technology requirements); adequate testing periods; timely and accurate performance monitoring; and effective policies, operating procedures, and internal controls. 29 Even after business plans are developed, the board, or a designated board committee, should evaluate whether senior management is fully capable of managing credit activities within the approved risk strategy, policies, and tolerances. Compensation policies should not contradict the credit risk strategy. Red flags generally include focusing on loan production at the expense of loan quality, generating nominal profits while deviating from credit policies, or exceeding established limits.³⁰ In addition, for residential real estate-secured lending, loan officer compensation policies must comply with the requirements of Regulation Z, which implements the Truth in Lending Act.³¹ All such practices affect the bank's credit processes. The board should monitor these practices closely and act on any deviations. 29 Ibid 30 The OCC expects banks to regularly review their incentive compensation arrangements for all executive and nonexecutive employees who, either individually or as part of a group, have the ability to expose the organizations to material amounts of risk. Banks also ar

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r other measures of reputation risk. Risk tolerances within the risk appetite statement are generally set for only a few key factors that relate directly to business or mission failure. Establishing measurable risk tolerances provides management and the board with important context information for monitoring risk levels and consistency with established standards. - Retail risk preferences that reflect where the business has (or perceives itself to have) competitive advantages and may pursue additional risk. Risk preferences for a retail lender often include specific products, target markets, or delivery channels. The board and management should consider applicable fair lending risk when selecting or identifying a particular retail risk preference. For more information, refer to the "Fair Lending" booklet of the Comptroller's Handbook. - Retail risk limits that are capacity controls to manage risk levels. Risk limits are set for specific risk sources, business units, or products, and help implement the higher-level risk tolerances. Some banks use their stress testing results to establish aggregate and product risk capacity, translating results into operational capacity limits. Risk limits complement the risk tolerances and are generally more granular, practical controls at the portfolio and sub-portfolio levels, using metrics that can be managed at the business line level. Practical risk appetite statements generally result from analysis and consideration o

.....	48		Examination	Procedures
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.....			58	Quantity of Risk
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ommittees with broader responsibilities, while larger banks typically have product-specific committees with narrower scopes. Committee charters define required membership, frequency of meetings and reports, documentation of minutes, and committee responsibilities and accountabilities. Committee responsibilities often encompass both risk and business management objectives, and membership should include individuals with the knowledge and experience for the tasks. - Clear lines of authority, responsibility, and accountability: Roles and responsibilities across the retail lending business should be well defined and well communicated. Business managers should identify and assess material risks, operate within the parameters of an established risk appetite, and adhere to established policies and operating procedures. An independent credit and risk management review process should assess credit risk independent of the business unit, 13 monitor compliance with concentration and risk limits, and raise issues directly to senior management, oversight committees, and the board. Internal audit and other independent control functions should evaluate

the adequacy of established policies and procedures and identify practices that are inconsistent with the risk governance framework. - Established risk appetite:14 Establishing a risk appetite means developing a common understanding within the bank on how management should approach and accept risks when executing the bank's st

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.....	30		Control	Systems
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ive sources emerge. Potential opportunity to selectively expand market share in profitable target markets if the bank is willing to use balance-sheet capacity. Changes in the reliability or timeliness of credit information available from credit bureaus or other third-party sources. Low, moderate Significant potential impact on credit scores and reliability of credit bureau information for estimating risk. Potential serious setback for consumer lending in the United States. May prompt a search to find alternative methods or sources of reliable performance information. Changes in the bankruptcy laws that limit or expand certain forms of bankruptcy use by consumers. Low Greater shift to co-borrower reliance, lower total debt advances, underwriting more closely tied to shorter-term capacity. Potential for significant initial disruption unless existing loans are grandfathered. Controllable if implemented prospectively, but volumes and average loan amounts are likely to decline. Rapid increase in short-term interest rates that influence consumer-credit pricing indexes. Moderate, high 10 percent increase in credit card revenues, 2 percent increase in cost of funds, 5 percent increase in 30+ delinquencies. As long as interest rate increases are moderate (for example, no more than 100 basis points) the increase in revenues should offset the higher delinquency rates. Creates a need to monitor both measures closely. Relocation or

mmon topics in retail business plans address - product design, marketing, and product mix and customer risk profile. - volume and profitability projections. - product testing parameters. - concentration and risk limits. - capital and allowance for loan and lease losses (ALLL) or allowance for credit losses (ACL) requirements. - reporting content and distribution. - key performance monitoring measures. Before implementation, management should reconcile business plans with existing lending and operating policies for comprehensive coverage and consistency. Bank staff should be thoroughly briefed and trained on any changes, with reporting systems and internal controls fully tested and operational. Examiners should pay particular attention to how banks implement new business strategies, including the rollout of new products or initiatives. This is especially important when changes could significantly affect the bank's size, operating approach, or risk profile. Examiners should consider whether effective change management processes exist, including realistic assessments of costs and resource requirements (including information technology requirements); adequate testing periods; timely and accurate performance monitoring; and effective policies, operating procedures, and internal controls. 29 Even after business plans are developed, the board, or a designated board committee, should evaluate whether senior management is fully capable of managing credit acti

cept and price exposures more selectively. These advances promote the use of tailored products that are better able to meet individual borrower risk profiles, allowing many banks to expand their markets and increase profitability. This booklet describes prudent bank practices to manage retail credit risk appropriately. These include practices that examiners should consider when evaluating a bank's quantity of risk and quality of risk management. Risks Associated With Retail Lending From a supervisory perspective, risk is the potential that events will have an adverse effect on a bank's current or projected financial condition 5 and resilience.⁶ The OCC has defined eight categories of risk for bank supervision purposes: credit, interest rate, liquidity, price, operational, compliance, strategic, and reputation. These categories are not mutually exclusive. Any product or service may expose a bank to multiple risks. Risks also

may be interdependent and may be positively or negatively correlated. Examiners should be aware of and assess this interdependence. Examiners also should be alert to concentrations that can significantly elevate risk. Concentrations can accumulate within and across products, business lines, geographic areas, countries, and legal entities. Refer to the "Bank Supervision Process" booklet of the Comptroller's Handbook for an expanded discussion of banking risks and their definitions. While retail lending generally involves all risks

Clear and Consistent Policies and Operating Procedures Lending policies and operating procedures help employees make consistent decisions, providing a sound foundation for sustainably profitable operations. The board typically sets broad policy goals, and senior management develops specific policies and operating procedures that promote effective day-to-day execution. Policies can vary among banks but should be commensurate with the bank's size, risk profile, portfolio objectives, core competencies, products offered, and target markets. Once policies and operating procedures have been developed, the board and senior management should hold bank personnel accountable for compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval authorities, necessary steps for approvals, and approval documentation requirements. 16 Process maps, which link directly to operating procedures, provide a third level of detail and documentation on how and when specific actions occur. The discipline of committing policies, procedures, and process maps to writing promotes a de

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compliance is a useful risk management tool, and examiners should view adherence to the exceptions process as an important internal control. Some exceptions will occur because it is nearly impossible to construct underwriting or operating policies covering every lending situation. Still, exception types and volumes should be controlled, with appropriate reporting to identify and track exceptions and appropriate analysis to determine causes, impact, and any need for corrective action. Policy exceptions for retail lending typically fall into three categories:

- Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc.
- Credit scoring: High- and low-side overrides.
- 24 - Documentation: Loan application, transaction information, and collateral perfection or valuation.

Exception limits for each, and in aggregate, are typically established by either dollar amounts or transaction volumes per month.²⁵ Trends can vary between dollar and transaction volumes, and banks with larger or more complex portfolios should typically track and evaluate both. Exception monitoring reports should include sufficient detail for meaningful analysis of exceptions overall and by type. The objective is to determine whether exceptions are

24 A credit score override occurs when a lender approves a loan that does not meet the lender's minimum credit score (i.e., a low-side override), or declines a loan that was above the lender's minimum credit score (i.e., a h

ment loans include mortgage loans and auto loans.

- Open-end revolving lines of credit include amounts available to a borrower up to a preset credit limit for a specified amount of time. Balances may be drawn or paid down at any time at the borrower's option. Repayment terms typically require interest each month, and often some portion of principal as well. Some revolving lines of credit require full repayment of principal at maturity, while others convert automatically into a closed-end loan once the revolving period ends. Examples of open-end revolving lines of credit include credit cards and home equity lines of credit (HELOC).

Banks offer retail lending products directly through a range of sources, including branch offices and online banking platforms. Banks also use indirect origination sources,⁴ such as

2 For more information about asset-based retail lending, refer to OCC Bulletin 2019-36, "Mortgage Lending: Lending Standards for Asset Dissipation Underwriting."

3 For more information about finance charges, refer to the "Truth in Lending Act" booklet of the Comptroller's Handbook.

4 Indirect lending generally refers to the use of a third party to originate loans using a bank's underwriting criteria. The third party receives a fee for providing an acceptable borrower. Indirect lending typically takes one of two forms: (1) dealers or brokers may originate loans to borrowers, and banks then purchase the loans, or (2) dealers or brokers forward loa

is the risk of higher monthly payments on variable-rate loans due to rising interest rates, a factor that may also increase credit risk for affected loans. Bank management generally identifies borrowers with heightened exposure to interest rate changes and considers the impact on these borrowers' ability to repay if interest rates were to increase. The "Interest Rate Risk" booklet of the Comptroller's Handbook provides additional information regarding interest rate risk.

Operational Risk Operational risk is the risk to current or projected financial condition and resilience arising from inadequate or failed internal processes or systems, human errors or misconduct, or adverse external events. Operational risk in retail lending is often elevated with higher volumes of loans, larger numbers of transactions processed, and more extensive use of automation and technology. Highly automated environments such as retail lending pose heightened operational risk exposure as issues in this area tend to affect numerous transactions and may compound the

exposure of even minor errors. To control exposure and manage risks, outsourcing operational functions (e.g., loan origination, account management, collections, repossession/foreclosure, payment processing, data input, and legal assistance) to third parties should include due diligence before establishing third-party relationships.⁷ ⁷ For more information, refer to OCC Bulletin 2013-29, "Third-Party Relationships:

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ross product types. A bank's retail lending practices should be commensurate with the bank's size, complexity, and risk profile. Additional product-specific considerations may apply. For example, certain lending and risk management practices relevant to particular products are described in other booklets of the Comptroller's Handbook, including "Residential Real Estate Lending," "Mortgage Banking," "Credit Card Lending," "Student Lending," "Deposit-Related Credit," and "Installment Lending." Specific consumer protection laws and regulations applicable to retail lending are discussed in the Consumer Compliance booklets of the Comptroller's Handbook. In addition, the OCC has established minimum standards for designing and implementing a risk governance framework for certain large insured national banks, insured federal savings associations, and insured federal branches of foreign banks. Such banks- including those with average total consolidated assets of \$50 billion or greater or those that are OCC- designated, which are referred to as covered banks-should adhere to 12 CFR 30, appendix D, "OCC Guidelines Establishing Heightened Standards for Certain Large Insured National Banks, Insured Federal Savings Associations, and Insured Federal Branches" (referred to in this booklet as heightened standards). This booklet discusses these heightened standards in the context of retail lending, as well as broader concepts applicable to a wider range of banks. 1 General

ard and senior management reporting. Policy compliance is a useful risk management tool, and examiners should view adherence to the exceptions process as an important internal control. Some exceptions will occur because it is nearly impossible to construct underwriting or operating policies covering every lending situation. Still, exception types and volumes should be controlled, with appropriate reporting to identify and track exceptions and appropriate analysis to determine causes, impact, and any need for corrective action. Policy exceptions for retail lending typically fall into three categories: - Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc. - Credit scoring: High- and low-side overrides. 24 - Documentation: Loan application, transaction information, and collateral perfection or valuation. Exception limits for each, and in aggregate, are typically established by either dollar amounts or transaction volumes per month.²⁵ Trends can vary between dollar and transaction volumes, and banks with larger or more complex portfolios should typically track and evaluate both. Exception monitoring reports should include sufficient detail for meaningful analysis of exceptions overall and by type. The objective is to determine whether exceptions are

24 A credit score override occurs when a lender approves a loan that does not meet the lender's minimum credit score (i.e., a low-side override), or declines a loan that was above

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are to understand how each bank identifies and manages the risk inherent in the bank's portfolio, and whether risk management practices are effective in the context of the risks assumed. The board has a critical role in overseeing the bank's retail credit risk management functions. As part of this oversight, directors generally consider questioning the propriety of strategic initiatives, staffing and management decisions, and the balance between risk taking and profitability. Most importantly, oversight typically includes overseeing the establishment of a risk management framework that effectively assesses risks, monitors exposures, and adopts the necessary policies and procedures for operating the retail business in a sound and prudent manner. Informed directors also understand that the framework should be consistent with the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include - structured oversight by the board and senior management. - clear and consistent policies and operating procedures. - a well-established risk appetite. - structured risk assessments. - well-defined processes for policy exception

se credit risk for affected loans. Bank management generally identifies borrowers with heightened exposure to interest rate changes and considers the impact on these borrowers' ability to repay if interest rates were to increase. The "Interest Rate Risk" booklet of the Comptroller's Handbook provides additional information regarding interest rate risk.

Operational Risk Operational risk is the risk to current or projected financial condition and resilience arising from inadequate or failed internal processes or systems, human errors or misconduct, or adverse external events. Operational risk in retail lending is often elevated with higher volumes of loans, larger numbers of transactions processed, and more extensive use of automation and technology. Highly automated environments such as retail lending pose heightened operational risk exposure as issues in this area tend to affect numerous transactions and may compound the exposure of even minor errors. To control exposure and manage risks, outsourcing operational functions (e.g., loan origination, account management, collections, repossession/foreclosure, payment processing, data input, and legal assistance) to third parties should include due diligence before establishing third-party relationships.⁷

⁷ For more information, refer to OCC Bulletin 2013-29, "Third-Party Relationships: Risk Management Guidance," and OCC Bulletin 2020-10, "Third-Party Relationships: Frequently Asked Questions to Supplement

SECTION 12: RISK & FRAUD PREVENTION

12.1 Fraud Signals

Any Fraud Score > 80 is an automatic decline.

Identity Verification failure is an automatic decline.

12.2 Prohibited Industries

Loans shall not be approved for businesses in the following sectors:

- Adult Entertainment
- Cannabis / Marijuana related businesses
- Gambling / Casinos

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re willing to assume to achieve the bank's strategic objectives and business plan, consistent with applicable capital, liquidity, and other regulatory requirements. 19 Well- developed risk appetite statements establish a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Specific assertions generally include acceptable risks the board intends bank management to take, and unacceptable risks that should be avoided or heavily mitigated. Used properly, an established risk appetite is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances. There are many ways to approach establishing a risk appetite, and the structure and formality should be consistent with the bank's size, complexity, and risk profile. 20 The board of a bank with small, noncomplex, or low-risk retail portfolios might establish a risk appetite at the bank level, and then management would reconcile retail credit business plans to determine consistency with the overall risk appetite. Banks with large, complex, or high-risk retail credit portfolios typically establish written risk appetite statements at the retail lending level and manage product- and service-level activities from that base (e.g., risk appetite limits cascade to individual portfolios with tiered oversight, monitoring, and reporting). The terminology may differ from bank to bank, b

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ving, and monitoring policy exceptions are generally in writing, with regular reporting to capture exceptions at the transaction, product segment, product, and portfolio levels. Most banks perform enhanced analysis when exception volumes reach established thresholds, and results of the analysis should be an important factor in policy updates or revisions. Policy exception volumes and analysis should be a normal part of board and senior management reporting. Policy compliance is a useful risk management tool, and examiners should view adherence to the exceptions process as an important internal control. Some exceptions will occur because it is nearly impossible to construct underwriting or operating policies covering every lending situation. Still, exception types and volumes should be controlled, with appropriate reporting to identify and track exceptions and appropriate analysis to determine causes, impact, and any need for corrective action. Policy exceptions for retail lending typically fall into three categories: - Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc. - Credit scoring: High- and low-side overrides. 24 - Documentation: Loan application, transaction information, and collateral perfection or valuation. Exception limits for each, and in aggregate, are typically established by either dollar amounts or transaction volumes per month.²⁵ Trends can vary between dollar and transaction volumes, and banks with larg

ld identify, measure, monitor, and control risk by implementing an effective risk management system appropriate for the bank's size, complexity, and risk profile. When examiners assess the effectiveness of a bank's risk management system, they consider the bank's policies, processes, personnel, and control systems. Refer to the "Corporate and Risk Governance" booklet of the Comptroller's Handbook for an expanded discussion of risk management. Examiners should assess risk management practices in the context of inherent product and portfolio risks. While risk management objectives are similar for most banks, specific practices may differ depending on the products offered, the volume and types of transactions, and the markets targeted. Banks with a low quantity of risk, such as small non-complex community banks, may operate with less sophisticated risk management frameworks. 11 Large 11 This booklet applies to all banks with retail lending activities. The OCC expects community banks to have risk management practices commensurate with the level of risk and complexity of the banks' retail lending activities. The OCC recognizes that the risk management systems of community banks may not be as sophisticated as those of complex banks. In most cases, the fundamental aspects discussed apply. Community banks' boards and management should identify retail lending activities that involve critical activities and determine whether risk management practices are sufficient

w business strategies, including the rollout of new products or initiatives. This is especially important when changes could significantly affect the bank's size, operating approach, or risk profile. Examiners should consider whether effective change management processes exist, including realistic assessments of costs and resource requirements (including information technology requirements); adequate testing periods; timely and accurate performance monitoring; and effective policies, operating procedures, and internal controls. 29

Even after business plans are developed, the board, or a designated board committee, should evaluate whether senior management is fully capable of managing credit activities within the approved risk strategy, policies, and tolerances. Compensation policies should not contradict the credit risk strategy. Red flags generally include focusing on loan production at the expense of loan quality, generating nominal profits while

deviating from credit policies, or exceeding established limits.³⁰ In addition, for residential real estate-secured lending, loan officer compensation policies must comply with the requirements of Regulation Z, which implements the Truth in Lending Act.³¹ All such practices affect the bank's credit processes. The board should monitor these practices closely and act on any deviations. ²⁹ Ibid ³⁰ The OCC expects banks to regularly review their incentive compensation arrangements for all executive and nonexecu

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ndbook 7 Retail Lending banks, or those with higher-risk or complex products, should have more sophisticated frameworks. Primary examination objectives are to understand how each bank identifies and manages the risk inherent in the bank's portfolio, and whether risk management practices are effective in the context of the risks assumed. The board has a critical role in overseeing the bank's retail credit risk management functions. As part of this oversight, directors generally consider questioning the propriety of strategic initiatives, staffing and management decisions, and the balance between risk taking and profitability. Most importantly, oversight typically includes overseeing the establishment of a risk management framework that effectively assesses risks, monitors exposures, and adopts the necessary policies and procedures for operating the retail business in a sound and prudent manner. Informed directors also understand that the framework should be consistent with the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include - structured oversight by the board and senior management. - clear and consist

he board. Internal audit and other independent control functions should evaluate the adequacy of established policies and procedures and identify practices that are inconsistent with the risk governance framework. - Established risk appetite:¹⁴ Establishing a risk appetite means developing a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Risk appetite statements generally include acceptable risks bank management intends to take because the risk is sufficiently compensated and unacceptable risks that should be avoided or heavily mitigated. Used properly, the risk appetite statement is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances that should not be exceeded without proper escalation and approval. ¹³ For most banks, an IRM function or process is an important control. Some community banks with standard products and low-risk concentration levels may operate prudently without an IRM function. These banks, however, should generally maintain appropriate internal controls and internal audit coverage of retail lending activities. ¹⁴ Risk appetite refers to the aggregate level and types of risk the board and senior management are willing to assume to achieve the bank's strategic objectives and business plan, consistent with applicable capital, liquidity, and other regulatory requirements. Smaller

n independent credit and risk management review process should assess credit risk independent of the business unit, ¹³ monitor compliance with concentration and risk limits, and raise issues directly to senior management, oversight committees, and the board. Internal audit and other independent control functions should evaluate the adequacy of established policies and procedures and identify practices that are inconsistent with the risk governance framework. - Established risk appetite:¹⁴ Establishing a risk appetite means developing a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Risk appetite statements generally include acceptable risks bank management intends to take because the risk is sufficiently compensated and unacceptable risks that should be avoided or heavily mitigated. Used properly, the risk appetite statement is

an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances that should not be exceeded without proper escalation and approval. 13 For most banks, an IRM function or process is an important control. Some community banks with standard products and low-risk concentration levels may operate prudently without an IRM function. These banks, however, should generally maintain appropriate internal controls and internal audit coverage of retail lending activities. 14

Risk appetite refe

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uch products as HELOCs. In this context, interest rate risk is the risk of higher monthly payments on variable-rate loans due to rising interest rates, a factor that may also increase credit risk for affected loans. Bank management generally identifies borrowers with heightened exposure to interest rate changes and considers the impact on these borrowers' ability to repay if interest rates were to increase. The "Interest Rate Risk" booklet of the Comptroller's Handbook provides additional information regarding interest rate risk.

Operational Risk Operational risk is the risk to current or projected financial condition and resilience arising from inadequate or failed internal processes or systems, human errors or misconduct, or adverse external events. Operational risk in retail lending is often elevated with higher volumes of loans, larger numbers of transactions processed, and more extensive use of automation and technology. Highly automated environments such as retail lending pose heightened operational risk exposure as issues in this area tend to affect numerous transactions and may compound the exposure of even minor errors. To control exposure and manage risks, outsourcing operational functions (e.g., loan origination, account management, collections, repossession/foreclosure, payment processing, data input, and legal assistance) to third parties should include due diligence before establishing third-party relationships.⁷ 7 For more information

managers should determine that reporting allows senior management and the board to monitor information necessary to control risks within the bank. For banks with large or complex retail portfolios, key risk reporting (such as compliance with risk appetite measures) is often developed and reported by an IRM function.

Heightened Standards The risk governance framework should include a set of policies, supported by appropriate procedures and processes, designed to provide risk data aggregation and reporting capabilities appropriate for the size, complexity, and risk profile of the covered bank, and to support supervisory reporting requirements. Collectively, these policies, procedures, and processes should provide for the following:

- Design, implementation, and maintenance of a data architecture and information technology infrastructure that supports the covered bank's risk aggregation and reporting needs during both normal times and times of stress.
- Capturing and aggregating of risk data and reporting of material risks, concentrations, and emerging risks in a timely manner to the board of directors and the OCC.
- Distribution of risk reports to all relevant parties at a frequency that meets the needs for decision-making purposes.²⁷

Well-Designed Strategies and Business Plans Strategic plans define the bank's desired role in the retail markets. A retail strategy typically states the bank's intent by product type, product risk appetite, economic se

ing sources or manage fluctuations in funding levels. Liquidity risk in retail credit depends largely on the types of products offered and the way they are funded. Retail portfolios are typically funded through the bank's deposit base, wholesale funding, securitizing loans, or a combination of the three. Liquidity risk may arise from a bank's failure to recognize or address changes in market conditions that affect its ability to liquidate assets quickly and with minimal loss in value. Liquidity risk is also present in a bank's obligation to fund unfunded commitments of open-ended credit, such as credit cards or HELOCs.

Compliance Risk Compliance risk is the risk to current or projected financial condition and resilience arising from violations of laws or regulations, or from nonconformance with prescribed practices, internal bank policies and procedures, or ethical standards. Banks engaged in retail lending activities are exposed to significant

compliance risk due to the number of consumer protection laws and regulations. Some consumer protection-related laws relevant to retail lending include 8 - 10 USC 987, "Military Lending Act." - 12 USC 2601, et seq., "Real Estate Settlement Procedures Act." - 12 USC 2801 et. seq., "Home Mortgage Disclosure Act" - 12 USC 4901 et seq., "Homeowners Protection Act." - 15 USC 1601 et seq., "Truth in Lending." - 15 USC 1681 et seq., "Fair Credit Reporting Act."15 USC 1691 et seq., "Equal Credit Opportunity Act." -

rise from a bank's failure to recognize or address changes in market conditions that affect its ability to liquidate assets quickly and with minimal loss in value. Liquidity risk is also present in a bank's obligation to fund unfunded commitments of open-ended credit, such as credit cards or HELOCs. Compliance Risk Compliance risk is the risk to current or projected financial condition and resilience arising from violations of laws or regulations, or from nonconformance with prescribed practices, internal bank policies and procedures, or ethical standards. Banks engaged in retail lending activities are exposed to significant compliance risk due to the number of consumer protection laws and regulations. Some consumer protection-related laws relevant to retail lending include 8 - 10 USC 987, "Military Lending Act." - 12 USC 2601, et seq., "Real Estate Settlement Procedures Act." - 12 USC 2801 et. seq., "Home Mortgage Disclosure Act" - 12 USC 4901 et seq., "Homeowners Protection Act." - 15 USC 1601 et seq., "Truth in Lending." - 15 USC 1681 et seq., "Fair Credit Reporting Act."15 USC 1691 et seq., "Equal Credit Opportunity Act." - 15 USC 1692 et seq., "Fair Debt Collection Practices Act." - 42 USC 3601 et seq., "Fair Housing Act." - 42 USC 4002, "Flood Disaster Protection Act." - 50 USC 3901 et seq., "Servicemembers Civil Relief Act." - laws prohibiting unfair, deceptive, or abusive acts or practices.⁹ Banks also have obligations arising from the

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ively oversee the covered bank's risk-taking activities and hold management accountable for adhering to the risk governance framework. In providing active oversight, the directors may rely on risk assessments and reports prepared by IRM and internal audit to support the bank's ability to question, challenge, and when necessary, oppose recommendations and decisions made by management that could cause the covered bank's risk profile to exceed its risk appetite or jeopardize the safety and soundness of the covered bank.¹⁵

Clear and Consistent Policies and Operating Procedures Lending policies and operating procedures help employees make consistent decisions, providing a sound foundation for sustainably profitable operations. The board typically sets broad policy goals, and senior management develops specific policies and operating procedures that promote effective day-to-day execution. Policies can vary among banks but should be commensurate with the bank's size, risk profile, portfolio objectives, core competencies, products offered, and target markets. Once policies and operating procedures have been developed, the board and senior management should hold bank personnel accountable for compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regul

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mplete, and should provide information needed for sound management and credible challenges. A set of well-designed standard reports should monitor activity continually, even if the data seem stable. Consistent reporting allows managers to gain a comfort level with the information, ask insightful questions, and request additional facts or analysis when issues warrant. Effective reporting generally includes four common characteristics that improve utility:

- Performance trends: Providing data in a consistent form over time helps provide perspective and a deeper understanding of portfolio composition and migration. Most banks report performance trends for at least the past 13 months, but many retail managers find trends over a rolling eight-quarter time frame most useful for considering patterns and seasonality.
- Actual results compared with projections: Context is important. Effective reports compare actual results with management expectations and quantitative benchmarks, with variances identified and explained.
- Precise and

informative narrative: Useful data charts generally include narrative, especially in reports for senior management and the board. Rather than require readers to make assumptions, reports walk the user through the issue or topic in a logical, intuitive manner. The more distanced the user is from day-to-day management of an issue, the more simple, clear, and direct the narrative should be. - Segmented performance: Segmentation refers

ersion 2.0 Comptroller's Handbook 1 Retail Lending Introduction The Office of the Comptroller of the Currency's (OCC) Comptroller's Handbook booklet, "Retail Lending" is prepared for use by OCC examiners in connection with their examination and supervision of national banks, federal savings associations, and federal branches and agencies of foreign banking organizations (collectively, banks). Each bank is different and may present specific risks and issues. Accordingly, examiners should apply the information in this booklet consistent with each bank's individual circumstances. When it is necessary to distinguish among them, national banks and federal savings associations are referred to separately. 1 This booklet discusses risks associated with retail lending and provides a framework for evaluating risk management activities. In accordance with the OCC's risk-based supervision approach, examiners begin their evaluation of retail lending activities with the core assessment in the "Community Bank Supervision," "Federal Branches and Agencies Supervision," or "Large Bank Supervision" booklets of the Comptroller's Handbook. The "Retail Lending" booklet includes expanded examination procedures that examiners should use when specific retail credit products, services, or risks warrant review beyond the core assessment. This booklet's objective is to consider risk management practices fundamental to retail lending and common across product types. A bank's ret

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for a predetermined amount, with periodic payments of principal and interest over a specified term. Most often, the payments completely pay off the loan amount by the end of the term. In some cases, amortization schedules extend past the maturity date, leaving a lump sum (or balloon) payment due upon maturity. The finance charge may include a fixed or variable rate, and the borrower does not have the option of obtaining additional funds under the original loan agreement. 3 Examples of closed-end installment loans include mortgage loans and auto loans. - Open-end revolving lines of credit include amounts available to a borrower up to a preset credit limit for a specified amount of time. Balances may be drawn or paid down at any time at the borrower's option. Repayment terms typically require interest each month, and often some portion of principal as well. Some revolving lines of credit require full repayment of principal at maturity, while others convert automatically into a closed-end loan once the revolving period ends. Examples of open-end revolving lines of credit include credit cards and home equity lines of credit (HELOC). Banks offer retail lending products directly through a range of sources, including branch offices and online banking platforms. Banks also use indirect origination sources,⁴ such as 2 For more information about asset-based retail lending, refer to OCC Bulletin 2019-36, "Mortgage Lending: Lending Standards for Asset Dissipation Un

franchise value, measured by customer satisfaction surveys, customer complaint levels, or other measures of reputation risk. Risk tolerances within the risk appetite statement are generally set for only a few key factors that relate directly to business or mission failure. Establishing measurable risk tolerances provides management and the board with important context information for monitoring risk levels and consistency with established standards. - Retail risk preferences that reflect where the business has (or perceives itself to have) competitive advantages and may pursue additional risk. Risk preferences for a retail lender often include specific products, target markets, or delivery channels. The board and management should consider applicable fair lending risk when selecting or identifying a particular retail risk preference. For more information, refer to the "Fair Lending" booklet of the Comptroller's Handbook. - Retail risk limits that are capacity controls to manage risk levels. Risk limits are set for specific risk sources, business units, or products, and help implement the higher-level risk tolerances. Some banks use their stress testing results to establish aggregate and product risk capacity, translating results into operational capacity limits. Risk limits complement the risk tolerances and are generally more granular, practical controls at the portfolio and sub-portfolio levels, using metrics that can be managed at the business line level

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ptcy laws that limit or expand certain forms of bankruptcy use by consumers. Low Greater shift to co-borrower reliance, lower total debt advances, underwriting more closely tied to shorter-term capacity. Potential for significant initial disruption unless existing loans are grandfathered. Controllable if implemented prospectively, but volumes and average loan amounts are likely to decline. Rapid increase in short- term interest rates that influence consumer- credit pricing indexes. Moderate, high 10 percent increase in credit card revenues, 2 percent increase in cost of funds, 5 percent increase in 30+ delinquencies. As long as interest rate increases are moderate (for example, no more than 100 basis points) the increase in revenues should offset the higher delinquency rates. Creates a need to monitor both measures closely. Relocation or substantial reduction of a local military base, the largest employer in the community, in the next three years. Moderate, high 20 percent increase in local unemployment, 25 percent decline in auto and installment loan volumes, 10 percent decline in checking and savings account volumes. Significant impact on borrowers employed by the base. Decline in new loan business and checking and savings accounts. Affects small businesses that serve customers living and working on the base. Creates a need to monitor closely and join local government efforts to lobby against closure. Changes in consume

2.0 Comptroller's Handbook 7 Retail Lending banks, or those with higher-risk or complex products, should have more sophisticated frameworks. Primary examination objectives are to understand how each bank identifies and manages the risk inherent in the bank's portfolio, and whether risk management practices are effective in the context of the risks assumed. The board has a critical role in overseeing the bank's retail credit risk management functions. As part of this oversight, directors generally consider questioning the propriety of strategic initiatives, staffing and management decisions, and the balance between risk taking and profitability. Most importantly, oversight typically includes overseeing the establishment of a risk management framework that effectively assesses risks, monitors exposures, and adopts the necessary policies and procedures for operating the retail business in a sound and prudent manner. Informed directors also understand that the framework should be consistent with the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under

day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include - structured oversight by the board and senior management.

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ds. Banks engaged in retail lending activities are exposed to significant compliance risk due to the number of consumer protection laws and regulations. Some consumer protection-related laws relevant to retail lending include 8 - 10 USC 987, "Military Lending Act." - 12 USC 2601, et seq., "Real Estate Settlement Procedures Act." - 12 USC 2801 et. seq., "Home Mortgage Disclosure Act" - 12 USC 4901 et seq., "Homeowners Protection Act." - 15 USC 1601 et seq., "Truth in Lending." - 15 USC 1681 et seq., "Fair Credit Reporting Act." 15 USC 1691 et seq., "Equal Credit Opportunity Act." - 15 USC 1692 et seq., "Fair Debt Collection Practices Act." - 42 USC 3601 et seq., "Fair Housing Act." - 42 USC 4002, "Flood Disaster Protection Act." - 50 USC 3901 et seq., "Servicemembers Civil Relief Act." - laws prohibiting unfair, deceptive, or abusive acts or practices.⁹ Banks also have obligations arising from the Bank Secrecy Act (BSA), anti-money laundering (AML) laws, and the sanctions laws and regulations administered by the U.S. Department of the Treasury's Office of Foreign Assets Control (OFAC).¹⁰ 8 For more information about consumer protection laws and regulations, refer to the Consumer Compliance booklets of the Comptroller's Handbook and interagency consumer compliance examination procedures. 9 For more information, refer to the "Unfair or Deceptive Acts or Practices and Unfair, Deceptive, or Abusive Acts or Practices" booklet of the Comptroller's Handbo

pervision" booklets of the Comptroller's Handbook. The "Retail Lending" booklet includes expanded examination procedures that examiners should use when specific retail credit products, services, or risks warrant review beyond the core assessment. This booklet's objective is to consider risk management practices fundamental to retail lending and common across product types. A bank's retail lending practices should be commensurate with the bank's size, complexity, and risk profile. Additional product-specific considerations may apply. For example, certain lending and risk management practices relevant to particular products are described in other booklets of the Comptroller's Handbook, including "Residential Real Estate Lending," "Mortgage Banking," "Credit Card Lending," "Student Lending," "Deposit-Related Credit," and "Installment Lending." Specific consumer protection laws and regulations applicable to retail lending are discussed in the Consumer Compliance booklets of the Comptroller's Handbook. In addition, the OCC has established minimum standards for designing and implementing a risk governance framework for certain large insured national banks, insured federal savings associations, and insured federal branches of foreign banks. Such banks- including those with average total consolidated assets of \$50 billion or greater or those that are OCC- designated, which are referred to as covered banks-should adhere to 12 CFR 30, appendix D, "OCC Guidelines E

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Safety and Soundness Ofce of the Comptroller of the Currency Washington, DC 20219 Comptroller's Handbook Management (M) Earnings (E) Liquidity (L) Sensitivity to Market Risk (S) Other Activities (O) Asset Quality (A) Capital Adequacy (C) Retail Lending Version 2.0, October 2021 References to reputation risk have been removed from this booklet as of March 20, 2025. Removal of reputation risk references is identified by a strikethrough. Refer to OCC Bulletin 2025-4.

by OCC examiners in connection with their examination and supervision of national banks, federal savings associations, and federal branches and agencies of foreign banking organizations (collectively, banks). Each bank is different and may present specific risks and issues. Accordingly, examiners should apply the information in this booklet consistent with each bank's individual circumstances. When it is necessary to distinguish among them, national banks and federal savings associations are referred to separately. 1 This booklet discusses risks associated with retail lending and provides a framework for evaluating risk management activities. In accordance with the OCC's risk-based supervision approach, examiners begin their evaluation of retail lending activities with the core assessment in the "Community Bank Supervision," "Federal Branches and Agencies Supervision," or "Large Bank Supervision" booklets of the Comptroller's Handbook. The "Retail Lending" booklet includes expanded examination procedures that examiners should use when specific retail credit products, services, or risks warrant review beyond the core assessment. This booklet's objective is to consider risk management practices fundamental to retail lending and common across product types. A bank's retail lending practices should be commensurate with the bank's size, complexity, and risk profile. Additional product-specific considerations may apply. For example, certain lending and risk ma

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ve utility:

- Performance trends: Providing data in a consistent form over time helps provide perspective and a deeper understanding of portfolio composition and migration. Most banks report performance trends for at least the past 13 months, but many retail managers find trends over a rolling eight-quarter time frame most useful for considering patterns and seasonality.
- Actual results compared with projections: Context is important. Effective reports compare actual results with management expectations and quantitative benchmarks, with variances identified and explained.
- Precise and informative narrative: Useful data charts generally include narrative, especially in reports for senior management and the board. Rather than require readers to make assumptions, reports walk the user through the issue or topic in a logical, intuitive manner. The more distanced the user is from day-to-day management of an issue, the more simple, clear, and direct the narrative should be.
- Segmented performance: Segmentation refers to breaking down aggregated data into smaller subpopulations for analysis and monitoring. Aggregated data should be segmented whenever performance could reasonably be expected to differ, allowing patterns that might otherwise be diluted by aggregated data to become more readily apparent. For example, new loans could be tracked by acquisition source, vintage, geography, or other common characteristics, so users can identify segments with weak pe

and monitoring policy exceptions are generally in writing, with regular reporting to capture exceptions at the transaction, product segment, product, and portfolio levels. Most banks perform enhanced analysis when exception volumes reach established thresholds, and results of the analysis should be an important factor in policy updates or revisions. Policy exception volumes and analysis should be a normal part of board and senior management reporting. Policy compliance is a useful risk management tool, and examiners should view adherence to the exceptions process as an important internal control. Some exceptions will occur because it is nearly impossible to construct underwriting or operating policies covering every lending situation. Still, exception types and volumes should be controlled, with appropriate reporting to identify and track exceptions and appropriate analysis to determine causes, impact, and any need for corrective action.

Policy exceptions for retail lending typically fall into three categories:

- Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc.
- Credit scoring: High- and low-side overrides.²⁴
- Documentation: Loan application, transaction information, and collateral perfection or valuation. Exception limits for each, and in aggregate, are typically established by either dollar amounts or transaction volumes per month.²⁵

Trends can vary between dollar and transaction volumes, and banks with larger or

klets of the Comptroller's Handbook, including "Residential Real Estate Lending," "Mortgage Banking," "Credit Card Lending," "Student Lending," "Deposit-Related Credit," and "Installment Lending." Specific consumer protection laws and regulations applicable to retail lending are discussed in the Consumer Compliance booklets of the Comptroller's Handbook. In addition, the OCC has established minimum standards for designing and implementing a risk governance framework for certain large insured national banks, insured federal savings associations, and insured federal branches of foreign banks. Such banks—including those with average total consolidated assets of \$50 billion or greater or those that are OCC-designated, which are referred to as covered banks—should adhere to 12 CFR 30, appendix D, "OCC Guidelines Establishing Heightened Standards for Certain Large Insured National Banks, Insured Federal Savings Associations, and Insured Federal Branches" (referred to in this booklet as heightened standards).

This booklet discusses these heightened standards in the context of retail lending, as well as broader concepts applicable to a wider range of banks. 1 Generally, references to "national banks" throughout this booklet also apply to federal branches and agencies of foreign banking organizations unless otherwise specified. Refer to the "Federal Branches and Agencies Supervision" booklet of the Comptroller's Handbook for more information regarding applicability

ional capacity limits. Risk limits complement the risk tolerances and are generally more granular, practical controls at the portfolio and sub-portfolio levels, using metrics that can be managed at the business line level. Practical risk appetite statements generally result from analysis and consideration of each of these risk characteristics. Each helps management understand and articulate parameters for managing the business and assuming risk. Examiners may see different terms and labels for these characteristics but should typically expect to see the essentials of each as part of the risk assessment exercise that establishes the bank's risk appetite statement. Heightened Standards A covered bank should have a comprehensive written statement that articulates the covered bank's risk appetite and serves as the basis for the risk governance framework. The risk appetite statement should include both qualitative components and quantitative limits. The qualitative components should describe a safe and sound risk culture and how the covered bank assesses and accepts risks, including those that are difficult to quantify. Quantitative limits should incorporate sound stress testing processes, as appropriate, and address the covered bank's earnings, capital, and liquidity. The covered bank should set limits at levels that take into account appropriate capital and liquidity buffers and prompt management and the board of directors to reduce risk before the covered

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the delegation and oversight of activities performed by third parties, and wrongful acts by third parties acting on the bank's behalf may also increase a bank's reputation risk exposure. Effective systems and controls to identify, measure, monitor, and control potential issues, such as appropriate oversight of sales, servicing, marketing, loss mitigation practices, and third parties, are critical to managing reputation risk. Risk Management Each bank should identify, measure, monitor, and control risk by implementing an effective risk management system appropriate for the bank's size, complexity, and risk profile. When examiners assess the effectiveness of a bank's risk management system, they consider the bank's policies, processes, personnel, and control systems. Refer to the "Corporate and Risk Governance" booklet of the Comptroller's Handbook for an expanded discussion of risk management. Examiners should assess risk management practices in the context of inherent product and portfolio risks. While risk management objectives are similar for most banks, specific practices may differ depending on the products offered, the volume and types of transactions, and the markets targeted. Banks with a low quantity of risk, such as small non-complex community banks, may operate with less sophisticated risk management frameworks. 11 Large 11 This booklet applies to all banks with retail lending activities. The OCC expects community banks to have risk management

emerging risks in a timely manner to the board of directors and the OCC. - Distribution of risk reports to all relevant parties at a frequency that meets the needs for decision-making purposes.27 Well-Designed Strategies and Business Plans Strategic plans define the bank's desired role in the retail markets. A retail strategy typically states the bank's intent by product type, product risk appetite, economic sector, geographic location, and anticipated profitability. Decisions to offer a new product, significantly change terms on an existing product, or expand into a new market area are strategic decisions that should be supported by sound and documented analysis and due diligence. 28 This analysis extends to the risk assessment exercise and typically addresses - competitive environment. - capabilities and expertise. - operational capacity. - staffing and training needs. - control systems in place and those needed. - compliance requirements (e.g., consumer protection and fair lending). - reporting and operational systems. - financial projections. Once senior management and the board adopt strategic objectives, business line managers prepare complementary business plans for each major product. Business plan development should involve knowledgeable staff from key functional areas, including risk management, credit policy, marketing, systems, operations, training, finance or accounting, legal, compliance, internal audit, quality assurance, and, if

needed, with appropriate reporting to identify and track exceptions and appropriate analysis to determine causes, impact, and any need for corrective action. Policy exceptions for retail lending typically fall into three categories: - Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc. - Credit scoring: High- and low-side overrides. 24 - Documentation: Loan application, transaction information, and collateral perfection or valuation. Exception limits for each, and in aggregate, are typically established by either dollar amounts or transaction volumes per month.25 Trends can vary between dollar and transaction volumes, and banks with larger or more complex portfolios should typically track and evaluate both. Exception monitoring reports should include sufficient detail for meaningful analysis of exceptions overall and by type. The objective is to determine whether exceptions are 24 A credit score override occurs when a lender

approves a loan that does not meet the lender's minimum credit score (i.e., a low-side override), or declines a loan that was above the lender's minimum credit score (i.e., a high-side override). High-side overrides typically occur because a borrower fails some other aspect of the underwriting criteria, such as insufficient income or a recent bankruptcy. Noncomplex community banks generally track only low-side overrides. 25 Some smaller community banks may track exceptions less frequently than monthly bec

he likelihood column considers the probability of occurrence, and can be qualitative (high, moderate, or low) or quantitative (5 percent chance of occurring). The impact column focuses primarily on the event's direct effect on the business, and the significance column focuses on how results are likely to affect business strategies or major objectives. Other factors can be part of the risk assessment exercise, such as a residual risk rating that considers risk levels after controls or other mitigating factors are taken into account. Examiners should consider whether each bank's exercise is a practical, thoughtful, and systematic approach to identifying and considering risk. Factors to consider include whether a reasonably wide range of primary threats is considered, all important risk events have been identified, risks are monitored on a continual basis, potential exposures have been quantified after consideration of likelihood and impact, and responses are reasonable and appropriate. The results of the risk assessment process help management design appropriate business responses to available opportunities. Responses generally fall within one of four categories:

- Avoidance: When risks cannot be adequately identified, measured, monitored, or controlled. Avoidance might include exiting a business line or geographic segment after appropriate evaluation of the risks or deciding not to engage in a new product or service.
- Mitigation: When risk levels can be a

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ment by bank management because core deposits used to fund retail portfolios typically have a variable interest rate. Borrowers may also assume interest rate risk on such products as HELOCs. In this context, interest rate risk is the risk of higher monthly payments on variable-rate loans due to rising interest rates, a factor that may also increase credit risk for affected loans. Bank management generally identifies borrowers with heightened exposure to interest rate changes and considers the impact on these borrowers' ability to repay if interest rates were to increase. The "Interest Rate Risk" booklet of the Comptroller's Handbook provides additional information regarding interest rate risk.

Operational Risk Operational risk is the risk to current or projected financial condition and resilience arising from inadequate or failed internal processes or systems, human errors or misconduct, or adverse external events. Operational risk in retail lending is often elevated with higher volumes of loans, larger numbers of transactions processed, and more extensive use of automation and technology. Highly automated environments such as retail lending pose heightened operational risk exposure as issues in this area tend to affect numerous transactions and may compound the exposure of even minor errors. To control exposure and manage risks, outsourcing operational functions (e.g., loan origination, account management, collections, repossession/foreclosure, payment

der responsibilities, while larger banks typically have product-specific committees with narrower scopes. Committee charters define required membership, frequency of meetings and reports, documentation of minutes, and committee responsibilities and accountabilities. Committee responsibilities often encompass both risk and business management objectives, and membership should include individuals with the knowledge and experience for the tasks.

- Clear lines of authority, responsibility, and accountability: Roles and responsibilities across the retail lending business should be well defined and well communicated. Business managers should identify and assess material risks, operate within the parameters of an established risk appetite, and adhere to established policies and operating procedures. An independent credit and risk management review process should assess credit risk independent of the business unit, 13 monitor compliance with concentration and risk limits, and raise issues directly to senior management, oversight committees, and the board. Internal audit and other independent control functions should evaluate the adequacy of established policies and procedures and identify practices that are inconsistent with the risk governance framework.
- Established risk appetite:¹⁴ Establishing a risk appetite means developing a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business

ank will update, as necessary, the risk governance framework to account for changes in the covered bank's risk profile projected under the strategic plan.

- be reviewed, updated, and approved, as necessary, due to changes in the covered bank's risk profile or operating environment that were not contemplated when the strategic plan was developed.³²

Considering Quantity of Risk The OCC expects risk management for retail credit activities to correspond to the bank's size, complexity, and risk profile. Examiners should assess risk management practices in the context of product and portfolio risk. For examination purposes, the OCC refers to the bank's inherent risk profile as the quantity of risk. There are many ways to assess the bank's risk profile, and examiners should have active discussions with management and the board to determine how and when the bank assumes risk. For retail credit, discussions often focus on four key areas: risk in loan

structures, risk in target markets, risk in credit underwriting due diligence, and risk layering. These discussions are often subjective, involving judgment and experience to support proper risk assessment designations. Some risk always exists when extending credit, and these discussions are more about determining the appropriateness of risk management practices given the bank's existing and intended risk profile than attempting to set an absolute risk level. 33 Risk in Loan Structures Loan structures are gener

dit Classification and Account Management Policy: Policy Implementation," as closed- and open-end credit extended to individuals for household, family, and other personal expenditures. Retail lending products include consumer loans, credit cards, auto loans, student loans, and loans to individuals secured by their personal residences, including first mortgage, home equity, and home improvement loans. Retail lending products may be either secured or unsecured, and the source of repayment is typically the borrower's employment-related income (or less frequently, the borrower's assets 2). Retail loan structures generally fall into one of two types: closed-end installment loans and open-end revolving lines of credit. - Closed-end installment loans include loans made for a predetermined amount, with periodic payments of principal and interest over a specified term. Most often, the payments completely pay off the loan amount by the end of the term. In some cases, amortization schedules extend past the maturity date, leaving a lump sum (or balloon) payment due upon maturity. The finance charge may include a fixed or variable rate, and the borrower does not have the option of obtaining additional funds under the original loan agreement. 3 Examples of closed-end installment loans include mortgage loans and auto loans. - Open-end revolving lines of credit include amounts available to a borrower up to a preset credit limit for a specified amount of time. Balances

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loss in value. Liquidity risk is also present in a bank's obligation to fund unfunded commitments of open-ended credit, such as credit cards or HELOCs. **Compliance Risk** Compliance risk is the risk to current or projected financial condition and resilience arising from violations of laws or regulations, or from nonconformance with prescribed practices, internal bank policies and procedures, or ethical standards. Banks engaged in retail lending activities are exposed to significant compliance risk due to the number of consumer protection laws and regulations. Some consumer protection-related laws relevant to retail lending include 8 - 10 USC 987, "Military Lending Act." - 12 USC 2601, et seq., "Real Estate Settlement Procedures Act." - 12 USC 2801 et. seq., "Home Mortgage Disclosure Act" - 12 USC 4901 et seq., "Homeowners Protection Act." - 15 USC 1601 et seq., "Truth in Lending." - 15 USC 1681 et seq., "Fair Credit Reporting Act." 15 USC 1691 et seq., "Equal Credit Opportunity Act." - 15 USC 1692 et seq., "Fair Debt Collection Practices Act." - 42 USC 3601 et seq., "Fair Housing Act." - 42 USC 4002, "Flood Disaster Protection Act." - 50 USC 3901 et seq., "Servicemembers Civil Relief Act." - laws prohibiting unfair, deceptive, or abusive acts or practices.⁹ Banks also have obligations arising from the Bank Secrecy Act (BSA), anti-money laundering (AML) laws, and the sanctions laws and regulations administered by the U.S. Department of the Treasury's

to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include - structured oversight by the board and senior management. - clear and consistent policies and operating procedures. - a well-established risk appetite. - structured risk assessments. - well-defined processes for policy exceptions. - effective monitoring reports. - well-designed strategies, business plans, and product testing. **Heightened Standards** A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk governance framework should include delegations of authority from the board to management committees and executive officers as well as the risk limits established for material activities. IRM should review and update the framework at least annually and as often as needed to address improvements in industry risk management practices and changes in the covered bank's risk profile caused by emerging risks, its strategic plans, or other internal and external factors.¹² **Structured Oversight by the Board and Senior Management** One of the board's and senior management's most important oversight responsibilities is to establish an effective

committees define required membership, frequency of meetings and reports, documentation of minutes, and committee responsibilities and accountabilities. Committee responsibilities often encompass both risk and business management objectives, and membership should include individuals with the knowledge and experience for the tasks. - Clear lines of authority, responsibility, and accountability: Roles and responsibilities across the retail lending business should be well defined and well communicated. Business managers should identify and assess material risks, operate within the parameters of an established risk appetite, and adhere to established policies and operating procedures. An independent credit and risk management review process should assess credit risk independent of the business unit, 13 monitor

compliance with concentration and risk limits, and raise issues directly to senior management, oversight committees, and the board. Internal audit and other independent control functions should evaluate the adequacy of established policies and procedures and identify practices that are inconsistent with the risk governance framework. - Established risk appetite:¹⁴ Establishing a risk appetite means developing a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Risk appetite statements generally include acceptable risks bank management intends to take because the risk is s

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ble target markets if the bank is willing to use balance-sheet capacity. Changes in the reliability or timeliness of credit information available from credit bureaus or other third-party sources. Low, moderate Significant potential impact on credit scores and reliability of credit bureau information for estimating risk. Potential serious setback for consumer lending in the United States. May prompt a search to find alternative methods or sources of reliable performance information. Changes in the bankruptcy laws that limit or expand certain forms of bankruptcy use by consumers. Low Greater shift to co-borrower reliance, lower total debt advances, underwriting more closely tied to shorter-term capacity. Potential for significant initial disruption unless existing loans are grandfathered. Controllable if implemented prospectively, but volumes and average loan amounts are likely to decline. Rapid increase in short-term interest rates that influence consumer-credit pricing indexes. Moderate, high 10 percent increase in credit card revenues, 2 percent increase in cost of funds, 5 percent increase in 30+ delinquencies. As long as interest rate increases are moderate (for example, no more than 100 basis points) the increase in revenues should offset the higher delinquency rates. Creates a need to monitor both measures closely. Relocation or substantial reduction of a local military base, the largest employer in the community,

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ghtful questions, and request additional facts or analysis when issues warrant. Effective reporting generally includes four common characteristics that improve utility: - Performance trends: Providing data in a consistent form over time helps provide perspective and a deeper understanding of portfolio composition and migration. Most banks report performance trends for at least the past 13 months, but many retail managers find trends over a rolling eight-quarter time frame most useful for considering patterns and seasonality. - Actual results compared with projections: Context is important. Effective reports compare actual results with management expectations and quantitative benchmarks, with variances identified and explained. - Precise and informative narrative: Useful data charts generally include narrative, especially in reports for senior management and the board. Rather than require readers to make assumptions, reports walk the user through the issue or topic in a logical, intuitive manner. The more distanced the user is from day-to-day

management of an issue, the more simple, clear, and direct the narrative should be. - Segmented performance: Segmentation refers to breaking down aggregated data into smaller subpopulations for analysis and monitoring. Aggregated data should be segmented whenever performance could reasonably be expected to differ, allowing patterns that might otherwise be diluted by aggregated data to become more readily apparent.

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Safety and Soundness Ofce of the Comptroller of the Currency Washington, DC 20219 Comptroller's Handbook Management (M) Earnings (E) Liquidity (L) Sensitivity to Market Risk (S) Other Activities (O) Asset Quality (A) Capital Adequacy (C) Retail Lending Version 2.0, October 2021 References to reputation risk have been removed from this booklet as of March 20, 2025. Removal of reputation risk references is identified by a strikethrough. Refer to OCC Bulletin 2025-4.

ssessments and reports prepared by IRM and internal audit to support the bank's ability to question, challenge, and when necessary, oppose recommendations and decisions made by management that could cause the covered bank's risk profile to exceed its risk appetite or jeopardize the safety and soundness of the covered bank.¹⁵ Clear and Consistent Policies and Operating Procedures Lending policies and operating procedures help employees make consistent decisions, providing a sound foundation for sustainably profitable operations. The board typically sets broad policy goals, and senior management develops specific policies and operating procedures that promote effective day-to-day execution. Policies can vary among banks but should be commensurate with the bank's size, risk profile, portfolio objectives, core competencies, products offered, and target markets. Once policies and operating procedures have been developed, the board and senior management should hold bank personnel accountable for compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval

Section 254.74 - Regulatory Disclosures Detail

ile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include

- structured oversight by the board and senior management.
- clear and consistent policies and operating procedures.
- a well-established risk appetite.
- structured risk assessments.
- well-defined processes for policy exceptions.
- effective monitoring reports.
- well-designed strategies, business plans, and product testing.

Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk governance framework should include delegations of authority from the board to management committees and executive officers as well as the risk limits established for material activities. IRM should review and update the framework at least annually and as often as needed to address improvements in industry risk management practices and changes in the covered bank's risk profile caused by emerging risks, its strategic plans, or other internal and external factors.¹²

Structured Oversight by the Board and Senior Management

ce of a data architecture and information technology infrastructure that supports the covered bank's risk aggregation and reporting needs during both normal times and times of stress.

- Capturing and aggregating of risk data and reporting of material risks, concentrations, and emerging risks in a timely manner to the board of directors and the OCC.
- Distribution of risk reports to all relevant parties at a frequency that meets the needs for decision-making purposes.²⁷

Well-Designed Strategies and Business Plans Strategic plans define the bank's desired role in the retail markets. A retail strategy typically states the bank's intent by product type, product risk appetite, economic sector, geographic location, and anticipated profitability. Decisions to offer a new product, significantly change terms on an existing product, or expand into a new market area are strategic decisions that should be supported by sound and documented analysis and due diligence.²⁸ This analysis extends to the risk assessment exercise and typically addresses

- competitive environment.
- capabilities and expertise.
- operational capacity.
- staffing and training needs.
- control systems in place and those needed.
- compliance requirements (e.g., consumer protection and fair lending).
- reporting and operational systems.
- financial projections.

Once senior management and the board adopt strategic objectives, business line managers prepare complementary business plans for

Section 847.37 - Regulatory Disclosures Detail

Safety and Soundness Ofce of the Comptroller of the Currency Washington, DC 20219 Comptroller's Handbook Management (M) Earnings (E) Liquidity (L) Sensitivity to Market Risk (S) Other Activities (O) Asset Quality (A) Capital Adequacy (C) Retail Lending Version 2.0, October 2021 References to reputation risk have been removed from this booklet as of March 20, 2025. Removal of reputation risk references is identified by a strikethrough. Refer to OCC Bulletin 2025-4.

ing environment. A bank's board and management decisions to enter, exit, or otherwise change the bank's participation in retail markets and products should be based on sound, complete information, realistic assessments of the risks involved, management's expertise, and the bank's operating capacity. Incomplete or inadequate consideration of the industry's market conditions, economic dynamics, and consumer behaviors exposes the bank to excessive or unanticipated strategic risk, which often translates into financial losses. Reputation Risk Reputation risk is the risk to current or projected financial condition and resilience arising from negative public opinion. This risk may impair the bank's competitiveness by affecting its ability to establish new relationships or services or continue servicing existing relationships. Inadequate policies and procedures, operational breakdowns, or general weaknesses in any aspect of the bank's retail lending activities can harm its reputation. Lack of due diligence on products and services offered by third parties, inappropriate delegation and oversight of activities performed by third parties, and wrongful acts by third parties acting on the bank's behalf may also increase a bank's reputation risk exposure. Effective systems and controls to identify, measure, monitor, and control potential issues, such as appropriate oversight of sales, servicing, marketing, loss mitigation practices, and third parties, are critical to

licies and procedures, or ethical standards. Banks engaged in retail lending activities are exposed to significant compliance risk due to the number of consumer protection laws and regulations. Some consumer protection-related laws relevant to retail lending include 8 - 10 USC 987, "Military Lending Act." - 12 USC 2601, et seq., "Real Estate Settlement Procedures Act." - 12 USC 2801 et. seq., "Home Mortgage Disclosure Act" - 12 USC 4901 et seq., "Homeowners Protection Act." - 15 USC 1601 et seq., "Truth in Lending." - 15 USC 1681 et seq., "Fair Credit Reporting Act."15 USC 1691 et seq., "Equal Credit Opportunity Act." - 15 USC 1692 et seq., "Fair Debt Collection Practices Act." - 42 USC 3601 et seq., "Fair Housing Act." - 42 USC 4002, "Flood Disaster Protection Act." - 50 USC 3901 et seq., "Servicemembers Civil Relief Act." - laws prohibiting unfair, deceptive, or abusive acts or practices.9 Banks also have obligations arising from the Bank Secrecy Act (BSA), anti-money laundering (AML) laws, and the sanctions laws and regulations administered by the U.S. Department of the Treasury's Office of Foreign Assets Control (OFAC).10 8 For more information about consumer protection laws and regulations, refer to the Consumer Compliance booklets of the Comptroller's Handbook and interagency consumer compliance examination procedures. 9 For more information, refer to the "Unfair or Deceptive Acts or Practices and Unfair, Deceptive, or Abusive Acts or Pract

f stress. - Capturing and aggregating of risk data and reporting of material risks, concentrations, and emerging risks in a timely manner to the board of directors and the OCC. - Distribution of risk reports to all relevant parties at a frequency that meets the needs for decision- making purposes.27 Well-Designed

Strategies and Business Plans Strategic plans define the bank's desired role in the retail markets. A retail strategy typically states the bank's intent by product type, product risk appetite, economic sector, geographic location, and anticipated profitability. Decisions to offer a new product, significantly change terms on an existing product, or expand into a new market area are strategic decisions that should be supported by sound and documented analysis and due diligence. 28 This analysis extends to the risk assessment exercise and typically addresses

- competitive environment.
- capabilities and expertise.
- operational capacity.
- staffing and training needs.
- control systems in place and those needed.
- compliance requirements (e.g., consumer protection and fair lending).
- reporting and operational systems.
- financial projections.

Once senior management and the board adopt strategic objectives, business line managers prepare complementary business plans for each major product. Business plan development should involve knowledgeable staff from key functional areas, including risk management, credit policy, marketing, systems, ope

Section 509.77 - Regulatory Disclosures Detail

Safety and Soundness Ofce of the Comptroller of the Currency Washington, DC 20219 Comptroller's Handbook Management (M) Earnings (E) Liquidity (L) Sensitivity to Market Risk (S) Other Activities (O) Asset Quality (A) Capital Adequacy (C) Retail Lending Version 2.0, October 2021 References to reputation risk have been removed from this booklet as of March 20, 2025. Removal of reputation risk references is identified by a strikethrough. Refer to OCC Bulletin 2025-4.

hat changes how retail lending products are marketed, priced, and delivered to consumers. Low, moderate 20 percent revenue reduction for the next year due to new competitors and the need to update delivery channels. Material shortfall in revenues and business profitability. May require reexamining the business model and competitive approach. Disruption in the mortgage insurance industry that limits availability or significantly increases costs. Low 25 percent reduction in origination volumes. 10 percent increase in capital requirements from keeping greater origination volumes on the balance sheet. Could change fundamental operation of residential mortgage markets. Higher cost of insurance. Significant secondary market disruption until alternative sources emerge. Potential opportunity to selectively expand market share in profitable target markets if the bank is willing to use balance-sheet capacity. Changes in the reliability or timeliness of credit information available from credit bureaus or other third-party sources. Low, moderate Significant potential impact on credit scores and reliability of credit bureau information for estimating risk. Potential serious setback for consumer lending in the United States. May prompt a search to find alternative methods or sources of reliable performance information. Changes in the bankruptcy laws that limit or expand certain forms of bankruptcy use by consumers. Low Greater shi

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ith the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include - structured oversight by the board and senior management. - clear and consistent policies and operating

procedures. - a well-established risk appetite. - structured risk assessments. - well-defined processes for policy exceptions. - effective monitoring reports. - well-designed strategies, business plans, and product testing.

Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk governance framework should include delegations of authority from the board to management committees and executive officers as well as the risk limits established for material activities. IRM should review and update the framework at least annually and as often as needed to address improvements in industry risk management practices and changes in the covered bank's risk profile caused by emerging risks, its strategic plans, or other internal and external factors.¹²

Structured

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d financial condition and resilience arising from adverse business decisions, poor implementation of business decisions, or lack of responsiveness to changes in the banking industry and operating environment. A bank's board and management decisions to enter, exit, or otherwise change the bank's participation in retail markets and products should be based on sound, complete information, realistic assessments of the risks involved, management's expertise, and the bank's operating capacity. Incomplete or inadequate consideration of the industry's market conditions, economic dynamics, and consumer behaviors exposes the bank to excessive or unanticipated strategic risk, which often translates into financial losses.

Reputation Risk Reputation risk is the risk to current or projected financial condition and resilience arising from negative public opinion. This risk may impair the bank's competitiveness by affecting its ability to establish new relationships or services or continue servicing existing relationships. Inadequate policies and procedures, operational breakdowns, or general weaknesses in any aspect of the bank's retail lending activities can harm its reputation. Lack of due diligence on products and services offered by third parties, inappropriate delegation and oversight of activities performed by third parties, and wrongful acts by third parties acting on the bank's behalf may also increase a bank's reputation risk exposure. Effective systems and c

Safety and Soundness Ofce of the Comptroller of the Currency Washington, DC 20219 Comptroller's Handbook Management (M) Earnings (E) Liquidity (L) Sensitivity to Market Risk (S) Other Activities (O) Asset Quality (A) Capital Adequacy (C) Retail Lending Version 2.0, October 2021 References to reputation risk have been removed from this booklet as of March 20, 2025. Removal of reputation risk references is identified by a strikethrough. Refer to OCC Bulletin 2025-4.

ioning the propriety of strategic initiatives, staffing and management decisions, and the balance between risk taking and profitability. Most importantly, oversight typically includes overseeing the establishment of a risk management framework that effectively assesses risks, monitors exposures, and adopts the necessary policies and procedures for operating the retail business in a sound and prudent manner. Informed directors also understand that the framework should be consistent with the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include

- structured oversight by the board and senior management.
- clear and consistent policies and operating procedures.
- a well-established risk appetite.
- structured risk assessments.
- well-defined processes for policy exceptions.
- effective monitoring reports.
- well-designed strategies, business plans, and product testing.

Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The r

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shed risk appetite, and adhere to established policies and operating procedures. An independent credit and risk management review process should assess credit risk independent of the business unit, 13 monitor compliance with concentration and risk limits, and raise issues directly to senior management, oversight committees, and the board. Internal audit and other independent control functions should evaluate the adequacy of established policies and procedures and identify practices that are inconsistent with the risk governance framework. - Established risk appetite:14 Establishing a risk appetite means developing a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Risk appetite statements generally include acceptable risks bank management intends to take because the risk is sufficiently compensated and unacceptable risks that should be avoided or heavily mitigated. Used properly, the risk appetite statement is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances that should not be exceeded without proper escalation and approval. 13 For most banks, an IRM function or process is an important control. Some community banks with standard products and low-risk concentration levels may operate prudently without an IRM function. These banks, however, should generally maintain appropriate internal controls

oreign banking organizations (collectively, banks). Each bank is different and may present specific risks and issues. Accordingly, examiners should apply the information in this booklet consistent with each bank's individual circumstances. When it is necessary to distinguish among them, national banks and federal savings associations are referred to separately. 1 This booklet discusses risks associated with retail lending and provides a framework for evaluating risk management activities. In accordance with the OCC's risk-based supervision approach, examiners begin their evaluation of retail lending activities with the core assessment in the "Community Bank Supervision," "Federal Branches and Agencies Supervision," or "Large Bank Supervision" booklets of the Comptroller's Handbook. The "Retail Lending" booklet includes expanded examination procedures that examiners should use when specific retail credit products, services, or risks warrant review beyond the core assessment. This booklet's objective is to consider risk management practices fundamental to retail lending and common across product types. A bank's retail lending practices should be commensurate with the bank's size, complexity, and risk profile. Additional product-specific considerations may apply. For example, certain lending and risk management practices relevant to particular products are described in other booklets of the Comptroller's Handbook, including "Residential Real Estate Lending,

I techniques (e.g., scorecard models) to identify, measure, monitor, and control risk levels and exposures. Interest Rate Risk Interest rate risk is the risk to current or projected financial condition and resilience arising from movements in interest rates. Interest rate risk results from differences between the timing of rate changes and the timing of cash flows, from changing rate relationships among different yield curves affecting bank activities, from changing rate relationships across the spectrum of maturities, and from interest-related options embedded in bank products. The level of interest rate risk depends on the composition of the bank's loan portfolio and the degree to which loan terms (e.g., maturity, rate structure, and embedded options) expose the bank or its borrowers to changes in interest rates. Many borrowers

prefer fixed interest rates on larger, long-term retail loans, such as first mortgages and automobile loans. Long-term fixed-rate loans require active asset-liability management by bank management because core deposits used to fund retail portfolios typically have a variable interest rate. Borrowers may also assume interest rate risk on such products as HELOCs. In this context, interest rate risk is the risk of higher monthly payments on variable-rate loans due to rising interest rates, a factor that may also increase credit risk for affected loans. Bank management generally identifies borrowers with heightened exposure to interest

the approach to identifying and considering risk. Factors to consider include whether a reasonably wide range of primary threats is considered, all important risk events have been identified, risks are monitored on a continual basis, potential exposures have been quantified after consideration of likelihood and impact, and responses are reasonable and appropriate. The results of the risk assessment process help management design appropriate business responses to available opportunities. Responses generally fall within one of four categories:

- Avoidance: When risks cannot be adequately identified, measured, monitored, or controlled. Avoidance might include exiting a business line or geographic segment after appropriate evaluation of the risks or deciding not to engage in a new product or service.
- Mitigation: When risk levels can be adequately managed internally or shared or controlled by third parties. Sharing might include insurance, partnerships, hedging, outsourcing, or other risk transfer methods.
- Reduction: When risk levels can be managed to within acceptable tolerances, generally through risk, concentration, or operational limits. Reduction often includes diversification limits, business rules, and portfolio rebalancing to reduce vulnerability to certain types of exposures.
- Acceptance: When risk levels can be consciously tolerated or self-insured because the probability and severity are within reasonable limits. Banks sometimes accept risks because

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card models) to identify, measure, monitor, and control risk levels and exposures. Interest Rate Risk Interest rate risk is the risk to current or projected financial condition and resilience arising from movements in interest rates. Interest rate risk results from differences between the timing of rate changes and the timing of cash flows, from changing rate relationships among different yield curves affecting bank activities, from changing rate relationships across the spectrum of maturities, and from interest-related options embedded in bank products. The level of interest rate risk depends on the composition of the bank's loan portfolio and the degree to which loan terms (e.g., maturity, rate structure, and embedded options) expose the bank or its borrowers to changes in interest rates. Many borrowers prefer fixed interest rates on larger, long-term retail loans, such as first mortgages and automobile loans. Long-term fixed-rate loans require active asset-liability management by bank management because core deposits used to fund retail portfolios typically have a variable interest rate. Borrowers may also assume interest rate risk on such products as HELOCs. In this context, interest rate risk is the risk of higher monthly payments on variable-rate loans due to rising interest rates, a factor that may also increase credit risk for affected loans. Bank management generally identifies borrowers with heightened exposure to interest rate changes and consi

rm. In some cases, amortization schedules extend past the maturity date, leaving a lump sum (or balloon) payment due upon maturity. The finance charge may include a fixed or variable rate, and the borrower does not have the option of obtaining additional funds under the original loan agreement. 3 Examples of closed-end installment loans include mortgage loans and auto loans. - Open-end revolving lines of credit include amounts available to a borrower up to a preset credit limit for a specified amount of time. Balances may be drawn or paid down at any time at the borrower's option. Repayment terms typically require interest each month, and often some portion of principal as well. Some revolving lines of credit require full repayment of principal at maturity, while others convert automatically into a closed-end loan once the revolving period ends. Examples of open-end revolving lines of credit include credit cards and home equity lines of credit (HELOC). Banks offer retail lending products directly through a range of sources, including branch offices and online banking platforms. Banks also use indirect origination sources,4 such as 2 For more information about asset-based retail lending, refer to OCC Bulletin 2019-36, "Mortgage Lending: Lending Standards for Asset Dissipation Underwriting." 3 For more information about finance charges, refer to the "Truth in Lending Act" booklet of the Comptroller's Handbook. 4 Indirect lending generally refers to th

d directors also understand that the framework should be consistent with the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include - structured oversight by the board and senior management. - clear and consistent policies and operating procedures. - a well-established risk appetite. - structured risk assessments. - well-defined processes for policy exceptions. - effective monitoring reports. - well-designed strategies, business plans, and product testing. Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk

governance framework should include delegations of authority from the board to management committees and executive officers as well as the risk limits established for material activities. IRM should review and update the framework at least annually and as often as needed to address improvements in industry risk management practices and changes in the covered bank's risk profile caused by emerging risks, its stra

ess has (or perceives itself to have) competitive advantages and may pursue additional risk. Risk preferences for a retail lender often include specific products, target markets, or delivery channels. The board and management should consider applicable fair lending risk when selecting or identifying a particular retail risk preference. For more information, refer to the "Fair Lending" booklet of the Comptroller's Handbook.

- Retail risk limits that are capacity controls to manage risk levels. Risk limits are set for specific risk sources, business units, or products, and help implement the higher-level risk tolerances. Some banks use their stress testing results to establish aggregate and product risk capacity, translating results into operational capacity limits. Risk limits complement the risk tolerances and are generally more granular, practical controls at the portfolio and sub-portfolio levels, using metrics that can be managed at the business line level. Practical risk appetite statements generally result from analysis and consideration of each of these risk characteristics. Each helps management understand and articulate parameters for managing the business and assuming risk. Examiners may see different terms and labels for these characteristics but should typically expect to see the essentials of each as part of the risk assessment exercise that establishes the bank's risk appetite statement.

Heightened Standards A covered bank should have a co

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nconsistent with the bank's risk appetite, management may require stricter adherence to policy. If performance is better, management may consider policy revisions. **Effective Monitoring Reports** Management at most banks monitors credit performance and portfolio quality through standard reports measuring portfolio composition, borrower and portfolio performance, and policy compliance. Reports should be timely, accurate, and complete, and should provide information needed for sound management and credible challenges. A set of well-designed standard reports should monitor activity continually, even if the data seem stable. Consistent reporting allows managers to gain a comfort level with the information, ask insightful questions, and request additional facts or analysis when issues warrant. Effective reporting generally includes four common characteristics that improve utility:

- Performance trends: Providing data in a consistent form over time helps provide perspective and a deeper understanding of portfolio composition and migration. Most banks report performance trends for at least the past 13 months, but many retail managers find trends over a rolling eight-quarter time frame most useful for considering patterns and seasonality.
- Actual results compared with projections: Context is important. Effective reports compare actual results with management expectations and quantitative benchmarks, with variances identified and explained.
- Precise and infor

ssment exercise that establishes the bank's risk appetite statement. **Heightened Standards** A covered bank should have a comprehensive written statement that articulates the covered bank's risk appetite and serves as the basis for the risk governance framework. The risk appetite statement should include both qualitative components and quantitative limits. The qualitative components should describe a safe and sound risk culture and how the covered bank assesses and accepts risks, including those that are difficult to quantify. Quantitative limits should incorporate sound stress testing processes, as appropriate, and address the covered bank's earnings, capital, and liquidity. The covered bank should set limits at levels that take into account appropriate capital and liquidity buffers and prompt management and the board of directors to reduce risk before the covered bank's risk profile jeopardizes the adequacy of its earnings, liquidity, and capital.²¹ **Structured Risk Assessment** A practical, realistic assessment of risks facing the business is an important foundation for developing a risk appetite. A bank should have internal controls and information systems that are appropriate to the size of the institution and the nature, scope, and risk of its activities and that provide for an effective risk assessment. ²² One common method is through risk ²¹ For more information, refer to 12 CFR 30, appendix D, II.E, "Risk Appetite Statement." ²² For more inform

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formed input into business plans and proposals. The use of cross-functional teams helps form realistic and actionable business plans, promotes buy-in from important parties, and minimizes unanticipated problems during implementation. Common topics in retail business plans address

- product design, marketing, and product mix and customer risk profile.
- volume and profitability projections.
- product testing parameters.
- concentration and risk limits.
- capital and allowance for loan and lease losses (ALLL) or allowance for credit losses (ACL) requirements.
- reporting content and distribution.
- key performance monitoring measures.

Before implementation, management should reconcile business plans with existing lending and operating policies for comprehensive coverage and consistency. Bank staff should be thoroughly briefed and trained on any changes, with reporting systems and internal controls fully tested and operational. Examiners should pay particular attention to how banks implement new business strategies, including the rollout of new products or initiatives. This is especially important when changes could significantly affect the bank's size, operating approach, or risk profile. Examiners should consider whether effective change management processes exist, including realistic assessments of costs and resource requirements (including information technology requirements); adequate testing periods; timely and accurate performance monitoring; an

ard tradeoffs, establish risk capacity, and define risk tolerances. There are many ways to approach establishing a risk appetite, and the structure and formality should be consistent with the bank's size, complexity, and risk profile. 20 The board of a bank with small, noncomplex, or low-risk retail portfolios might establish a risk appetite at the bank level, and then management would reconcile retail credit business plans to determine consistency with the overall risk appetite. Banks with large, complex, or high-risk retail credit portfolios typically establish written risk appetite statements at the retail lending level and manage product- and service-level activities from that base (e.g., risk appetite limits cascade to individual portfolios with tiered oversight, monitoring, and reporting). The terminology may differ from bank to bank, but the basic characteristics typically include the following:

- Retail risk strategies that definitively state the board and senior management's views on risk, including how the bank assumes retail exposure. Risk strategies generally set broad parameters, expressing how the bank intends to limit or mitigate risks to reduce the likelihood of insolvency or significant losses.
- Retail risk tolerances that are a quantitative extension of the risk strategy. Risk tolerances quantify the amount of aggregate risk the bank is willing to accept, and the critical areas where it chooses not to accept exposure. For example, a ret

Section 646.89 - Regulatory Disclosures Detail

h to find alternative methods or sources of reliable performance information. Changes in the bankruptcy laws that limit or expand certain forms of bankruptcy use by consumers. Low Greater shift to co-borrower reliance, lower total debt advances, underwriting more closely tied to shorter-term capacity. Potential for significant initial disruption unless existing loans are grandfathered. Controllable if implemented prospectively, but volumes and average loan amounts are likely to decline. Rapid increase in short-term interest rates that influence consumer-credit pricing indexes. Moderate, high 10 percent increase in credit card revenues, 2 percent increase in cost of funds, 5 percent increase in 30+ delinquencies. As long as interest rate increases are moderate (for example, no more than 100 basis points) the increase in revenues should offset the higher delinquency rates. Creates a need to monitor both measures closely. Relocation or substantial reduction of a local military base, the largest employer in the community, in the next three years. Moderate, high 20 percent increase in local unemployment, 25 percent decline in auto and installment loan volumes, 10 percent decline in checking and savings account volumes. Significant impact on borrowers employed by the base. Decline in new loan business and checking and savings accounts. Affects small businesses that serve customers living and working on the base. Creates a n

cedures help employees make consistent decisions, providing a sound foundation for sustainably profitable operations. The board typically sets broad policy goals, and senior management develops specific policies and operating procedures that promote effective day-to-day execution. Policies can vary among banks but should be commensurate with the bank's size, risk profile, portfolio objectives, core competencies, products offered, and target markets. Once policies and operating procedures have been developed, the board and senior management should hold bank personnel accountable for compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval authorities, necessary steps for approvals, and approval documentation requirements. 16 Process maps, which link directly to operating procedures, provide a third level of detail and documentation on how and when specific actions occur. The discipline of committing policies, procedures, and process maps to writing promotes a deeper understanding of each activity and prompts a practical evaluation of how each step co

t expectations and quantitative benchmarks, with variances identified and explained. - Precise and informative narrative: Useful data charts generally include narrative, especially in reports for senior management and the board. Rather than require readers to make assumptions, reports walk the user through the issue or topic in a logical, intuitive manner. The more distanced the user is from day-to-day management of an issue, the more simple, clear, and direct the narrative should be. - Segmented performance: Segmentation refers to breaking down aggregated data into smaller subpopulations for analysis and monitoring. Aggregated data should be segmented whenever performance could reasonably be expected to differ, allowing patterns that might otherwise be diluted by aggregated data to become more readily apparent. For example, new loans could be tracked by acquisition source, vintage, geography, or

other common characteristics, so users can identify segments with weak performance or issues needing attention. When possible, a single data source is best for reporting consistency. When this is not possible, data sources should be periodically reconciled and audited to determine reliability. 26 In general, the presence of multiple policy exceptions in a single transaction increases risk and raises the likelihood that the transaction will be inconsistent with the bank's desired risk profile. Retail lenders should periodically evaluate risk levels for loans with

rest rates, employment, and local economic conditions, influence credit volumes and activity. Advances in technology also permit retail lenders to better differentiate risk and to accept and price exposures more selectively. These advances promote the use of tailored products that are better able to meet individual borrower risk profiles, allowing many banks to expand their markets and increase profitability. This booklet describes prudent bank practices to manage retail credit risk appropriately. These include practices that examiners should consider when evaluating a bank's quantity of risk and quality of risk management. **Risks Associated With Retail Lending** From a supervisory perspective, risk is the potential that events will have an adverse effect on a bank's current or projected financial condition⁵ and resilience.⁶ The OCC has defined eight categories of risk for bank supervision purposes: credit, interest rate, liquidity, price, operational, compliance, strategic, and reputation. These categories are not mutually exclusive. Any product or service may expose a bank to multiple risks. Risks also may be interdependent and may be positively or negatively correlated. Examiners should be aware of and assess this interdependence. Examiners also should be alert to concentrations that can significantly elevate risk. Concentrations can accumulate within and across products, business lines, geographic areas, countries, and legal entities. Refer to the "

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whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include - structured oversight by the board and senior management. - clear and consistent policies and operating procedures. - a well-established risk appetite. - structured risk assessments. - well-defined processes for policy exceptions. - effective monitoring reports. - well-designed strategies, business plans, and product testing.

Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk governance framework should include delegations of authority from the board to management committees and executive officers as well as the risk limits established for material activities. IRM should review and update the framework at least annually and as often as needed to address improvements in industry risk management practices and changes in the covered bank's risk profile caused by emerging risks, its strategic plans, or other internal and external factors.¹²

Structured Oversight by the Board and Senior Management One of the board's and senior management's most important oversight responsibilities is to establish an effective risk management framework consistent with

ents are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include - structured oversight by the board and senior management. - clear and consistent policies and operating procedures. - a well-established risk appetite. - structured risk assessments. - well-defined processes for policy exceptions. - effective monitoring reports. - well-designed strategies, business plans, and product testing.

Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk governance framework should include delegations of authority from the board to management committees and executive officers as well as the risk limits established for material activities. IRM should review and update the framework at least annually and as often as needed to address improvements in industry risk management practices and changes in the covered bank's risk profile caused by emerging risks, its strategic plans, or other internal and external factors.¹²

Structured Oversight by the Board and Senior Management One of the board's and senior management's most important oversight responsibilities is to establish an effective risk management fram

ess plan, consistent with applicable capital, liquidity, and other regulatory requirements. ¹⁹ Well- developed risk appetite statements establish a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Specific assertions generally include acceptable risks the board intends bank management to take, and unacceptable risks that should be avoided or heavily mitigated. Used properly, an established risk appetite is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances. There are many ways to approach establishing a risk appetite, and the structure and formality should be consistent with the bank's size, complexity, and risk profile. ²⁰ The board of a bank with small, noncomplex,

or low-risk retail portfolios might establish a risk appetite at the bank level, and then management would reconcile retail credit business plans to determine consistency with the overall risk appetite. Banks with large, complex, or high-risk retail credit portfolios typically establish written risk appetite statements at the retail lending level and manage product- and service-level activities from that base (e.g., risk appetite limits cascade to individual portfolios with tiered oversight, monitoring, and reporting). The terminology may differ from bank to bank, but the basic characteristics typically include the following: - Retail

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dit Risk Assessment Exercise Example	Risk event	Likelihood	Impact	Significance
Significant new technology advancement or application that delivered to consumers. Low, moderate	20 percent revenue reduction for the next year due to new competitors and the need to update delivery channels. Material shortfall in revenues and business profitability. May require reexamining the business model and competitive approach. Disruption in the mortgage insurance industry that limits availability or significantly increases costs. Low 25 percent reduction in origination volumes. 10 percent increase in capital requirements from keeping greater origination volumes on the balance sheet. Could change fundamental operation of residential mortgage markets. Higher cost of insurance. Significant secondary market disruption until alternative sources emerge. Potential opportunity to selectively expand market share in profitable target markets if the bank is willing to use balance-sheet capacity. Changes in the reliability or timeliness of credit information available from credit bureaus or other third-party sources. Low, moderate	Significant potential impact on credit scores and reliability of credit bureau information for estimating risk. Potential serious setback for consumer lending in the United States. May prompt a search to find alternative methods or sources of reliable perfor		

e taken into account. Examiners should consider whether each bank's exercise is a practical, thoughtful, and systematic approach to identifying and considering risk. Factors to consider include whether a reasonably wide range of primary threats is considered, all important risk events have been identified, risks are monitored on a continual basis, potential exposures have been quantified after consideration of likelihood and impact, and responses are reasonable and appropriate. The results of the risk assessment process help management design appropriate business responses to available opportunities. Responses generally fall within one of four categories:

- Avoidance: When risks cannot be adequately identified, measured, monitored, or controlled. Avoidance might include exiting a business line or geographic segment after appropriate evaluation of the risks or deciding not to engage in a new product or service.
- Mitigation: When risk levels can be adequately managed internally or shared or controlled by third parties. Sharing might include insurance, partnerships, hedging, outsourcing, or other risk transfer methods.
- Reduction: When risk levels can be managed to within acceptable tolerances, generally through risk, concentration, or operational limits. Reduction often includes diversification limits, business rules, and portfolio rebalancing to reduce vulnerability to certain types of exposures.
- Acceptance: When risk levels can be consciously tolera

developed risk appetite statements establish a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Specific assertions generally include acceptable risks the board intends bank management to take, and unacceptable risks that should be avoided or heavily mitigated. Used properly, an established risk appetite is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances. There are many ways to approach establishing a risk appetite, and the structure and formality should be consistent with the bank's size, complexity, and risk profile. 20 The board of a bank with small, noncomplex, or low-risk retail portfolios might establish a risk appetite at the bank level, and then management would reconcile retail credit business plans to determine consistency with the overall risk appetite. Banks with

large, complex, or high-risk retail credit portfolios typically establish written risk appetite statements at the retail lending level and manage product- and service-level activities from that base (e.g., risk appetite limits cascade to individual portfolios with tiered oversight, monitoring, and reporting). The terminology may differ from bank to bank, but the basic characteristics typically include the following:

- Retail risk strategies that definitively state the board and senior management's views on risk, including

- banks that have small, noncomplex loan portfolios typically have fewer committees with broader responsibilities, while larger banks typically have product-specific committees with narrower scopes. Committee charters define required membership, frequency of meetings and reports, documentation of minutes, and committee responsibilities and accountabilities. Committee responsibilities often encompass both risk and business management objectives, and membership should include individuals with the knowledge and experience for the tasks.
- Clear lines of authority, responsibility, and accountability: Roles and responsibilities across the retail lending business should be well defined and well communicated. Business managers should identify and assess material risks, operate within the parameters of an established risk appetite, and adhere to established policies and operating procedures. An independent credit and risk management review process should assess credit risk independent of the business unit, 13 monitor compliance with concentration and risk limits, and raise issues directly to senior management, oversight committees, and the board. Internal audit and other independent control functions should evaluate the adequacy of established policies and procedures and identify practices that are inconsistent with the risk governance framework.
- Established risk appetite:14 Establishing a risk appetite means developing a common understanding within the bank on how

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ucts are described in other booklets of the Comptroller's Handbook, including "Residential Real Estate Lending," "Mortgage Banking," "Credit Card Lending," "Student Lending," "Deposit-Related Credit," and "Installment Lending." Specific consumer protection laws and regulations applicable to retail lending are discussed in the Consumer Compliance booklets of the Comptroller's Handbook. In addition, the OCC has established minimum standards for designing and implementing a risk governance framework for certain large insured national banks, insured federal savings associations, and insured federal branches of foreign banks. Such banks- including those with average total consolidated assets of \$50 billion or greater or those that are OCC- designated, which are referred to as covered banks-should adhere to 12 CFR 30, appendix D, "OCC Guidelines Establishing Heightened Standards for Certain Large Insured National Banks, Insured Federal Savings Associations, and Insured Federal Branches" (referred to in this booklet as heightened standards). This booklet discusses these heightened standards in the context of retail lending, as well as broader concepts applicable to a wider range of banks. 1 Generally, references to "national banks" throughout this booklet also apply to federal branches and agencies of foreign banking organizations unless otherwise specified. Refer to the "Federal Branches and Agencies Supervision" booklet of the Comptroller's Handbook for more in

isks warrant review beyond the core assessment. This booklet's objective is to consider risk management practices fundamental to retail lending and common across product types. A bank's retail lending practices should be commensurate with the bank's size, complexity, and risk profile. Additional product-specific considerations may apply. For example, certain lending and risk management practices relevant to particular products are described in other booklets of the Comptroller's Handbook, including "Residential Real Estate Lending," "Mortgage Banking," "Credit Card Lending," "Student Lending," "Deposit-Related Credit," and "Installment Lending." Specific consumer protection laws and regulations applicable to retail lending are discussed in the Consumer Compliance booklets of the Comptroller's Handbook. In addition, the OCC has established minimum standards for designing and implementing a risk governance framework for certain large insured national banks, insured federal savings associations, and insured federal branches of foreign banks. Such banks- including those with average total consolidated assets of \$50 billion or greater or those that are OCC- designated, which are referred to as covered banks-should adhere to 12 CFR 30, appendix D, "OCC Guidelines Establishing Heightened Standards for Certain Large Insured National Banks, Insured Federal Savings Associations, and Insured Federal Branches" (referred to in this booklet as heightened standards). T

Safety and Soundness Ofce of the Comptroller of the Currency Washington, DC 20219 Comptroller's Handbook Management (M) Earnings (E) Liquidity (L) Sensitivity to Market Risk (S) Other Activities (O) Asset Quality (A) Capital Adequacy (C) Retail Lending Version 2.0, October 2021 References to reputation risk have been removed from this booklet as of March 20, 2025. Removal of reputation risk references is identified by a strikethrough. Refer to OCC Bulletin 2025-4.

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ess of the covered bank.¹⁵ Clear and Consistent Policies and Operating Procedures Lending policies and operating procedures help employees make consistent decisions, providing a sound foundation for sustainably profitable operations. The board typically sets broad policy goals, and senior management develops specific policies and operating procedures that promote effective day-to-day execution. Policies can vary among banks but should be commensurate with the bank's size, risk profile, portfolio objectives, core competencies, products offered, and target markets. Once policies and operating procedures have been developed, the board and senior management should hold bank personnel accountable for compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval authorities, necessary steps for approvals, and approval documentation requirements. ¹⁶ Process maps, which link directly to operating procedures, provide a third level of detail and documentation on how and when specific actions occur. The discipline of committing policies, procedures, and process

auto loans. - Open-end revolving lines of credit include amounts available to a borrower up to a preset credit limit for a specified amount of time. Balances may be drawn or paid down at any time at the borrower's option. Repayment terms typically require interest each month, and often some portion of principal as well. Some revolving lines of credit require full repayment of principal at maturity, while others convert automatically into a closed-end loan once the revolving period ends. Examples of open-end revolving lines of credit include credit cards and home equity lines of credit (HELOC). Banks offer retail lending products directly through a range of sources, including branch offices and online banking platforms. Banks also use indirect origination sources,⁴ such as ² For more information about asset-based retail lending, refer to OCC Bulletin 2019-36, "Mortgage Lending: Lending Standards for Asset Dissipation Underwriting." ³ For more information about finance charges, refer to the "Truth in Lending Act" booklet of the Comptroller's Handbook.

⁴ Indirect lending generally refers to the use of a third party to originate loans using a bank's underwriting criteria. The third party receives a fee for providing an acceptable borrower. Indirect lending typically takes one of two forms: (1) dealers or brokers may originate loans to borrowers, and banks then purchase the loans, or (2) dealers or brokers forward loan applications to banks that then origi

ing typically fall into three categories: - Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc. - Credit scoring: High- and low-side overrides. ²⁴ - Documentation: Loan application, transaction information, and collateral perfection or valuation. Exception limits for each, and in aggregate, are typically established by either dollar amounts or transaction volumes per month.²⁵ Trends can vary between dollar and transaction volumes, and banks with larger or more complex portfolios should typically track and evaluate both. Exception monitoring reports should include sufficient detail for meaningful analysis of exceptions overall and by type. The objective is to determine whether exceptions are ²⁴ A credit score override occurs when a lender approves a loan that does not meet the lender's minimum credit score (i.e., a low-side override), or declines a loan that was above the lender's minimum credit score (i.e., a high-side

override). High-side overrides typically occur because a borrower fails some other aspect of the underwriting criteria, such as insufficient income or a recent bankruptcy. Noncomplex community banks generally track only low-side overrides. 25 Some smaller community banks may track exceptions less frequently than monthly because the volumes are small and monthly tracking would not typically produce a meaningful metric. These banks may use other frequencies and methods, such as tracking exceptions as a percenta

ment in the "Community Bank Supervision," "Federal Branches and Agencies Supervision," or "Large Bank Supervision" booklets of the Comptroller's Handbook. The "Retail Lending" booklet includes expanded examination procedures that examiners should use when specific retail credit products, services, or risks warrant review beyond the core assessment. This booklet's objective is to consider risk management practices fundamental to retail lending and common across product types. A bank's retail lending practices should be commensurate with the bank's size, complexity, and risk profile. Additional product-specific considerations may apply. For example, certain lending and risk management practices relevant to particular products are described in other booklets of the Comptroller's Handbook, including "Residential Real Estate Lending," "Mortgage Banking," "Credit Card Lending," "Student Lending," "Deposit-Related Credit," and "Installment Lending." Specific consumer protection laws and regulations applicable to retail lending are discussed in the Consumer Compliance booklets of the Comptroller's Handbook. In addition, the OCC has established minimum standards for designing and implementing a risk governance framework for certain large insured national banks, insured federal savings associations, and insured federal branches of foreign banks. Such banks- including those with average total consolidated assets of \$50 billion or greater or those that are OCC- desig

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Interest Rate Risk	 4	Operational Risk
.....	4	Liquidity Risk
.....	5	Compliance Risk
.....	5	Strategic Risk
.....	6	Reputation Risk
.....	6	Risk Management
.....	6	Structured Oversight by the Board and
Senior Management	 7	Considering Quantity of Risk
.....	18	A Sound Approach to Credit Approvals
.....	22	Prudent Credit Administration
.....	30	Control Systems

d bank's risk aggregation and reporting needs during both normal times and times of stress. - Capturing and aggregating of risk data and reporting of material risks, concentrations, and emerging risks in a timely manner to the board of directors and the OCC. - Distribution of risk reports to all relevant parties at a frequency that meets the needs for decision- making purposes.27 Well-Designed Strategies and Business Plans Strategic plans define the bank's desired role in the retail markets. A retail strategy typically states the bank's intent by product type, product risk appetite, economic sector, geographic location, and anticipated profitability. Decisions to offer a new product, significantly change terms on an existing product, or expand into a new market area are strategic decisions that should be supported by sound and documented analysis and due diligence. 28 This analysis extends to the risk assessment exercise and typically addresses - competitive environment. - capabilities and expertise. - operational capacity. - staffing and training needs. - control systems in place and those needed. - compliance requirements (e.g., consumer protection and fair lending). - reporting and operational systems. - financial projections. Once senior management and the board adopt strategic objectives, business line managers prepare complementary business plans for each major product. Business plan development should involve knowledgeable staff from key f

rely on risk assessments and reports prepared by IRM and internal audit to support the bank's ability to question, challenge, and when necessary, oppose recommendations and decisions made by management that could cause the covered bank's risk profile to exceed its risk appetite or jeopardize the safety and soundness of the covered bank.15 Clear and Consistent Policies and Operating Procedures Lending policies and operating procedures help employees make consistent decisions, providing a sound foundation for sustainably profitable operations. The board typically sets broad policy goals, and senior management develops specific policies and operating procedures that promote effective day-to-day execution. Policies can vary among banks but should be commensurate with the bank's size, risk profile, portfolio objectives, core competencies, products offered, and target markets. Once policies and operating procedures have been developed, the board and senior management should hold bank personnel accountable for compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit

risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities

effect on the business, and the significance column focuses on how results are likely to affect business strategies or major objectives. Other factors can be part of the risk assessment exercise, such as a residual risk rating that considers risk levels after controls or other mitigating factors are taken into account. Examiners should consider whether each bank's exercise is a practical, thoughtful, and systematic approach to identifying and considering risk. Factors to consider include whether a reasonably wide range of primary threats is considered, all important risk events have been identified, risks are monitored on a continual basis, potential exposures have been quantified after consideration of likelihood and impact, and responses are reasonable and appropriate. The results of the risk assessment process help management design appropriate business responses to available opportunities. Responses generally fall within one of four categories:

- Avoidance: When risks cannot be adequately identified, measured, monitored, or controlled. Avoidance might include exiting a business line or geographic segment after appropriate evaluation of the risks or deciding not to engage in a new product or service.
- Mitigation: When risk levels can be adequately managed internally or shared or controlled by third parties. Sharing might include insurance, partnerships, hedging, outsourcing, or other risk transfer methods.
- Reduction: When risk levels can be managed

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isk	60	Quality of Risk Management
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Sample Request Letter	107	Appendix B: Quantity of Retail C

troller's Handbook 18 Retail Lending Heightened Standards The chief executive officer (CEO) should be responsible for the development of a written strategic plan with input from frontline units, IRM, and internal audit. The board of directors should evaluate and approve the strategic plan and monitor management's efforts to implement the strategic plan at least annually. The strategic plan should cover, at a minimum, a three-year period and - contain a comprehensive assessment of risks that currently have an impact on the covered bank or that could have an impact on the covered bank during the period covered by the strategic plan. - articulate an overall mission statement and strategic objectives for the covered bank and include an explanation of how the covered bank will achieve those objectives. - explain how the covered bank will update, as necessary, the risk governance framework to account for changes in the covered bank's risk profile projected under the strategic plan. - be reviewed, updated, and approved, as necessary, due to changes in the covered bank's risk profile or operating environment that were not contemplated when the strategic plan was developed.³² Considering Quantity of Risk The OCC expects risk management for retail credit activities to correspond to the bank's size, complexity, and risk profile. Examiners should assess risk management practices in the context of product and portfolio risk. For examination purposes, the OCC ref

Safety and Soundness Ofce of the Comptroller of the Currency Washington, DC 20219 Comptroller's Handbook Management (M) Earnings (E) Liquidity (L) Sensitivity to Market Risk (S) Other Activities (O) Asset Quality (A) Capital Adequacy (C) Retail Lending Version 2.0, October 2021 References to reputation risk have been removed from this booklet as of March 20, 2025. Removal of reputation risk references is identified by a strikethrough. Refer to OCC Bulletin 2025-4.

te sound board oversight. - Established risk and product committees: Product and risk oversight committees serve as active forums to discuss risks and emerging issues, provide a broad spectrum of input, and evaluate or approve decisions. Community banks that have small, noncomplex loan portfolios typically have fewer committees with broader responsibilities, while larger banks typically have product-specific committees with narrower scopes. Committee charters define required membership, frequency of meetings and reports,

documentation of minutes, and committee responsibilities and accountabilities. Committee responsibilities often encompass both risk and business management objectives, and membership should include individuals with the knowledge and experience for the tasks. - Clear lines of authority, responsibility, and accountability: Roles and responsibilities across the retail lending business should be well defined and well communicated. Business managers should identify and assess material risks, operate within the parameters of an established risk appetite, and adhere to established policies and operating procedures. An independent credit and risk management review process should assess credit risk independent of the business unit, 13 monitor compliance with concentration and risk limits, and raise issues directly to senior management, oversight committees, and the board. Internal audit and other independent control functions should evaluate the adequacy

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he tasks. - Clear lines of authority, responsibility, and accountability: Roles and responsibilities across the retail lending business should be well defined and well communicated. Business managers should identify and assess material risks, operate within the parameters of an established risk appetite, and adhere to established policies and operating procedures. An independent credit and risk management review process should assess credit risk independent of the business unit, 13 monitor compliance with concentration and risk limits, and raise issues directly to senior management, oversight committees, and the board. Internal audit and other independent control functions should evaluate the adequacy of established policies and procedures and identify practices that are inconsistent with the risk governance framework. - Established risk appetite:14 Establishing a risk appetite means developing a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Risk appetite statements generally include acceptable risks bank management intends to take because the risk is sufficiently compensated and unacceptable risks that should be avoided or heavily mitigated. Used properly, the risk appetite statement is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances that should not be exceeded without proper escalation and a

d internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval authorities, necessary steps for approvals, and approval documentation requirements. 16 Process maps, which link directly to operating procedures, provide a third level of detail and documentation on how and when specific actions occur. The discipline of committing policies, procedures, and process maps to writing promotes a deeper understanding of each activity and prompts a practical evaluation of how each step contributes to or detracts from business and risk management objectives. 17 Examiners should view well-written and cohesive policies, procedures, and process maps as part of an effective risk management process. Policy criteria should be consistent with and support established risk appetites and portfolio objectives. For example, banks with low risk appetites may have product underwriting standards that require higher down payments, use lower debt-to-income ratios, or are less tolerant of derogatory information on credit reports. Banks with higher risk appetites might accept lower down payments, use higher debt-to-income ratios, or consider some negative credit bureau information. Either may be acceptable, depending on the bank's resources, quality of risk management, and internal c

risk management activities. In accordance with the OCC's risk-based supervision approach, examiners begin their evaluation of retail lending activities with the core assessment in the "Community Bank Supervision," "Federal Branches and Agencies Supervision," or "Large Bank Supervision" booklets of the Comptroller's Handbook. The "Retail Lending" booklet includes expanded examination procedures that examiners should use when specific retail credit products, services, or risks warrant review beyond the core assessment. This booklet's objective is to consider risk management practices fundamental to retail lending and common across product types. A bank's retail lending practices should be commensurate with the bank's size, complexity, and risk profile. Additional product-specific considerations may apply. For example, certain

lending and risk management practices relevant to particular products are described in other booklets of the Comptroller's Handbook, including "Residential Real Estate Lending," "Mortgage Banking," "Credit Card Lending," "Student Lending," "Deposit-Related Credit," and "Installment Lending." Specific consumer protection laws and regulations applicable to retail lending are discussed in the Consumer Compliance booklets of the Comptroller's Handbook. In addition, the OCC has established minimum standards for designing and implementing a risk governance framework for certain large insured national banks, insured federal savings associati

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ion 5 and resilience.⁶ The OCC has defined eight categories of risk for bank supervision purposes: credit, interest rate, liquidity, price, operational, compliance, strategic, and reputation. These categories are not mutually exclusive. Any product or service may expose a bank to multiple risks. Risks also may be interdependent and may be positively or negatively correlated. Examiners should be aware of and assess this interdependence. Examiners also should be alert to concentrations that can significantly elevate risk. Concentrations can accumulate within and across products, business lines, geographic areas, countries, and legal entities. Refer to the "Bank Supervision Process" booklet of the Comptroller's Handbook for an expanded discussion of banking risks and their definitions. While retail lending generally involves all risk categories, this booklet focuses on the significant credit, interest rate, operational, liquidity, compliance, strategic, and reputation risks most common to retail lending.

Credit Risk Credit risk is the risk to current or projected financial condition and resilience arising from an obligor's failure to meet the terms of any contract with the bank or otherwise perform as agreed. Credit risk is found in all activities in which settlement or repayment depends on counterparty, issuer, or borrower performance. Credit risk is the primary exposure for most retail lending products. Due to the size, volume, and nature of transact

higher-level risk tolerances. Some banks use their stress testing results to establish aggregate and product risk capacity, translating results into operational capacity limits. Risk limits complement the risk tolerances and are generally more granular, practical controls at the portfolio and sub-portfolio levels, using metrics that can be managed at the business line level. Practical risk appetite statements generally result from analysis and consideration of each of these risk characteristics. Each helps management understand and articulate parameters for managing the business and assuming risk. Examiners may see different terms and labels for these characteristics but should typically expect to see the essentials of each as part of the risk assessment exercise that establishes the bank's risk appetite statement.

Heightened Standards A covered bank should have a comprehensive written statement that articulates the covered bank's risk appetite and serves as the basis for the risk governance framework. The risk appetite statement should include both qualitative components and quantitative limits. The qualitative components should describe a safe and sound risk culture and how the covered bank assesses and accepts risks, including those that are difficult to quantify. Quantitative limits should incorporate sound stress testing processes, as appropriate, and address the covered bank's earnings, capital, and liquidity. The covered bank should set limits at

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The OCC's risk-based supervision approach, examiners begin their evaluation of retail lending activities with the core assessment in the "Community Bank Supervision," "Federal Branches and Agencies Supervision," or "Large Bank Supervision" booklets of the Comptroller's Handbook. The "Retail Lending" booklet includes expanded examination procedures that examiners should use when specific retail credit products, services, or risks warrant review beyond the core assessment. This booklet's objective is to consider risk management practices fundamental to retail lending and common across product types. A bank's retail lending practices should be commensurate with the bank's size, complexity, and risk profile. Additional product-specific considerations may apply. For example, certain lending and risk management practices relevant to particular products are described in other booklets of the Comptroller's Handbook, including "Residential Real Estate Lending," "Mortgage Banking," "Credit Card Lending," "Student Lending," "Deposit-Related Credit," and "Installment Lending." Specific consumer protection laws and regulations applicable to retail lending are discussed in the Consumer Compliance booklets of the Comptroller's Handbook. In addition, the OCC has established minimum standards for designing and implementing a risk governance framework for certain large insured national banks, insured federal savings associations, and insured federal branches of foreign bank

Key risk reporting (such as compliance with risk appetite measures) is often developed and reported by an IRM function. Heightened Standards The risk governance framework should include a set of policies, supported by appropriate procedures and processes, designed to provide risk data aggregation and reporting capabilities appropriate for the size, complexity, and risk profile of the covered bank, and to support supervisory reporting requirements. Collectively, these policies, procedures, and processes should provide for the following:

- Design, implementation, and maintenance of a data architecture and information technology infrastructure that supports the covered bank's risk aggregation and reporting needs during both normal times and times of stress.
- Capturing and aggregating of risk data and reporting of material risks, concentrations, and emerging risks in a timely manner to the board of directors and the OCC.
- Distribution of risk reports to all relevant parties at a frequency that meets the needs for decision-making purposes.²⁷

Well-Designed Strategies and Business Plans Strategic plans define the bank's desired role in the retail markets. A retail strategy typically states the bank's intent by product type, product risk appetite, economic sector, geographic location, and anticipated profitability. Decisions to offer a new product, significantly change terms on an existing product, or expand into a new market area are strategic decisions

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erm interest rates that influence consumer- credit pricing indexes. Moderate, high 10 percent increase in credit card revenues, 2 percent increase in cost of funds, 5 percent increase in 30+ delinquencies. As long as interest rate increases are moderate (for example, no more than 100 basis points) the increase in revenues should offset the higher delinquency rates. Creates a need to monitor both measures closely. Relocation or substantial reduction of a local military base, the largest employer in the community, in the next three years. Moderate, high 20 percent increase in local unemployment, 25 percent decline in auto and installment loan volumes, 10 percent decline in checking and savings account volumes. Significant impact on borrowers employed by the base. Decline in new loan business and checking and savings accounts. Affects small businesses that serve customers living and working on the base. Creates a need to monitor closely and join local government efforts to lobby against closure. Changes in consumer protection laws and regulations that affect the bank's ability to offer retail credit-related products or services. Moderate, high Potential impact on the bank's ability to offer or service affected products or services. Depending on significance of change, the bank may incur reduced revenue because of increased costs associated with offering the product or service or if the bank stops offering the product or se

on in retail markets and products should be based on sound, complete information, realistic assessments of the risks involved, management's expertise, and the bank's operating capacity. Incomplete or inadequate consideration of the industry's market conditions, economic dynamics, and consumer behaviors exposes the bank to excessive or unanticipated strategic risk, which often translates into financial losses. Reputation Risk Reputation risk is the risk to current or projected financial condition and resilience arising from negative public opinion. This risk may impair the bank's competitiveness by affecting its ability to establish new relationships or services or continue servicing existing relationships. Inadequate policies and procedures, operational breakdowns, or general weaknesses in any aspect of the bank's retail lending activities can harm its reputation. Lack of due diligence on products and services offered by third parties, inappropriate delegation and oversight of activities performed by third parties, and wrongful acts by third parties acting on the bank's behalf may also increase a bank's reputation risk exposure. Effective systems and controls to identify, measure, monitor, and control potential issues, such as appropriate oversight of sales, servicing, marketing, loss mitigation practices, and third parties, are critical to managing reputation risk. Risk Management Each bank should identify, measure, monitor, and control risk by im

ed Standards A covered bank's board of directors should actively oversee the covered bank's risk-taking activities and hold management accountable for adhering to the risk governance framework. In providing active oversight, the directors may rely on risk assessments and reports prepared by IRM and internal audit to support the bank's ability to question, challenge, and when necessary, oppose recommendations and decisions made by management that could cause the covered bank's risk profile to exceed its risk appetite or jeopardize the safety and soundness of the covered bank.¹⁵ Clear and Consistent Policies and Operating Procedures Lending policies and operating procedures help employees make consistent decisions, providing a sound foundation for sustainably profitable operations. The board typically sets broad policy goals, and senior management develops specific policies and operating procedures that promote effective day-to-day execution. Policies can vary among banks but should be commensurate with the bank's size, risk

profile, portfolio objectives, core competencies, products offered, and target markets. Once policies and operating procedures have been developed, the board and senior management should hold bank personnel accountable for compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal c

ed risk assessments. - well-defined processes for policy exceptions. - effective monitoring reports. - well-designed strategies, business plans, and product testing. Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk governance framework should include delegations of authority from the board to management committees and executive officers as well as the risk limits established for material activities. IRM should review and update the framework at least annually and as often as needed to address improvements in industry risk management practices and changes in the covered bank's risk profile caused by emerging risks, its strategic plans, or other internal and external factors.¹² Structured Oversight by the Board and Senior Management

One of the board's and senior management's most important oversight responsibilities is to establish an effective risk management framework consistent with the bank's risk profile. Characteristics of sound oversight include the following: - Properly approved policies and procedures: The board (or a board-designated committee) typically approves significant credit policies at least annually or whenever a significant change occurs. Policies should be consistent with the established risk appetite. ¹² For more information, refer to

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y require stricter adherence to policy. If performance is better, management may consider policy revisions.

Effective Monitoring Reports Management at most banks monitors credit performance and portfolio quality through standard reports measuring portfolio composition, borrower and portfolio performance, and policy compliance. Reports should be timely, accurate, and complete, and should provide information needed for sound management and credible challenges. A set of well-designed standard reports should monitor activity continually, even if the data seem stable. Consistent reporting allows managers to gain a comfort level with the information, ask insightful questions, and request additional facts or analysis when issues warrant. Effective reporting generally includes four common characteristics that improve utility:

- Performance trends: Providing data in a consistent form over time helps provide perspective and a deeper understanding of portfolio composition and migration. Most banks report performance trends for at least the past 13 months, but many retail managers find trends over a rolling eight-quarter time frame most useful for considering patterns and seasonality.
- Actual results compared with projections: Context is important. Effective reports compare actual results with management expectations and quantitative benchmarks, with variances identified and explained.
- Precise and informative narrative: Useful data charts generally include n

t effectively assesses risks, monitors exposures, and adopts the necessary policies and procedures for operating the retail business in a sound and prudent manner. Informed directors also understand that the framework should be consistent with the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include

- structured oversight by the board and senior management.
- clear and consistent policies and operating procedures.
- a well-established risk appetite.
- structured risk assessments.
- well-defined processes for policy exceptions.
- effective monitoring reports.
- well-designed strategies, business plans, and product testing.

Heightened Standards A covered bank should establish and adhere to a formal, written risk governance framework that is designed by independent risk management (IRM) and approved by the board of directors or the board's risk committee. The risk governance framework should include delegations of authority from the board to management committees and executive officers as well as the risk limits established for material activities. IRM should review and update the framework at least annu

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portfolios with tiered oversight, monitoring, and reporting). The terminology may differ from bank to bank, but the basic characteristics typically include the following:

- Retail risk strategies that definitively state the board and senior management's views on risk, including how the bank assumes retail exposure. Risk strategies generally set broad parameters, expressing how the bank intends to limit or mitigate risks to reduce the likelihood of insolvency or significant losses.
- Retail risk tolerances that are a quantitative extension of the risk strategy. Risk tolerances quantify the amount of aggregate risk the bank is willing to accept, and the critical areas where it chooses not to accept exposure. For example, a retail lending business might set risk tolerances for capital maintenance, measured on a nominal or risk-

18 For more information, refer to 12 CFR 30, appendix D, II.C.1, "Roles and Responsibilities of Front Line Units." 19 For more information on establishing a risk appetite, refer to the "Corporate and Risk Governance" booklet of the Comptroller's Handbook and 12 CFR 30, appendix D. While the OCC's heightened standards in 12 CFR 30, appendix D, apply only to banks of a certain size, these standards may provide additional information or examples of prudent practices for banks not covered by appendix D. 20 Small community banks may not have a formal risk appetite statement; however, board-approved policies and procedures should include

management and credible challenges. A set of well-designed standard reports should monitor activity continually, even if the data seem stable. Consistent reporting allows managers to gain a comfort level with the information, ask insightful questions, and request additional facts or analysis when issues warrant. Effective reporting generally includes four common characteristics that improve utility:

- Performance trends: Providing data in a consistent form over time helps provide perspective and a deeper understanding of portfolio composition and migration. Most banks report performance trends for at least the past 13 months, but many retail managers find trends over a rolling eight-quarter time frame most useful for considering patterns and seasonality.
- Actual results compared with projections: Context is important. Effective reports compare actual results with management expectations and quantitative benchmarks, with variances identified and explained.
- Precise and informative narrative: Useful data charts generally include narrative, especially in reports for senior management and the board. Rather than require readers to make assumptions, reports walk the user through the issue or topic in a logical, intuitive manner. The more distanced the user is from day-to-day management of an issue, the more simple, clear, and direct the narrative should be.
- Segmented performance: Segmentation refers to breaking down aggregated data into smaller subpopulations.

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iance with applicable laws and regulations, including those related to consumer protection and fair lending. Responsibility and authority for identifying, approving, and monitoring policy exceptions are generally in writing, with regular reporting to capture exceptions at the transaction, product segment, product, and portfolio levels. Most banks perform enhanced analysis when exception volumes reach established thresholds, and results of the analysis should be an important factor in policy updates or revisions. Policy exception volumes and analysis should be a normal part of board and senior management reporting. Policy compliance is a useful risk management tool, and examiners should view adherence to the exceptions process as an important internal control. Some exceptions will occur because it is nearly impossible to construct underwriting or operating policies covering every lending situation. Still, exception types and volumes should be controlled, with appropriate reporting to identify and track exceptions and appropriate analysis to determine causes, impact, and any need for corrective action. Policy exceptions for retail lending typically fall into three categories:

- Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc.
- Credit scoring: High- and low-side overrides.
- Documentation: Loan application, transaction information, and collateral perfection or valuation.

Exception limits for each, and in aggregate, ar

ans made for a predetermined amount, with periodic payments of principal and interest over a specified term. Most often, the payments completely pay off the loan amount by the end of the term. In some cases, amortization schedules extend past the maturity date, leaving a lump sum (or balloon) payment due upon maturity. The finance charge may include a fixed or variable rate, and the borrower does not have the option of obtaining additional funds under the original loan agreement.

3 Examples of closed-end installment loans include mortgage loans and auto loans.

- Open-end revolving lines of credit include amounts available to a borrower up to a preset credit limit for a specified amount of time. Balances may be drawn or paid down at any time at the borrower's option. Repayment terms typically require interest each month, and often some portion of principal as well. Some revolving lines of credit require full repayment of principal at maturity, while others convert automatically into a closed-end loan once the revolving period ends. Examples of open-end revolving lines of credit include credit cards and home equity lines of credit (HELOC).

Banks offer retail lending products directly through a range of sources, including branch offices and online banking platforms. Banks also use indirect origination sources,⁴ such as

2 For more information about asset-based retail lending, refer to OCC Bulletin 2019-36, "Mortgage Lending: Lending Standards for Asset Dis

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agement's expertise, and the bank's operating capacity. Incomplete or inadequate consideration of the industry's market conditions, economic dynamics, and consumer behaviors exposes the bank to excessive or unanticipated strategic risk, which often translates into financial losses. Reputation Risk Reputation risk is the risk to current or projected financial condition and resilience arising from negative public opinion. This risk may impair the bank's competitiveness by affecting its ability to establish new relationships or services or continue servicing existing relationships. Inadequate policies and procedures, operational breakdowns, or general weaknesses in any aspect of the bank's retail lending activities can harm its reputation. Lack of due diligence on products and services offered by third parties, inappropriate delegation and oversight of activities performed by third parties, and wrongful acts by third parties acting on the bank's behalf may also increase a bank's reputation risk exposure. Effective systems and controls to identify, measure, monitor, and control potential issues, such as appropriate oversight of sales, servicing, marketing, loss mitigation practices, and third parties, are critical to managing reputation risk. Risk Management Each bank should identify, measure, monitor, and control risk by implementing an effective risk management system appropriate for the bank's size, complexity, and risk profile. When examiners assess

iew process should assess credit risk independent of the business unit, 13 monitor compliance with concentration and risk limits, and raise issues directly to senior management, oversight committees, and the board. Internal audit and other independent control functions should evaluate the adequacy of established policies and procedures and identify practices that are inconsistent with the risk governance framework. - Established risk appetite:14 Establishing a risk appetite means developing a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Risk appetite statements generally include acceptable risks bank management intends to take because the risk is sufficiently compensated and unacceptable risks that should be avoided or heavily mitigated. Used properly, the risk appetite statement is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances that should not be exceeded without proper escalation and approval. 13 For most banks, an IRM function or process is an important control. Some community banks with standard products and low-risk concentration levels may operate prudently without an IRM function. These banks, however, should generally maintain appropriate internal controls and internal audit coverage of retail lending activities. 14 Risk appetite refers to the aggregate level and types of risk

gement develops specific policies and operating procedures that promote effective day-to-day execution. Policies can vary among banks but should be commensurate with the bank's size, risk profile, portfolio objectives, core competencies, products offered, and target markets. Once policies and operating procedures have been developed, the board and senior management should hold bank personnel accountable for compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval authorities, necessary steps for approvals, and

approval documentation requirements. 16 Process maps, which link directly to operating procedures, provide a third level of detail and documentation on how and when specific actions occur. The discipline of committing policies, procedures, and process maps to writing promotes a deeper understanding of each activity and prompts a practical evaluation of how each step contributes to or detracts from business and risk management objectives. 17 Examiners should view well-written and cohesive policies, procedures, and process maps as part of an effect

(5 percent chance of occurring). The impact column focuses primarily on the event's direct effect on the business, and the significance column focuses on how results are likely to affect business strategies or major objectives. Other factors can be part of the risk assessment exercise, such as a residual risk rating that considers risk levels after controls or other mitigating factors are taken into account. Examiners should consider whether each bank's exercise is a practical, thoughtful, and systematic approach to identifying and considering risk. Factors to consider include whether a reasonably wide range of primary threats is considered, all important risk events have been identified, risks are monitored on a continual basis, potential exposures have been quantified after consideration of likelihood and impact, and responses are reasonable and appropriate. The results of the risk assessment process help management design appropriate business responses to available opportunities. Responses generally fall within one of four categories: - Avoidance: When risks cannot be adequately identified, measured, monitored, or controlled. Avoidance might include exiting a business line or geographic segment after appropriate evaluation of the risks or deciding not to engage in a new product or service. - Mitigation: When risk levels can be adequately managed internally or shared or controlled by third parties. Sharing might include insurance, partnerships, hedging

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ss or mission failure. Establishing measurable risk tolerances provides management and the board with important context information for monitoring risk levels and consistency with established standards. - Retail risk preferences that reflect where the business has (or perceives itself to have) competitive advantages and may pursue additional risk. Risk preferences for a retail lender often include specific products, target markets, or delivery channels. The board and management should consider applicable fair lending risk when selecting or identifying a particular retail risk preference. For more information, refer to the "Fair Lending" booklet of the Comptroller's Handbook. - Retail risk limits that are capacity controls to manage risk levels. Risk limits are set for specific risk sources, business units, or products, and help implement the higher-level risk tolerances. Some banks use their stress testing results to establish aggregate and product risk capacity, translating results into operational capacity limits. Risk limits complement the risk tolerances and are generally more granular, practical controls at the portfolio and sub-portfolio levels, using metrics that can be managed at the business line level. Practical risk appetite statements generally result from analysis and consideration of each of these risk characteristics. Each helps management understand and articulate parameters for managing the business and assuming risk. Examiners may see dif

of the risk assessment process help management design appropriate business responses to available opportunities. Responses generally fall within one of four categories: - Avoidance: When risks cannot be adequately identified, measured, monitored, or controlled. Avoidance might include exiting a business line or geographic segment after appropriate evaluation of the risks or deciding not to engage in a new product or service. - Mitigation: When risk levels can be adequately managed internally or shared or controlled by third parties. Sharing might include insurance, partnerships, hedging, outsourcing, or other risk transfer methods. - Reduction: When risk levels can be managed to within acceptable tolerances, generally through risk, concentration, or operational limits. Reduction often includes diversification limits, business rules, and portfolio rebalancing to reduce vulnerability to certain types of exposures. - Acceptance: When risk levels can be consciously tolerated or self-insured because the probability and severity are within reasonable limits. Banks sometimes accept risks because there are natural internal offsets, such as variable rate deposits funding variable rate loans. Examiners should determine how risk assessment exercises are a regular part of the bank's risk appetite and business strategy development. The structure and formality of risk assessments depend on the bank's size, complexity, and risk profile. Banks with large, complex retail

tolerances. Some banks use their stress testing results to establish aggregate and product risk capacity, translating results into operational capacity limits. Risk limits complement the risk tolerances and are generally more granular, practical controls at the portfolio and sub-portfolio levels, using metrics that can be managed at the business line level. Practical risk appetite statements generally result from analysis and consideration of each of these risk characteristics. Each helps management understand and articulate parameters for managing the business and assuming risk. Examiners may see different terms and labels for these characteristics but should typically expect to see the essentials of each as part of the risk assessment exercise that establishes the bank's risk appetite statement. Heightened Standards A covered bank should have a comprehensive written statement that articulates the covered bank's risk appetite and serves as the basis for the risk governance framework. The risk appetite statement should include both qualitative

components and quantitative limits. The qualitative components should describe a safe and sound risk culture and how the covered bank assesses and accepts risks, including those that are difficult to quantify. Quantitative limits should incorporate sound stress testing processes, as appropriate, and address the covered bank's earnings, capital, and liquidity. The covered bank should set limits at levels that take i

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Consequently, policy exceptions have the potential to change the actual risk profile of the portfolio and present credit, strategic, and compliance risk. Once policies are in place, the board should generally expect management to operate within those standards. Well-run banks generally handle exceptions in a structured and disciplined manner to promote sound operations as well as compliance with applicable laws and regulations, including those related to consumer protection and fair lending. Responsibility and authority for identifying, approving, and monitoring policy exceptions are generally in writing, with regular reporting to capture exceptions at the transaction, product segment, product, and portfolio levels. Most banks perform enhanced analysis when exception volumes reach established thresholds, and results of the analysis should be an important factor in policy updates or revisions. Policy exception volumes and analysis should be a normal part of board and senior management reporting. Policy compliance is a useful risk management tool, and examiners should view adherence to the exceptions process as an important internal control. Some exceptions will occur because it is nearly impossible to construct underwriting or operating policies covering every lending situation. Still, exception types and volumes should be controlled, with appropriate reporting to identify and track exceptions and appropriate analysis to determine causes, impact, and any

is the risk of higher monthly payments on variable-rate loans due to rising interest rates, a factor that may also increase credit risk for affected loans. Bank management generally identifies borrowers with heightened exposure to interest rate changes and considers the impact on these borrowers' ability to repay if interest rates were to increase. The "Interest Rate Risk" booklet of the Comptroller's Handbook provides additional information regarding interest rate risk.

Operational Risk Operational risk is the risk to current or projected financial condition and resilience arising from inadequate or failed internal processes or systems, human errors or misconduct, or adverse external events. Operational risk in retail lending is often elevated with higher volumes of loans, larger numbers of transactions processed, and more extensive use of automation and technology. Highly automated environments such as retail lending pose heightened operational risk exposure as issues in this area tend to affect numerous transactions and may compound the exposure of even minor errors. To control exposure and manage risks, outsourcing operational functions (e.g., loan origination, account management, collections, repossession/foreclosure, payment processing, data input, and legal assistance) to third parties should include due diligence before establishing third-party relationships.⁷

⁷ For more information, refer to OCC Bulletin 2013-29, "Third-Party Relationships:

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edit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval authorities, necessary steps for approvals, and approval documentation requirements. 16 Process maps, which link directly to operating procedures, provide a third level of detail and documentation on how and when specific actions occur. The discipline of committing policies, procedures, and process maps to writing promotes a deeper understanding of each activity and prompts a practical evaluation of how each step contributes to or detracts from business and risk management objectives. 17 Examiners should view well-written and cohesive policies, procedures, and process maps as part of an effective risk management process. Policy criteria should be consistent with and support established risk appetites and portfolio objectives. For example, banks with low risk appetites may have product underwriting standards that require higher down payments, use lower debt-to-income ratios, or are less tolerant of derogatory information on credit reports. Banks with higher risk appetites might accept lower down payments, use higher debt-to-income ratios, or consider some negative credit bureau information. Either may be acceptable, depending on the bank's r

derate, or low) or quantitative (5 percent chance of occurring). The impact column focuses primarily on the event's direct effect on the business, and the significance column focuses on how results are likely to affect business strategies or major objectives. Other factors can be part of the risk assessment exercise, such as a residual risk rating that considers risk levels after controls or other mitigating factors are taken into account. Examiners should consider whether each bank's exercise is a practical, thoughtful, and systematic approach to identifying and considering risk. Factors to consider include whether a reasonably wide range of primary threats is considered, all important risk events have been identified, risks are monitored on a continual basis, potential exposures have been quantified after consideration of likelihood and impact, and responses are reasonable and appropriate. The results of the risk assessment process help management design appropriate business responses to available opportunities. Responses generally fall within one of four categories:

- Avoidance: When risks cannot be adequately identified, measured, monitored, or controlled. Avoidance might include exiting a business line or geographic segment after appropriate evaluation of the risks or deciding not to engage in a new product or service.
- Mitigation: When risk levels can be adequately managed internally or shared or controlled by third parties. Sharing might include i

nsure risks associated with the frontline unit's activities are effectively identified, measured, monitored, and controlled, consistent with the covered bank's risk appetite statement, concentration risk limits, and all policies established within the risk governance framework.18 Well-Developed Risk Appetite The OCC defines risk appetite as the aggregate level and types of risk the board and management are willing to assume to achieve the bank's strategic objectives and business plan, consistent with applicable capital, liquidity, and other regulatory requirements. 19 Well-developed risk appetite statements establish a common understanding within the bank on how management should approach and accept risks when executing the bank's strategy and business plan. Specific assertions generally include acceptable risks the board intends bank management to take, and unacceptable risks that should be avoided or heavily mitigated. Used

properly, an established risk appetite is an important and powerful way to communicate risk-reward tradeoffs, establish risk capacity, and define risk tolerances. There are many ways to approach establishing a risk appetite, and the structure and formality should be consistent with the bank's size, complexity, and risk profile. 20 The board of a bank with small, noncomplex, or low-risk retail portfolios might establish a risk appetite at the bank level, and then management would reconcile retail credit business plans to determine

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should typically expect to see the essentials of each as part of the risk assessment exercise that establishes the bank's risk appetite statement. **Heightened Standards** A covered bank should have a comprehensive written statement that articulates the covered bank's risk appetite and serves as the basis for the risk governance framework. The risk appetite statement should include both qualitative components and quantitative limits. The qualitative components should describe a safe and sound risk culture and how the covered bank assesses and accepts risks, including those that are difficult to quantify. Quantitative limits should incorporate sound stress testing processes, as appropriate, and address the covered bank's earnings, capital, and liquidity. The covered bank should set limits at levels that take into account appropriate capital and liquidity buffers and prompt management and the board of directors to reduce risk before the covered bank's risk profile jeopardizes the adequacy of its earnings, liquidity, and capital.²¹ **Structured Risk Assessment** A practical, realistic assessment of risks facing the business is an important foundation for developing a risk appetite. A bank should have internal controls and information systems that are appropriate to the size of the institution and the nature, scope, and risk of its activities and that provide for an effective risk assessment. ²² One common method is through risk ²¹ For more information, refer

n necessary, oppose recommendations and decisions made by management that could cause the covered bank's risk profile to exceed its risk appetite or jeopardize the safety and soundness of the covered bank.¹⁵

Clear and Consistent Policies and Operating Procedures Lending policies and operating procedures help employees make consistent decisions, providing a sound foundation for sustainably profitable operations. The board typically sets broad policy goals, and senior management develops specific policies and operating procedures that promote effective day-to-day execution. Policies can vary among banks but should be commensurate with the bank's size, risk profile, portfolio objectives, core competencies, products offered, and target markets. Once policies and operating procedures have been developed, the board and senior management should hold bank personnel accountable for compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval authorities, necessary steps for approvals, and approval documentation requirements. ¹⁶ Process maps, which link direct

ated, and approved, as necessary, due to changes in the covered bank's risk profile or operating environment that were not contemplated when the strategic plan was developed.³² **Considering Quantity of Risk** The OCC expects risk management for retail credit activities to correspond to the bank's size, complexity, and risk profile. Examiners should assess risk management practices in the context of product and portfolio risk. For examination purposes, the OCC refers to the bank's inherent risk profile as the quantity of risk. There are many ways to assess the bank's risk profile, and examiners should have active discussions with management and the board to determine how and when the bank assumes risk. For retail credit, discussions often focus on four key areas: risk in loan structures, risk in target markets, risk in credit underwriting due diligence, and risk layering. These discussions are often subjective, involving judgment and

experience to support proper risk assessment designations. Some risk always exists when extending credit, and these discussions are more about determining the appropriateness of risk management practices given the bank's existing and intended risk profile than attempting to set an absolute risk level. 33 Risk in Loan Structures Loan structures are generally the simplest starting point for evaluating retail credit risk. Generally, one of the lowest-risk loan structures is a fixed-rate, secured installment loan that fully am

for approvals, and approval documentation requirements. 16 Process maps, which link directly to operating procedures, provide a third level of detail and documentation on how and when specific actions occur. The discipline of committing policies, procedures, and process maps to writing promotes a deeper understanding of each activity and prompts a practical evaluation of how each step contributes to or detracts from business and risk management objectives. 17 Examiners should view well-written and cohesive policies, procedures, and process maps as part of an effective risk management process. Policy criteria should be consistent with and support established risk appetites and portfolio objectives. For example, banks with low risk appetites may have product underwriting standards that require higher down payments, use lower debt-to-income ratios, or are less tolerant of derogatory information on credit reports. Banks with higher risk appetites might accept lower down payments, use higher debt-to-income ratios, or consider some negative credit bureau information. Either may be acceptable, depending on the bank's resources, quality of risk management, and internal controls. 15 For more information, refer to 12 CFR 30, appendix D, III.B, "Provide Active Oversight of Management." 16 These items may be incorporated into policies rather than operating procedures at some community banks. 17 The size and complexity of many community banks may not necessitat

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r HELOCs. **Compliance Risk** Compliance risk is the risk to current or projected financial condition and resilience arising from violations of laws or regulations, or from nonconformance with prescribed practices, internal bank policies and procedures, or ethical standards. Banks engaged in retail lending activities are exposed to significant compliance risk due to the number of consumer protection laws and regulations. Some consumer protection-related laws relevant to retail lending include 8 - 10 USC 987, "Military Lending Act." - 12 USC 2601, et seq., "Real Estate Settlement Procedures Act." - 12 USC 2801 et. seq., "Home Mortgage Disclosure Act" - 12 USC 4901 et seq., "Homeowners Protection Act." - 15 USC 1601 et seq., "Truth in Lending." - 15 USC 1681 et seq., "Fair Credit Reporting Act." 15 USC 1691 et seq., "Equal Credit Opportunity Act." - 15 USC 1692 et seq., "Fair Debt Collection Practices Act." - 42 USC 3601 et seq., "Fair Housing Act." - 42 USC 4002, "Flood Disaster Protection Act." - 50 USC 3901 et seq., "Servicemembers Civil Relief Act." - laws prohibiting unfair, deceptive, or abusive acts or practices.⁹ Banks also have obligations arising from the Bank Secrecy Act (BSA), anti-money laundering (AML) laws, and the sanctions laws and regulations administered by the U.S. Department of the Treasury's Office of Foreign Assets Control (OFAC).¹⁰ 8 For more information about consumer protection laws and regulations, refer to the Consumer Co

for sound management and credible challenges. A set of well-designed standard reports should monitor activity continually, even if the data seem stable. Consistent reporting allows managers to gain a comfort level with the information, ask insightful questions, and request additional facts or analysis when issues warrant. Effective reporting generally includes four common characteristics that improve utility:

- Performance trends: Providing data in a consistent form over time helps provide perspective and a deeper understanding of portfolio composition and migration. Most banks report performance trends for at least the past 13 months, but many retail managers find trends over a rolling eight-quarter time frame most useful for considering patterns and seasonality.
- Actual results compared with projections: Context is important. Effective reports compare actual results with management expectations and quantitative benchmarks, with variances identified and explained.
- Precise and informative narrative: Useful data charts generally include narrative, especially in reports for senior management and the board. Rather than require readers to make assumptions, reports walk the user through the issue or topic in a logical, intuitive manner. The more distanced the user is from day-to-day management of an issue, the more simple, clear, and direct the narrative should be.
- Segmented performance: Segmentation refers to breaking down aggregated data into smaller

erances. There are many ways to approach establishing a risk appetite, and the structure and formality should be consistent with the bank's size, complexity, and risk profile. ²⁰ The board of a bank with small, noncomplex, or low-risk retail portfolios might establish a risk appetite at the bank level, and then management would reconcile retail credit business plans to determine consistency with the overall risk appetite. Banks with large, complex, or high-risk retail credit portfolios typically establish written risk appetite statements at the retail lending level and manage product- and service-level activities from that base (e.g., risk appetite limits cascade to individual portfolios with tiered oversight, monitoring, and reporting). The terminology may differ from bank to bank, but the basic characteristics typically include the following: -

Retail risk strategies that definitively state the board and senior management's views on risk, including how the bank assumes retail exposure. Risk strategies generally set broad parameters, expressing how the bank intends to limit or mitigate risks to reduce the likelihood of insolvency or significant losses. - Retail risk tolerances that are a quantitative extension of the risk strategy. Risk tolerances quantify the amount of aggregate risk the bank is willing to accept, and the critical areas where it chooses not to accept exposure. For example, a retail lending business might set risk tolerances for capital

Safety and Soundness Ofce of the Comptroller of the Currency Washington, DC 20219 Comptroller's Handbook Management (M) Earnings (E) Liquidity (L) Sensitivity to Market Risk (S) Other Activities (O) Asset Quality (A) Capital Adequacy (C) Retail Lending Version 2.0, October 2021 References to reputation risk have been removed from this booklet as of March 20, 2025. Removal of reputation risk references is identified by a strikethrough. Refer to OCC Bulletin 2025-4.

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nk's portfolio, and whether risk management practices are effective in the context of the risks assumed. The board has a critical role in overseeing the bank's retail credit risk management functions. As part of this oversight, directors generally consider questioning the propriety of strategic initiatives, staffing and management decisions, and the balance between risk taking and profitability. Most importantly, oversight typically includes overseeing the establishment of a risk management framework that effectively assesses risks, monitors exposures, and adopts the necessary policies and procedures for operating the retail business in a sound and prudent manner. Informed directors also understand that the framework should be consistent with the bank's size, complexity, and risk profile, and that most sound frameworks have certain common elements. One primary examination objective is to determine whether these elements are present, and whether operating processes are reliable under day-to-day and stressful conditions. While practices vary, there are basic characteristics that generally reflect a well-managed retail credit portfolio. These include

- structured oversight by the board and senior management.
- clear and consistent policies and operating procedures.
- a well-established risk appetite.
- structured risk assessments.
- well-defined processes for policy exceptions.
- effective monitoring reports.
- well-designed strategies, business plans, an

monitor, and control potential issues, such as appropriate oversight of sales, servicing, marketing, loss mitigation practices, and third parties, are critical to managing reputation risk. Risk Management Each bank should identify, measure, monitor, and control risk by implementing an effective risk management system appropriate for the bank's size, complexity, and risk profile. When examiners assess the effectiveness of a bank's risk management system, they consider the bank's policies, processes, personnel, and control systems. Refer to the "Corporate and Risk Governance" booklet of the Comptroller's Handbook for an expanded discussion of risk management. Examiners should assess risk management practices in the context of inherent product and portfolio risks. While risk management objectives are similar for most banks, specific practices may differ depending on the products offered, the volume and types of transactions, and the markets targeted. Banks with a low quantity of risk, such as small non-complex community banks, may operate with less sophisticated risk management frameworks. 11 Large 11 This booklet applies to all banks with retail lending activities. The OCC expects community banks to have risk management practices commensurate with the level of risk and complexity of the banks' retail lending activities. The OCC recognizes that the risk management systems of community banks may not be as sophisticated as those of complex banks. In most

ated borrower income information to monitor ongoing capacity, so prudent loan structures and active credit administration are crucial. Retail portfolios typically consist of sizeable segments of relatively homogeneous loans, and credit risk analysis lends itself well to statistical techniques (e.g., scorecard models) to identify, measure, monitor, and control risk levels and exposures. Interest Rate Risk Interest rate risk is the risk to current or projected financial condition and resilience arising from movements in interest rates. Interest rate risk results from differences between the timing of rate changes and the timing of cash flows, from changing rate relationships among different yield curves affecting bank activities, from changing rate relationships across the spectrum of maturities, and from interest-related options embedded in bank products. The level of interest rate risk depends on the composition of the bank's loan portfolio and the degree to which loan

terms (e.g., maturity, rate structure, and embedded options) expose the bank or its borrowers to changes in interest rates. Many borrowers prefer fixed interest rates on larger, long-term retail loans, such as first mortgages and automobile loans. Long-term fixed-rate loans require active asset-liability management by bank management because core deposits used to fund retail portfolios typically have a variable interest rate. Borrowers may also assume interest rate risk on such products as

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The results of the risk assessment process help management design appropriate business responses to available opportunities. Responses generally fall within one of four categories:

- Avoidance: When risks cannot be adequately identified, measured, monitored, or controlled. Avoidance might include exiting a business line or geographic segment after appropriate evaluation of the risks or deciding not to engage in a new product or service.
- Mitigation: When risk levels can be adequately managed internally or shared or controlled by third parties. Sharing might include insurance, partnerships, hedging, outsourcing, or other risk transfer methods.
- Reduction: When risk levels can be managed to within acceptable tolerances, generally through risk, concentration, or operational limits. Reduction often includes diversification limits, business rules, and portfolio rebalancing to reduce vulnerability to certain types of exposures.
- Acceptance: When risk levels can be consciously tolerated or self-insured because the probability and severity are within reasonable limits. Banks sometimes accept risks because there are natural internal offsets, such as variable rate deposits funding variable rate loans.

Examiners should determine how risk assessment exercises are a regular part of the bank's risk appetite and business strategy development. The structure and formality of risk assessments depend on the bank's size, complexity, and risk profile. Banks with large,

and credit criteria should be consistent with its risk appetite. Consequently, policy exceptions have the potential to change the actual risk profile of the portfolio and present credit, strategic, and compliance risk. Once policies are in place, the board should generally expect management to operate within those standards. Well-run banks generally handle exceptions in a structured and disciplined manner to promote sound operations as well as compliance with applicable laws and regulations, including those related to consumer protection and fair lending. Responsibility and authority for identifying, approving, and monitoring policy exceptions are generally in writing, with regular reporting to capture exceptions at the transaction, product segment, product, and portfolio levels. Most banks perform enhanced analysis when exception volumes reach established thresholds, and results of the analysis should be an important factor in policy updates or revisions. Policy exception volumes and analysis should be a normal part of board and senior management reporting. Policy compliance is a useful risk management tool, and examiners should view adherence to the exceptions process as an important internal control. Some exceptions will occur because it is nearly impossible to construct underwriting or operating policies covering every lending situation. Still, exception types and volumes should be controlled, with appropriate reporting to identify and track excepti

formality should be consistent with the bank's size, complexity, and risk profile. 20 The board of a bank with small, noncomplex, or low-risk retail portfolios might establish a risk appetite at the bank level, and then management would reconcile retail credit business plans to determine consistency with the overall risk appetite. Banks with large, complex, or high-risk retail credit portfolios typically establish written risk appetite statements at the retail lending level and manage product- and service-level activities from that base (e.g., risk appetite limits cascade to individual portfolios with tiered oversight, monitoring, and reporting). The terminology may differ from bank to bank, but the basic characteristics typically include the following:

- Retail risk strategies that definitively state the board and senior management's views on risk, including how the bank assumes retail exposure. Risk strategies generally set broad parameters, expressing how the bank intends to limit or mitigate risks to reduce the likelihood of insolvency or significant losses.
- Retail risk

tolerances that are a quantitative extension of the risk strategy. Risk tolerances quantify the amount of aggregate risk the bank is willing to accept, and the critical areas where it chooses not to accept exposure. For example, a retail lending business might set risk tolerances for capital maintenance, measured on a nominal or risk-

18 For more information, refer to 12 CFR 30, app

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ould view adherence to the exceptions process as an important internal control. Some exceptions will occur because it is nearly impossible to construct underwriting or operating policies covering every lending situation. Still, exception types and volumes should be controlled, with appropriate reporting to identify and track exceptions and appropriate analysis to determine causes, impact, and any need for corrective action.

Policy exceptions for retail lending typically fall into three categories: - Credit policy: Loan-to-value (LTV), debt-to-income, pricing, verification, etc. - Credit scoring: High- and low-side overrides. 24 - Documentation: Loan application, transaction information, and collateral perfection or valuation. Exception limits for each, and in aggregate, are typically established by either dollar amounts or transaction volumes per month.²⁵ Trends can vary between dollar and transaction volumes, and banks with larger or more complex portfolios should typically track and evaluate both. Exception monitoring reports should include sufficient detail for meaningful analysis of exceptions overall and by type. The objective is to determine whether exceptions are

24 A credit score override occurs when a lender approves a loan that does not meet the lender's minimum credit score (i.e., a low-side override), or declines a loan that was above the lender's minimum credit score (i.e., a high-side override). High-side overrides typically occur because

y date, leaving a lump sum (or balloon) payment due upon maturity. The finance charge may include a fixed or variable rate, and the borrower does not have the option of obtaining additional funds under the original loan agreement. 3 Examples of closed-end installment loans include mortgage loans and auto loans. - Open-end revolving lines of credit include amounts available to a borrower up to a preset credit limit for a specified amount of time. Balances may be drawn or paid down at any time at the borrower's option. Repayment terms typically require interest each month, and often some portion of principal as well. Some revolving lines of credit require full repayment of principal at maturity, while others convert automatically into a closed-end loan once the revolving period ends. Examples of open-end revolving lines of credit include credit cards and home equity lines of credit (HELOC). Banks offer retail lending products directly through a range of sources, including branch offices and online banking platforms. Banks also use indirect origination sources,⁴ such as 2 For more information about asset-based retail lending, refer to OCC Bulletin 2019-36, "Mortgage Lending: Lending Standards for Asset Dissipation Underwriting." 3 For more information about finance charges, refer to the "Truth in Lending Act" booklet of the Comptroller's Handbook. 4 Indirect lending generally refers to the use of a third party to originate loans using a bank's underwrit

Safety and Soundness Ofce of the Comptroller of the Currency Washington, DC 20219 Comptroller's Handbook Management (M) Earnings (E) Liquidity (L) Sensitivity to Market Risk (S) Other Activities (O) Asset Quality (A) Capital Adequacy (C) Retail Lending Version 2.0, October 2021 References to reputation risk have been removed from this booklet as of March 20, 2025. Removal of reputation risk references is identified by a strikethrough. Refer to OCC Bulletin 2025-4.

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ped.³² **Considering Quantity of Risk** The OCC expects risk management for retail credit activities to correspond to the bank's size, complexity, and risk profile. Examiners should assess risk management practices in the context of product and portfolio risk. For examination purposes, the OCC refers to the bank's inherent risk profile as the quantity of risk. There are many ways to assess the bank's risk profile, and examiners should have active discussions with management and the board to determine how and when the bank assumes risk. For retail credit, discussions often focus on four key areas: risk in loan structures, risk in target markets, risk in credit underwriting due diligence, and risk layering. These discussions are often subjective, involving judgment and experience to support proper risk assessment designations. Some risk always exists when extending credit, and these discussions are more about determining the appropriateness of risk management practices given the bank's existing and intended risk profile than attempting to set an absolute risk level. ³³ **Risk in Loan Structures** Loan structures are generally the simplest starting point for evaluating retail credit risk. Generally, one of the lowest-risk loan structures is a fixed-rate, secured installment loan that fully amortizes the loan amount over a short term. Each characteristic contributes to a lower-risk loan structure. The fixed interest rate eliminates rate exposure for the borrow

age brokers. Each origination source has advantages and challenges, and most banks rely on more than one source to originate loans. Numerous factors influence the demand for and availability of retail lending products. A borrower's income, age, life-cycle stage, lifestyle, attitudes about borrowing, and personal financial condition all affect the use of credit. Economic factors, such as inflation, interest rates, employment, and local economic conditions, influence credit volumes and activity. Advances in technology also permit retail lenders to better differentiate risk and to accept and price exposures more selectively. These advances promote the use of tailored products that are better able to meet individual borrower risk profiles, allowing many banks to expand their markets and increase profitability. This booklet describes prudent bank practices to manage retail credit risk appropriately. These include practices that examiners should consider when evaluating a bank's quantity of risk and quality of risk management. **Risks Associated With Retail Lending** From a supervisory perspective, risk is the potential that events will have an adverse effect on a bank's current or projected financial condition⁵ and resilience.⁶ The OCC has defined eight categories of risk for bank supervision purposes: credit, interest rate, liquidity, price, operational, compliance, strategic, and reputation. These categories are not mutually exclusive. Any product or serv

categories of risk for bank supervision purposes: credit, interest rate, liquidity, price, operational, compliance, strategic, and reputation. These categories are not mutually exclusive. Any product or service may expose a bank to multiple risks. Risks also may be interdependent and may be positively or negatively correlated. Examiners should be aware of and assess this interdependence. Examiners also should be alert to concentrations that can significantly elevate risk. Concentrations can accumulate within and across products, business lines, geographic areas, countries, and legal entities. Refer to the "Bank Supervision Process" booklet of the Comptroller's Handbook for an expanded discussion of banking risks and their definitions. While retail lending generally involves all risk categories, this booklet focuses on the significant credit, interest rate, operational, liquidity, compliance, strategic, and reputation risks most common to retail lending. **Credit Risk** Credit risk is the risk to current or projected financial condition and resilience arising

from an obligor's failure to meet the terms of any contract with the bank or otherwise perform as agreed. Credit risk is found in all activities in which settlement or repayment depends on counterparty, issuer, or borrower performance. Credit risk is the primary exposure for most retail lending products. Due to the size, volume, and nature of transactions, credit analysis is

5 Financial condition

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cordance with the OCC's risk-based supervision approach, examiners begin their evaluation of retail lending activities with the core assessment in the "Community Bank Supervision," "Federal Branches and Agencies Supervision," or "Large Bank Supervision" booklets of the Comptroller's Handbook. The "Retail Lending" booklet includes expanded examination procedures that examiners should use when specific retail credit products, services, or risks warrant review beyond the core assessment. This booklet's objective is to consider risk management practices fundamental to retail lending and common across product types. A bank's retail lending practices should be commensurate with the bank's size, complexity, and risk profile. Additional product-specific considerations may apply. For example, certain lending and risk management practices relevant to particular products are described in other booklets of the Comptroller's Handbook, including "Residential Real Estate Lending," "Mortgage Banking," "Credit Card Lending," "Student Lending," "Deposit-Related Credit," and "Installment Lending." Specific consumer protection laws and regulations applicable to retail lending are discussed in the Consumer Compliance booklets of the Comptroller's Handbook. In addition, the OCC has established minimum standards for designing and implementing a risk governance framework for certain large insured national banks, insured federal savings associations, and insured federal branches

ustry and operating environment. A bank's board and management decisions to enter, exit, or otherwise change the bank's participation in retail markets and products should be based on sound, complete information, realistic assessments of the risks involved, management's expertise, and the bank's operating capacity. Incomplete or inadequate consideration of the industry's market conditions, economic dynamics, and consumer behaviors exposes the bank to excessive or unanticipated strategic risk, which often translates into financial losses. **Reputation Risk** Reputation risk is the risk to current or projected financial condition and resilience arising from negative public opinion. This risk may impair the bank's competitiveness by affecting its ability to establish new relationships or services or continue servicing existing relationships. Inadequate policies and procedures, operational breakdowns, or general weaknesses in any aspect of the bank's retail lending activities can harm its reputation. Lack of due diligence on products and services offered by third parties, inappropriate delegation and oversight of activities performed by third parties, and wrongful acts by third parties acting on the bank's behalf may also increase a bank's reputation risk exposure. Effective systems and controls to identify, measure, monitor, and control potential issues, such as appropriate oversight of sales, servicing, marketing, loss mitigation practices, and third parties,

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availability of retail lending products. A borrower's income, age, life-cycle stage, lifestyle, attitudes about borrowing, and personal financial condition all affect the use of credit. Economic factors, such as inflation, interest rates, employment, and local economic conditions, influence credit volumes and activity. Advances in technology also permit retail lenders to better differentiate risk and to accept and price exposures more selectively. These advances promote the use of tailored products that are better able to meet individual borrower risk profiles, allowing many banks to expand their markets and increase profitability. This booklet describes prudent bank practices to manage retail credit risk appropriately. These include practices that examiners should consider when evaluating a bank's quantity of risk and quality of risk management. **Risks Associated With Retail Lending** From a supervisory perspective, risk is the potential that events will have an adverse effect on a bank's current or projected financial condition⁵ and resilience.⁶ The OCC has defined eight categories of risk for bank supervision purposes: credit, interest rate, liquidity, price, operational, compliance, strategic, and reputation. These categories are not mutually exclusive. Any product or service may expose a bank to multiple risks. Risks also may be interdependent and may be positively or negatively correlated. Examiners should be aware of and assess this interdependence.

bility to question, challenge, and when necessary, oppose recommendations and decisions made by management that could cause the covered bank's risk profile to exceed its risk appetite or jeopardize the safety and soundness of the covered bank.¹⁵ **Clear and Consistent Policies and Operating Procedures** Lending policies and operating procedures help employees make consistent decisions, providing a sound foundation for sustainably profitable operations. The board typically sets broad policy goals, and senior management develops specific policies and operating procedures that promote effective day-to-day execution. Policies can vary among banks but should be commensurate with the bank's size, risk profile, portfolio objectives, core competencies, products offered, and target markets. Once policies and operating procedures have been developed, the board and senior management should hold bank personnel accountable for compliance while also providing a practical avenue for handling exceptions. Policies should cover all aspects of credit risk management, including credit approvals, credit administration, oversight, and internal controls, and should be consistent with applicable laws, regulations, and guidelines. Operating procedures should complement credit policies and describe how each policy is put into practice. Procedures should provide details on job responsibilities, approval authorities, necessary steps for approvals, and approval documentation requirements.

es of stress. - Capturing and aggregating of risk data and reporting of material risks, concentrations, and emerging risks in a timely manner to the board of directors and the OCC. - Distribution of risk reports to all relevant parties at a frequency that meets the needs for decision-making purposes.²⁷ **Well-Designed Strategies and Business Plans** Strategic plans define the bank's desired role in the retail markets. A retail strategy typically states the bank's intent by product type, product risk appetite, economic sector, geographic location, and anticipated profitability. Decisions to offer a new product, significantly change terms on an existing product, or expand into a new market area are strategic decisions that should be supported by sound and documented analysis and due diligence.²⁸ This analysis extends to the risk assessment exercise and typically addresses - competitive environment. - capabilities and expertise. - operational

capacity. - staffing and training needs. - control systems in place and those needed. - compliance requirements (e.g., consumer protection and fair lending). - reporting and operational systems. - financial projections. Once senior management and the board adopt strategic objectives, business line managers prepare complementary business plans for each major product. Business plan development should involve knowledgeable staff from key functional areas, including risk management, credit policy, marketing, systems,

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re designed to consider the potential impact of events that could significantly affect the bank. Approaches vary, but most assessments consider four key threat aspects: the risk event, likelihood of occurrence, practical impact, and significance. Table 1 provides an example of risks a retail lender might consider during a credit risk assessment exercise.

Table 1: Credit Risk Assessment Exercise Example

Risk event	Likelihood	Impact	Significance
Significant new technology advancement or application that changes how retail lending products are marketed, priced, and delivered to consumers.	Low	20 percent revenue reduction for the next year due to new competitors and the need to update delivery channels.	Material shortfall in revenues and business profitability. May require reexamining the business model and competitive approach.
Disruption in the mortgage insurance industry that limits availability or significantly increases costs.	Low	25 percent reduction in origination volumes.	10 percent increase in capital requirements from keeping greater origination volumes on the balance sheet. Could change fundamental operation of residential mortgage markets.
Higher cost of insurance.	Significant	Secondary market disruption until alternative sources emerge.	Potential opportunity to selectively expand market share in profitable target markets if the bank is willing to use balance-sheet capacity.
Changes in the reliability or tim			

ing, securitizing loans, or a combination of the three. Liquidity risk may arise from a bank's failure to recognize or address changes in market conditions that affect its ability to liquidate assets quickly and with minimal loss in value. Liquidity risk is also present in a bank's obligation to fund unfunded commitments of open-ended credit, such as credit cards or HELOCs.

Compliance Risk

Compliance risk is the risk to current or projected financial condition and resilience arising from violations of laws or regulations, or from nonconformance with prescribed practices, internal bank policies and procedures, or ethical standards. Banks engaged in retail lending activities are exposed to significant compliance risk due to the number of consumer protection laws and regulations. Some consumer protection-related laws relevant to retail lending include 8 - 10 USC 987, "Military Lending Act." - 12 USC 2601, et seq., "Real Estate Settlement Procedures Act." - 12 USC 2801 et. seq., "Home Mortgage Disclosure Act" - 12 USC 4901 et seq., "Homeowners Protection Act." - 15 USC 1601 et seq., "Truth in Lending." - 15 USC 1681 et seq., "Fair Credit Reporting Act."15 USC 1691 et seq., "Equal Credit Opportunity Act." - 15 USC 1692 et seq., "Fair Debt Collection Practices Act." - 42 USC 3601 et seq., "Fair Housing Act." - 42 USC 4002, "Flood Disaster Protection Act." - 50 USC 3901 et seq., "Servicemembers Civil Relief Act." - laws prohibiting unfair, deceptive, or